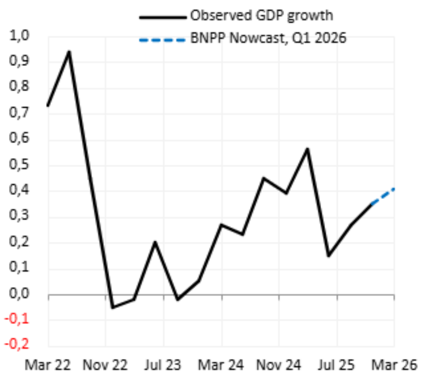
The scenario, forecasts and nowcasts of the Economic Research – 9 March 2026

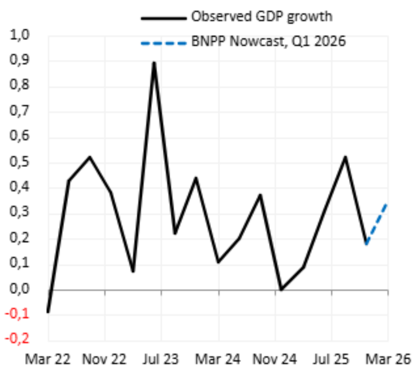
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



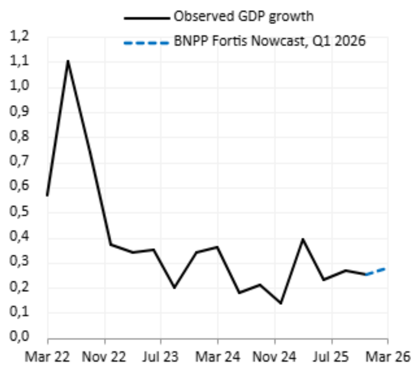
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry and an improvement in wholesale trade.

According to our nowcast for Belgian growth, it would experience a slight rebound to +0.3% q/q in Q1 2026 (after +0.2% q/q in Q4 2025). In January, consumer sentiment equaled a 4-year-plus high. Confidence among service-providers weighs on that of business in general, which remains below average.

Read the Nowscast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.2	2.9	2.0	2.9	2.7	2.8	2.7
Japan	0.1	1.1	0.0	0.9	2.7	3.1	1.9	2.5
United Kingdom	1.1	1.3	1.0	1.3	2.5	3.4	2.4	2.2
Euro Area	0.9	1.5	1.6	1.6	2.4	2.1	1.9	2.3
Germany	-0.5	0.4	1.4	1.5	2.5	2.2	1.6	2.3
France	1.1	0.9	1.3	1.3	2.3	1.0	1.1	1.5
Italy	0.5	0.7	1.0	0.9	1.1	1.7	1.5	1.9
Spain	3.5	2.8	2.5	2.3	2.8	2.7	2.3	1.9
China	5.0	5.0	4.7	4.5	0.2	0.1	0.9	1.0
India*	7.1	7.6	7.0	6.8	4.6	2.1	4.1	4.3
Brazil	3.4	2.2	1.8	1.4	4.4	5.0	3.8	3.8

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 9 March 2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Q1	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.25	4.35	4.45	4.50	-
Eurozone	deposit rate	2.00	2.00	2.00	2.00	2.50
	Bund 10y	2.90	3.00	3.05	3.10	-
	OAT 10y	3.55	3.65	3.80	3.87	-
	BTP 10y	3.50	3.58	3.70	3.75	-
	BONO 10y	3.35	3.42	3.50	3.55	-
UK	Base rate	3.50	3.50	3.50	3.50	3.00
	Gilts 10y	4.50	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	1.90	2.00	2.05	2.10	-

Exchange Rates		2026				2027
End of period		Q1	Q2	Q3	Q4	Q4
USD	EUR / USD	1.17	1.18	1.19	1.20	1.22
	USD / JPY	157	158	159	160	160
	GBP / USD	1.31	1.31	1.31	1.30	1.33
EUR	EUR / GBP	0.89	0.90	0.91	0.92	0.92
	EUR / JPY	184	186	189	192	195

Brent		2026				2027
Quarter Average		Q1	Q2	Q3	Q4	Q4
Brent	USD/bbl	55	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy)
Last update: 02/02/2026

Contacts
Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

Due to the war in the Gulf, the risks surrounding our scenarios are skewed downward with respect to growth and upward with respect to inflation.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.9%, a yearly improvement (+2.2% in 2025). This apparent resilience to uncertainty and tariff shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+2.8% in 2026) due to tariffs –although the impact of these appears to be less significant than expected –until at least the end of 2027. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the 'employment' component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth reached 5.0% in 2025, like in 2024, and is projected to decelerate moderately in 2026. The weakness of domestic demand worsened in the last quarter of 2025, with a contraction in investment and a slowdown in retail sales growth. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, and the strengthening of private consumption is one of their priorities. However, the central bank and the government will continue to implement cautious policy measures. Export growth performance stayed strong until the end of 2025, with the fall in sales to the US offset by the increase in exports to the rest of the world. In the short term, Chinese goods are expected to remain competitive. Deflationary pressures persist. They might decline slightly in 2026, partly thanks to anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. The EU-US trade agreement remains precarious and tensions with China are mounting, creating uncertainty around our forecasts. Inflation is expected to remain below the 2% target in 2026. Stronger economic activity will lead to a progressive acceleration in inflation in 2027, albeit a moderate one. This would lead the ECB to increase the policy rate in H2 2027, bringing the deposit facility rate to 2.5%.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Activity is expected to slow slightly in 2026, to 1.1% due to unfavourable carryover effect, after a +1.4% GDP growth in 2025. Despite downside risks in the labour market and difficulties in industry, quarterly growth is expected to return to a higher and more stable pace in 2026 (+0.3% q/q on average) thanks to monetary easing. Increased defence spending in the United Kingdom and Europe will also support GDP, while downside risks related to trade tensions are mitigated by the agreement with the United States. Inflation would only return to target very gradually, and monetary policy would remain restrictive, despite a new rate cut in Q1 2026, bringing the Bank rate down to 3.5%. With inflation falling more sustainably towards the 2% target, a new phase of normalization would begin, with two further rate cuts in H1 2027.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +11% and is expected to slow to +0.6% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of 'less accommodative' policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 +25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).

THE RISE OF ARTIFICIAL INTELLIGENCE: STRATEGIC OPPORTUNITIES FOR EMERGING COUNTRIES

Emerging countries with strategic resources, such as critical metals and semiconductor production capacities, have become key players in the rise of artificial intelligence (AI). Those that are well positioned in AI supply chains have both a growth engine and a major geopolitical advantage. Asia's industrialised economies, which account for over 85% of the world's exports of electronic chips, are best placed to benefit from the increasing demand for AI. However, this advantage also exposes them to a potential correction in the technology boom. Latin American countries that extract minerals critical to AI have strategic leverage, but they will need to forge partnerships and attract foreign investment to strengthen their position in supply chains. Regardless of whether they supply minerals or chips, these countries are all exposed to the risks associated with the concentration of the main AI players amid heightened geopolitical tensions. Finally, Central Europe is relying on a skilled workforce and ambitious plans to leverage AI for economic development.

EMERGING COUNTRIES AND AI: VARIED POSITIONS

Emerging countries' positions regarding AI vary greatly, whether in terms of their ability to innovate, finance and adopt technologies; their exposure to AI's impact on productivity and employment; or their position within supply chains. In 2026, as in 2025, these supply chains will serve as the primary channel for transmitting the effects of the AI boom to emerging economies. In fact, in 2025, the sharp increase in technology investments, particularly in AI, fuelled global demand for electronic products and other goods associated with AI development. This has significantly bolstered exports and economic growth in countries that produce critical raw materials and, above all, high value-added manufactured goods. This is an important factor explaining the strong average growth performance of emerging economies in 2025 (estimated at 4.3%, stable compared to 2024).

Currently, the impact of AI expansion on the growth of emerging economies (excluding China) therefore primarily occurs through the spillover effects of investment in physical AI infrastructure. Although AI is expected to be adopted more quickly than previous innovations, its impact on productivity will only become evident after a period of diffusion of the new technology, contingent upon investments in both physical and human capital that facilitate its adoption (equipment upgrades, reorganisation of production processes, training, etc.).

Among emerging economies, the most developed Asian countries, China, the Baltic states and Central European countries are best positioned to deploy and use AI, according to the IMF's AI Preparedness Index (AIPI). Following them are Türkiye and the countries of the Middle East. The average capacity of Latin American countries and, above all, sub-Saharan Africa (SSA) to use AI is much more limited (the average AIPI for SSA is 0.34). *See Chart 1.*

A CLEAR ADVANTAGE IN SUPPLY CHAINS

Overall, while emerging economies are not as well positioned as advanced economies to take advantage of the adoption and diffusion of AI (the average AIPI for G7 countries is 0.72), they are better positioned within AI supply chains. These encompass activities related to the chip industry (design, manufacturing and assembly), equipment and other electronic materials, as well as AI infrastructure (such as supercomputers and data centres). These sectors are extremely capital-intensive and energy-intensive (*see page 6*), as well as demanding in terms of water and minerals. They have also become highly strategic.

As a result, countries that are well positioned within AI supply chains – primarily producers of critical metals, electricity and advanced semiconductors – have both a growth engine and a geopolitical advantage. This advantage is expected to strengthen in the short term, assuming that the surge in investment in data centres and other AI infrastructure continues. Currently, the four major players in the sector in the United States (Amazon, Microsoft, Meta, Google) are planning to invest USD 620 billion in 2026, four times the amount invested in 2023 and a 60% increase on 2025. These investments will drive global demand for semiconductors, with the market projected to grow by 26% in 2026 (following a 22% increase in 2025), according to forecasts from World Semiconductor Trade Statistics.

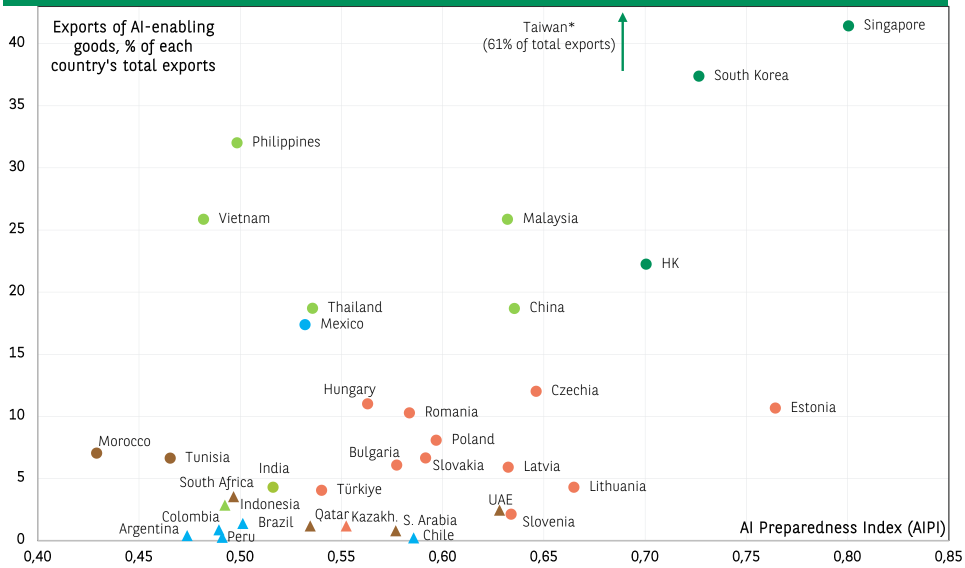
To assess countries' positioning within supply chains, we use export data for "AI-enabling goods" or "AI-related goods", as estimated by Oxford Economics and based on the WTO nomenclature. This results in a broad estimate of exports of AI-related goods. It includes raw materials, chemicals, equipment, semiconductors and other electrical and electronic equipment used in AI, as well as those that are "likely to be used" in AI (and potentially in other applications as well). In 2025, total exports of "AI-related goods" are estimated at USD 3.3 trillion, or around 12% of global merchandise exports. Semiconductors and other electronic components account for around 70% of the total, equipment for 25%, and raw materials and chemicals make up less than 5%. This last figure, which may seem surprising, contrasts with the strategic importance of the critical materials required for AI, but can be explained by the very small quantities that are ultimately used.

CHINA IS HOT ON THE HEELS OF THE UNITED STATES IN THE AI RACE

AI has become a battleground of intense competition between China and the United States. For Beijing, the AI sector is central to its strategy of enhancing China's technological supremacy globally and strengthening its national security. On the domestic front, AI is also a key element of the authorities' economic strategy (*see note on China in this issue of EcoPerspectives, page 11*). Innovation, the development of AI and its widespread deployment in the country are expected to boost productivity gains and support growth at a time when China is adjusting its economic engines (expansion of the export manufacturing sector against reduced reliance on the real estate sector and debt-financed investment) and facing demographic challenges. The country is also relatively well-positioned to adopt AI. The IMF's AI preparedness index confirms this position: it stands at 0.64 for China, compared with 0.46 for emerging economies and 0.68 for advanced economies.

In the race for AI, China has been rapidly closing the gap with the United States in recent years, thanks to huge investment and innovation efforts. The United States maintains its lead in computing power and the design of the most advanced chips (Nvidia) and controls the export of these chips to China. For its part, China is developing increasingly sophisticated models and has become a leader in open-source

AI-RELATED OPPORTUNITIES: ASIAN COUNTRIES ARE THE BEST POSITIONNED



Exported goods: ● mostly manuf. ▲ mostly commodities
AI preparedness index of the IMF: the AIPI is the sum of 4 dimensions: digital infrastructure, human capital, technological innovation, and legal frameworks.
* There is no AIPI for Taiwan

CHART 1 SOURCES : IMF (ITG AND AIPI DATA), OXFORD ECONOMICS, BNP PARIBAS

models as well as data collection. It is involved in almost the entire AI value chain and, most importantly, controls the supply of critical materials. The rivalry and race for technological supremacy between China and the United States will be determining factors in the evolution and decoupling of AI production chains in the medium term.

INDUSTRIALISED ASIAN COUNTRIES: PRIMARY BENEFICIARIES

Industrialised Asian countries occupy a prominent place in the AI supply chain, owing to the specialisation of their export base in semiconductors and other high-tech goods. Over 85% of global exports in the semiconductor sector[1] and 65% of global exports of "AI-related" goods[2] come from Asian countries. *See Charts 2 and 3.*

This specialisation has provided them with considerable advantages in recent months. While global trade experienced robust growth in 2025 (with total exports estimated to have risen by 5% in volume), Asia registered even greater export growth (+14.8% in volume for the most advanced countries[3], +8.5% for China and +6.4% for other countries in the region). The technology sector has accounted for over 80% of the growth in exports from Asia, excluding China, since April 2025, and nearly 60% of the growth in Chinese exports (IMF estimate, WEO Update, January 2026).

China accounts for 21% of all AI-related goods exported worldwide. Taiwan's position is also highly strategic as it lies at the core of the semiconductor supply chain, which is vital to the AI sector. This strategic importance is based on the high degree of openness and specialisation of its economy (61% of its exports are AI-related goods, the highest percentage worldwide) and its significant technological advantage.

Taiwan supplies 11% of the goods needed for AI and 15% of the semiconductors exported worldwide, and it manufactures almost all of the most advanced chips specialised for AI, (these chips are notably designed by Nvidia in the United States and manufactured by TSMC in Taiwan). In 2025, Taiwan's total exports jumped by 35% in value and 34% in volume, including a 79% increase to the United States. This leadership role also provides security for the island[4] and is a strategic asset that Taiwan emphasises in its negotiations with the United States and its other trading partners.

After China, Taiwan (and the United States), the countries that are best positioned within AI supply chains include South Korea, Singapore, Vietnam and Malaysia, which are ahead of Germany, the Netherlands and Mexico (*see note on Mexico, page 29*). These countries account for between 3% and 8% of global exports of AI-related goods in 2025, again according to the WTO nomenclature.

In the semiconductor sector, the value chain is characterised by significant fragmentation[5], which is reflected in the organisation of production in Asia. China is involved in various stages of production. Taiwan, South Korea and Japan specialise in the manufacture of silicon wafers, which are essential for etching integrated circuits. Together with China, these three countries accounted for 80% of wafer production capacity in 2025. Further along the supply chain, Malaysia, Vietnam and the Philippines specialise in the assembly, testing and packaging (OSAT) of chips to make electronic components. Although the contribution to GDP is relatively modest, the dynamism of the sector in 2025 has significantly driven the economic growth of these countries (*see note on Malaysia, page 15*).

1 BNP Paribas calculations for 2024-2025, ITC/COMTRADE data.
2 Estimate for 2025 based on Oxford Economics data.
3 South Korea, Taiwan, Hong Kong (99% of whose exports are re-exports of goods originating mainly from China and other Asian countries), Singapore (75% of whose exports are re-exports or exports of petroleum products).
4 In 2025, Taiwan announced substantial investments in the US as part of the trade agreement negotiated with Washington. Since October 2025, TSMC and Nvidia have commenced joint production of their first chips (silicon wafers) on US soil, in a factory in Phoenix. However, Taiwan continues to hold a monopoly on product finalisation for the time being, as the last stage of manufacturing (encapsulation) is carried out on the island, enabling it to maintain its "silicon shield".
5 See OECD, "Vulnerabilities in the semiconductor supply chain", No. 2023/05, https://doi.org/10.1787/6bed616f-en.

ASIA'S DOMINANCE IN SUPPLY CHAINS

Total world exports of AI-enabling goods, market shares (% of total)

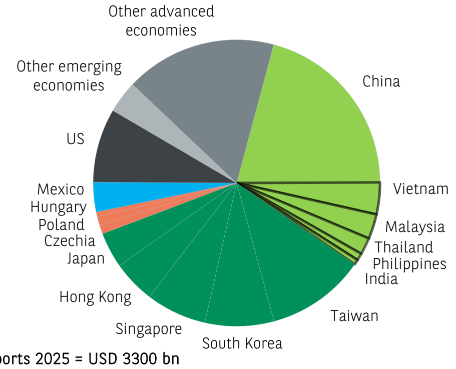


CHART 2 SOURCE: OXFORD ECONOMICS, WTO, BNP PARIBAS

Total world exports of semiconductors, market shares (% of total)

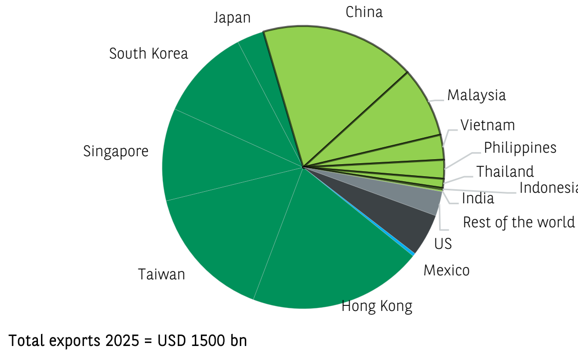


CHART 3 SOURCE: ITC, UN COMTRADE, BNP PARIBAS

PRODUCERS OF CRITICAL MATERIALS: A STRATEGIC POSITION

Raw materials account for only 2% of global exports of AI-related goods (again according to the WTO nomenclature). However, they hold strategic significance. The leading suppliers are located in the Middle East (particularly the United Arab Emirates), Asia (particularly Indonesia) and Latin America.

Global demand for raw materials essential for AI (specifically for chips and data centres) is projected to rise considerably in the coming years. The International Energy Agency (IEA) estimates, for example, that the demand for copper from data centres could more than double by 2030. This would represent around 2% of current global copper consumption. All these materials (including copper, aluminium, gold, silicon, palladium, germanium, gallium, etc.) are considered "critical" due to their low substitutability, their importance in generating value for global industry, and the geographical concentration of supplier countries (for raw or refined products).

The processes of exploring, extracting and processing minerals are difficult, time-consuming and expensive, but the quantities required for their end use are small. Consequently, significant supply challenges directly related to production issues or bottlenecks do not pose the greatest risk in the short term. On the other hand, the critical nature of these materials and the challenges posed by AI confer upon them a strategic role as tools in international relations and trade negotiations. The number of export restrictions on these metals has increased in recent years, and ongoing geopolitical tensions are amplifying the vulnerability of AI supply chains to the risk of supply disruptions.

China has the most powerful means of exerting pressure, thanks to its largely dominant role in the production of critical materials. Advanced countries are taking steps to reduce this vulnerability[6], but it will take them years to meet domestic demand, while China is implementing a development plan that was drawn up several years ago. Consequently, the growth of AI could potentially heighten, at least in the short term, the world's dependence on China, alongside Sino-American rivalry and geopolitical tensions.

In this context, the boom in the AI sector is creating opportunities for emerging countries with reserves of critical minerals. Although the export of these materials currently has a modest impact on their economic growth, these countries have a strategic advantage in forging partnerships, attracting foreign investment, developing new mining projects and capitalising on the expansion of AI. The environmental challenge will also pose a significant hurdle for these countries (*see notes on Argentina, Brazil and Chile, pages 23, 25, 27*).

CENTRAL EUROPE AND THE GULF COUNTRIES: AMBITIOUS PLANS

At first glance, Central European countries may not seem to have any comparative advantages in AI supply chains. However, they do have a well-educated workforce and infrastructure that will facilitate the integration of AI throughout the economy and its adoption by the populace. Furthermore, the governments of Central European countries are not shying away from launching ambitious plans aimed at using AI as a catalyst for development (*see notes on Poland and Hungary, pages 17 & 19*). These plans are based on several components: defining a strategy and ambitious medium-term objectives; providing public support for businesses to innovate, invest and adopt AI; constructing data centres (essential for the local development of AI); incorporating relevant training into education programmes; and adjusting regulations accordingly.

The Gulf countries have also drawn up highly ambitious plans. Saudi Arabia, for example, aims to develop the entire AI value chain and become a global leader in this sector within a few years (*see page 31*). The Gulf countries enjoy major comparative advantages: abundant, cheap energy and vast desert areas, which allow for the establishment of large data centres at relatively low cost. Energy is mainly carbon-based, but the number of solar projects is increasing. In addition, governments are able to mobilise large sums of money from sovereign wealth funds to finance technology partnerships and infrastructure, as well as to invest in education. Political will, natural resources and available capital are factors that favour the development of AI hubs in the region.

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Christine PELTIER
christine.peltier@bnpparibas.com
with the help of Clara Ngo Ba Do (intern)

6 See BNP Paribas, EcoInsight, European Union: low-carbon transition and energy sovereignty, a path fraught with pitfalls, February 2026.

THE ENERGY FACTOR: A CONSTRAINT ON AI DEVELOPMENT IN EMERGING COUNTRIES

The development of artificial intelligence (AI) depends largely on the availability of abundant and reliable electricity. The sector currently accounts for 4.5% of electricity demand in the United States, 2% in Europe and around 1% in Asia (including China), where the vast majority of data centres are located. In contrast, this figure is less than 0.5% in the rest of the world, but is set to increase in the coming years. To attract investment in the AI sector, emerging countries must therefore consider significantly increasing their electricity generation capacity and establishing networks capable of continuously powering data centres. Massive investments in infrastructure, along with the use of flexible energy sources (gas, renewables), are assets for attracting AI projects. China, together with India, the Middle East and Eastern Europe, appear to have a better position.

AI ELECTRICITY CONSUMPTION: THE IMPORTANCE OF LOCATION

The availability of sufficient electricity and the ability to transport it are key factors in the establishment of local data centres, which are essential for the deployment and adoption of AI. Data centres are typically evaluated based on the electrical power required to operate them. Their energy consumption can exceed one gigawatt or GW (by way of comparison, the average output of a reactor in the French nuclear fleet is 0.9 GW). More generally, in light of the rapid expansion of data centres in recent years, the issue of facility location is of paramount importance. The growth of the sector depends – in addition to the availability of electricity – on a favourable combination of factors primarily associated with the presence of adequate skills, developed technological infrastructure, and political will. These conditions regarding location and the rapid growth of AI are resulting in a significant geographical concentration of development hubs, which is exerting considerable pressure on local electricity markets in many countries. This is fuelling sharp rises in electricity prices, especially in certain US states[1], and may even lead to moratoriums on the future establishment of data centres. In Ireland and the Netherlands, for example, the establishment of new data centres has been suspended (until 2028 in Ireland).

In 2025, 82% of global AI application development capacity, measured in terms of electricity consumption, was concentrated in the United States, the European Union and China. This trend towards geographical concentration is expected to continue, with around 85% of the new capacity expected by 2030 to be located in these three regions, according to the International Energy Agency (IEA). Approximately two-thirds of new projects are being planned in regions where clusters already exist. In China, the electricity consumption of data centres has increased by 15% per year over the last decade, which is double the annual growth rate of other sectors of the economy. The consumption of these centres is currently equivalent to that of the country's electric vehicle fleet.

The predominance of advanced economies and China in terms of installed capacity leaves little room for emerging countries in this AI landscape. As a result, the impact of AI development on the electricity markets of emerging countries remains marginal. While the sector accounts for around 4.5% of electricity demand in the United States, 2% in Europe and around 1% in Asia (including China), this figure is less than 0.5% in the rest of the world. This very low figure is not surprising, as the increase in electricity demand in emerging and developing countries is mainly driven by industrial development and improving living standards. This is particularly evident in the huge rise in electricity demand for air conditioning, set against a backdrop of rising average temperatures.

CHINA DRIVING THE INCREASE IN ELECTRICITY PRODUCTION CAPACITY

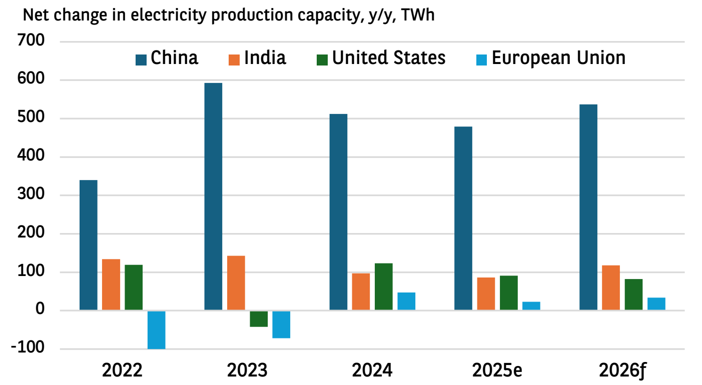

CHART 1

SOURCE: AIE

Nevertheless, even if it remains relatively concentrated in specific geographic regions, the impact of AI on national electricity systems is set to increase. According to the IEA, the development of AI accounted for 4.4% of the increase in electricity demand between 2020 and 2025. This figure is projected to increase to 8.6% during the period 2025-2030. However, this will still be lower than the expected contribution from the growth in demand associated with air conditioning on a global scale (around 10% by 2030).

IN EMERGING COUNTRIES, WHAT ENERGY COMPETITIVENESS CRITERIA SHOULD BE USED TO FOSTER THE DEVELOPMENT OF AI?

- **The expected increase in electrical capacity and/or the availability of abundant energy**

The demand for electricity driven by AI is likely to compete with other sources of demand, even though it is currently growing at a slower pace. In this scenario, countries and regions that invest heavily in energy production capacity, as well as those with abundant energy resources, will be best placed to meet the energy needs of AI. China has a decisive advantage in this regard, owing to the significant increase in its energy production capacity in recent years (*Chart 1*). According to BloombergNEF, China has installed more new energy capacity in the past four years than the total capacity installed in the United States (1,515 GW versus 1,373 GW).

1 See Ecoweek, Electricity prices in the United States: an economic and electoral issue in the run-up to the midterms, 10 February 2026.

Similarly, the new capacity installed in 2025 exceeds that the total available in India. The increase in Chinese production capacity is expected to remain substantial, growing by around 4% per year between now and 2030.

For various reasons, the Middle East also has certain advantages, notably its abundant, flexible and rapidly mobilisable carbon-based energy. Indeed, given the importance of continuous energy availability for the operation of AI systems, the controllability (i.e. flexibility) of the energy supply is crucial. The gas resources of all the Gulf countries are a major asset. Apart from Qatar and, to a lesser extent, the United Arab Emirates, which export part of their gas output, a large proportion of gas resources remains unexploited. Saudi Arabia, for example, aims to develop the use of these resources for domestic consumption in order to reduce the share of oil in its electricity mix.

Another example is India, whose electricity mix is still predominantly carbon-based and largely reliant on coal (74%), yet it aims to significantly increase the share of renewable energy sources. By 2030, this share is projected to increase to around 27% of the mix (compared to 20% currently). At the same time, the total capacity of installed data centres is expected to double to nearly 5 GW. More generally, India's production capacity is expected to grow at a sustained average rate of 4.8% between now and 2030. However, these ambitions can only be realised if the electricity grid is developed alongside.

- **Necessary investment in the electricity grid**

The need to invest in improving electricity grids is a global issue due to the growing electrification of various applications and the structurally more decentralised nature of renewable energy production. The development of AI aligns perfectly with this issue. Indeed, it is responsible for a sharp increase in electricity consumption, which in many countries is expected to be bolstered by an increase in renewable energy production capacity.

There is currently no satisfactory measure to assess how effectively national electricity grids are adapting to new demands. The SAIDI (System Average Interruption Duration Index) metric, calculated by the World Bank, assesses the reliability of the grid for its users (*Chart 2*). This represents a national average that does not provide information on the capacity to deliver sufficient quantities of electricity. However, it is an important indicator for the operation of data centres, which must remain free of power cuts. Among emerging countries, China, the Middle East and Eastern Europe have the highest reliability, whereas sub-Saharan Africa has the longest power outages. Asia (excluding China) and Latin America occupy a middle ground.

Investment in network expansion and improvement is primarily led by advanced economies and China, which together accounted for 80% of total global investment in 2024, according to the IEA. Chinese investment accounted for around 20% of the total. In addition, major investment plans are under way in certain Latin American countries (Brazil, Chile) and India (USD 110 billion in investments planned between now and 2032).

MORE RELIABLE ELECTRICITY GRIDS IN CHINA, THE MIDDLE EAST AND EASTERN EUROPE

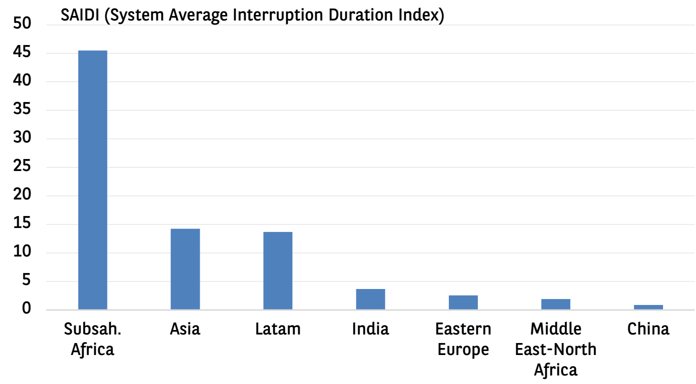

CHART 2

SOURCE: WORLD BANK

While electricity is essential for the deployment of AI, the necessary investments in energy infrastructure could also benefit the economic development of the countries concerned. Given the energy-intensive nature of AI and its rapid expansion, it is becoming increasingly urgent to step up the deployment of low-carbon energy sources to ensure that the rise of AI and decarbonisation can coexist harmoniously.

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Pascal Devaux
pascal.devaux@bnpparibas.com

REGIONAL OVERVIEWS

Article completed on 27 February 2026

CENTRAL EUROPE: GAINING MOMENTUM

In Central Europe, economic growth accelerated slightly to 2.3% for 2025 as a whole, after recording 1.9% in 2024 and 0.7% in 2023. This growth was driven by the dynamism of the Polish economy (+3.6% in 2025) and the Czech economy (+2.5%). The Czech economy demonstrated unexpected resilience, given its significant reliance on foreign trade and the automotive sector. Conversely, Hungarian growth was disappointing, with only marginal positive growth in 2025. Romania faced electoral uncertainties in the first half of 2025 and the introduction of fiscal austerity measures in the second half.

The growth outlook remains favourable for 2026 (2.7% according to our forecasts), with Poland continuing to drive growth. Furthermore, the electoral uncertainties in Hungary and Bulgaria are not expected to hurt their growth markedly. The expected uptick in the Hungarian economy will be partly based on pre-election measures taken by the authorities to support consumption. Bulgaria, which joined the Eurozone in January 2026, should also record robust growth. Meanwhile, growth in Romania is expected to be modest, held back by an ongoing restrictive fiscal policy.

Inflation returned to target levels in 2025 for Poland, Hungary and the Czech Republic. In 2026, it is expected to continue declining across the region. However, in Romania and Slovakia, inflation may remain above the central bank's target. The monetary easing cycle that began last year is set to continue in Poland and the Czech Republic, albeit at a more moderate pace. In Hungary and Romania, only very cautious easing measures are expected this year. In Hungary, the gap between households' inflation expectations and current inflation calls for a cautious approach, while in Romania, inflationary pressures continue to be a concern.

Central European exports held up well in 2025, driven by Poland, the Czech Republic, Slovakia and Romania. Hungary and the Czech Republic have current account surpluses. Conversely, Romania has been grappling with a significant current account deficit for years, a situation that is not expected to change. In Poland, the current account deficit is marginal (less than 1% of GDP in 2025) and is expected to remain so in the short term.

However, external liquidity in the region is strong, with foreign exchange reserves continuing to rise (EUR 563.9 bn, or EUR +37.9 bn in 2025). Central Europe is attracting foreign investment owing to nearshoring activities and rapidly developing sectors such as AI and defence. In addition, bond yields remain attractive. Despite the tariff shock and geopolitical uncertainties, capital flows to the region remained steady in 2025, with a relatively balanced distribution between FDI and portfolio investment flows (totalling EUR 36.4 bn in Q1-Q3 2025, or 1.7% of regional GDP). FDI flows mainly benefited Poland, Romania and the Czech Republic, while Hungary and Slovakia experienced negative flows. Portfolio investment flows were driven primarily by Poland and Romania, with Hungary contributing to a lesser extent. Romania stood out with a spectacular rebound in portfolio investment inflows over the past three years.

Cynthia KALASOPATAN ANTOINE
cynthia.kalasopatanantoine@bnpparibas.com

ASIA: STRONG PERFORMANCE

In 2025, economic growth in Asia weathered the rise in US tariffs much better than expected. It even accelerated to 7.6% in India and jumped to 8% in Vietnam and 8.7% in Taiwan. Growth averaged 5% for the ASEAN-6 (vs. 5.1% in 2024) and remained steady at 5% in China. South Korea and Thailand lagged behind, with economic growth rates of 0.9% and 2.4% respectively.

The region's export performance was very strong, boosted in particular by increased demand for electronic products linked to the AI boom. The ASEAN-6's share of the global market increased slightly, and this increase was most pronounced in the US market. Consequently, the trade surplus of ASEAN countries with the United States increased by USD 8.9 bn (to USD 25 bn), while their deficit with China widened by USD 10.4 bn (to USD 18.2 bn).

Domestic demand was also a key driver of activity in Southeast Asia and India, supported by expansionary fiscal and monetary policies. Conversely, in China, weak consumer demand and private investment worsened in the last few months of the year, and support measures from the authorities remained limited.

India and Indonesia recorded significant net outflows of portfolio investments at the end of the year, while FDI inflows slowed across the region as a whole. The Thai baht and the Malaysian ringgit appreciated by 10% against the USD in 2025, while the currencies of India and Indonesia depreciated by 5% and 3% respectively. In 2025, China consolidated its position as a net external creditor, bolstered by rising current account surpluses, although foreign capital inflows remained constrained. The yuan has appreciated slightly in recent months but remains at a very low level. At the end of 2025, the RMB/USD reference rate was 2% lower than it was at the end of 2024, and the CFETS index (effective exchange rate) was down 4%.

In 2026, growth is expected to slow moderately. The cycle of interest rate cuts has concluded in most countries. Inflation is expected to stay within the targets set by the monetary authorities, making it unlikely for them to raise their key rates. Fiscal policies are likely to become somewhat more restrictive. The main risks to short-term growth are external, linked to geopolitical risks, ongoing uncertainties over US trade policy and the risk of a downturn in the global electronics market. In India, rising oil prices could weigh on economic performance, particularly if the country halts its oil purchases from Russia. In Indonesia, the Prabowo administration is raising concerns about its governance, its less orthodox fiscal policy compared to its predecessor, and the lack of clarity surrounding its economic strategy.

Johanna MELKA
johanna.melka@bnpparibas.com

Christine PELTIER
christine.peltier@bnpparibas.com

REGIONAL OVERVIEWS

Article completed on 27 February 2026

NORTH AFRICA/MIDDLE EAST: VULNERABLE TO GEOPOLITICAL RISKS

The economies of North Africa/Middle East saw a rebound in growth in 2025. It reached 3.4% compared with 2.5% in 2024. Regional GDP is expected to grow by 4.1% in 2026.

The Gulf Cooperation Council (GCC) is expected to remain the main driver of regional growth, thanks to oil exports and strong domestic demand. These countries' ability to finance their diversification programmes remains strong, primarily due to sovereign wealth funds, whose assets exceed twice the GDP of the GCC. Furthermore, the region's enhanced appeal to foreign capital (debt and direct investment) largely mitigates the impact of reduced oil export revenues, thereby averting the need for governments to make drastic cuts to public spending. The ongoing recalibration of Saudi Arabia's Vision 2030 initiative is a good illustration of this. Inflation is also under control, and policy rate cuts in Q4 2025 are expected to bolster credit demand, which is already strong in several countries. The depreciation of the US dollar, to which the GCC currencies are pegged, should help these countries to develop their non-hydrocarbon exports and tourism sector.

For oil-importing countries, economic growth is also sustained, thanks to the strong performance of Egypt and Morocco. With minimal exposure to the tightening of US tariff policy, both countries are reaping the benefits of a rebound in tourism and investment. The scale of infrastructure projects currently underway in Morocco, along with the macroeconomic stabilisation efforts in Egypt, suggest that this momentum is likely to continue in 2026.

Rising regional tensions are a major cause for concern. So far, the impact on countries not directly involved in a conflict has been limited. However, the situation in Iran presents a potentially greater threat. It could lead to various outcomes in the event of US military attacks, including the closure of the Strait of Hormuz, through which almost all trade from the GCC countries passes. Given the region's importance in the global energy market, the repercussions would extend beyond the Middle East.

Stéphane ALBY
stephane.alby@bnpparibas.com

SUB-SAHARAN AFRICA: ENCOURAGING OUTLOOK

The economic outlook for the region has been positively adjusted in recent months. Real GDP growth is estimated at 4.4% in 2025 and is projected to stabilise at 4.6% in 2026. Overall, sub-Saharan Africa has been resilient in the face of the double shock of US tariffs and declining official development assistance. This decline is mainly due to a significant drop in USAID funding (data available as of 16 February indicate a 28% decrease in USAID disbursements in value terms in 2025). Inflation eased in 2025 after two years of intense pressure, and this decline is expected to continue in 2026, enabling some economies to continue their cycle of monetary easing (notably South Africa, Kenya and Nigeria).

The prices of non-oil commodities exported by the continent (including gold, copper, energy transition minerals and platinum) are expected to remain buoyant in 2026. The current account deficit for the region is expected to remain manageable, despite a rise in import growth, particularly from China. Meanwhile, the external accounts of the CEMAC zone countries, where oil accounts for the vast majority of exports, will need to be monitored: the widening of the zone's current account deficit in 2026 is likely to affect foreign exchange reserves, which have already contracted by 13% in 2025.

In addition, developments in external financing sources are causing some concern. According to UNCTAD, in 2025, foreign direct investment received by sub-Saharan Africa (USD 42 bn) contracted by more than 6%. With the rise of AI, which is capturing an increasing share of global capital flows, sub-Saharan Africa risks being further marginalised from FDI unless it increases its integration into value chains and promptly adopts a sectoral strategy for its regional deployment.

LUCAS PLÉ
lucas.ple@bnpparibas.com

LATIN AMERICA: SLOW GROWTH

In 2025, Latin American countries experienced slower growth, from nearly 3% y/y in H1 to less than 2% in H2. The rise in US customs tariffs does not seem to be the underlying factor; on the contrary, exports accelerated sharply in H2, and not only because of soaring metal prices (copper, aluminium) and rising prices for certain agricultural commodities (soya, maize). Brazil's exports of manufactured goods, despite being heavily taxed, also performed well. The notable increase in Mexico's exports is partially attributed to the AI boom.

Growth in the region is being held back by weak domestic demand due to diminished disinflation benefits, deteriorating labour markets (Argentina) and limited fiscal flexibility (Brazil, Mexico, Argentina). Central banks have kept key interest rates high in real terms: this is evident in Brazil, but also in Colombia and Mexico, where real rates exceed potential growth.

Growth in the region is expected to slow in 2026. For the main countries (Argentina, Brazil, Chile, Colombia, Mexico and Peru), it is expected to slow to an annual average of 1.8%, compared with an estimated 2.3% in 2025. Domestic demand is projected to remain constrained. The cycle of monetary easing is coming to an end in Mexico and Chile. Only Brazil retains some flexibility regarding monetary policy; the central bank is expected to begin a cycle of easing in March. Fiscal policy will remain restrictive in Argentina, and in several other countries, increasing debt ratios or debt servicing requirements will necessitate adjustment measures. A decline in copper prices poses a downside risk for Chile and Peru. Elections are a potential source of financial instability for Colombia (with parliamentary elections in March and presidential elections in May), and Brazil (with general elections in October).

With the exception of Peru, the main countries have a current account deficit (moderate as a % of GDP). The highest deficit – that of Brazil – is expected to represent only 3% of GDP in 2025. With the exception of Argentina, net FDI inflows in each of these countries cover at least 70% of the current account deficit. Apart from Colombia, portfolio investment balances are in deficit, which does not mean that these countries no longer attract non-resident investors. Rather, it indicates that residents are diversifying their portfolios. With the exception of Peru, currencies have appreciated against the US dollar since early 2026. Colombia presents higher market risks than the other countries due to the sharp deterioration in its public finances.

François FAURE
francois.faure@bnpparibas.com

KEY INDICATORS

REAL GDP

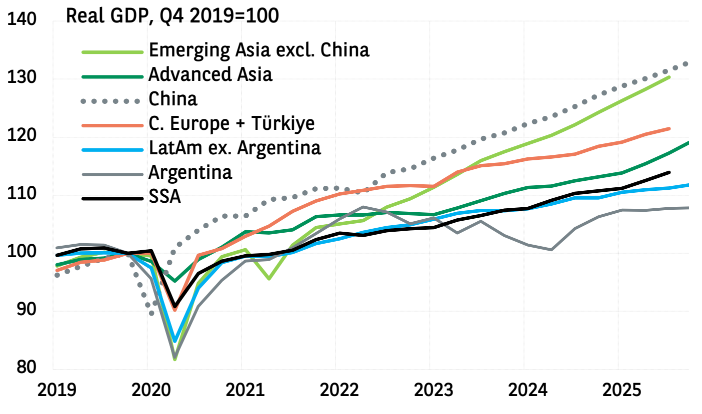

CHART 1 SOURCE: MACROBOND, BNP PARIBAS

INFLATION

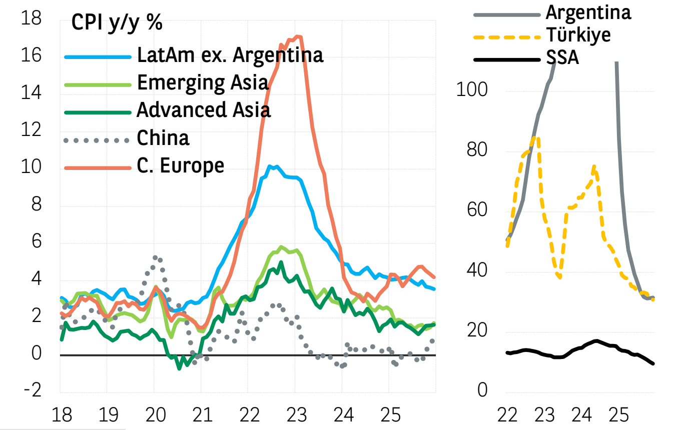

CHART 2 SOURCE: MACROBOND, BNP PARIBAS

DOMESTIC BANK CREDIT

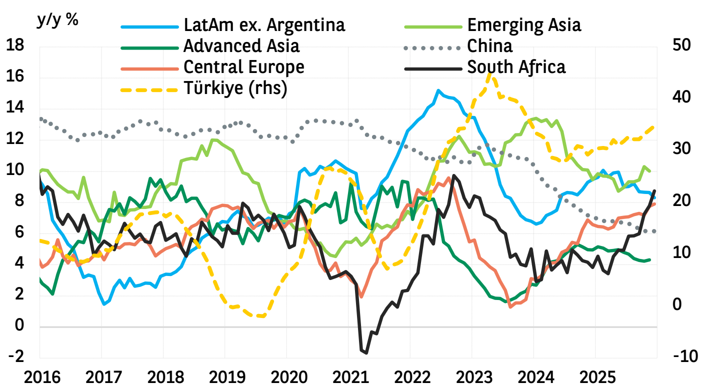

CHART 3 SOURCE: CENTRAL BANKS, BNP PARIBAS

CURRENT ACCOUNT BALANCE

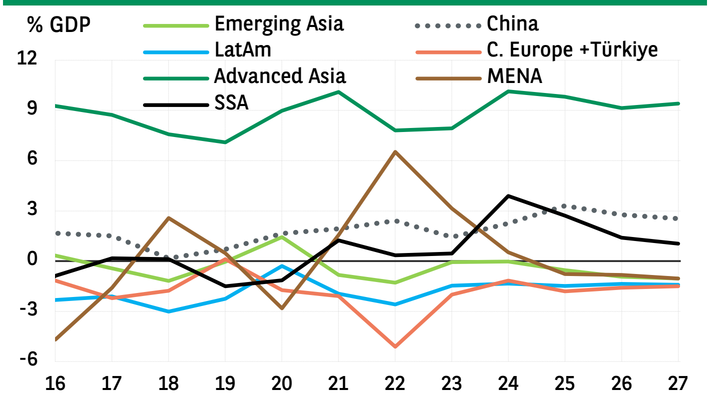

CHART 4 SOURCE: IMF (WEO), BNP PARIBAS

GENERAL GOVERNMENT NET BALANCE

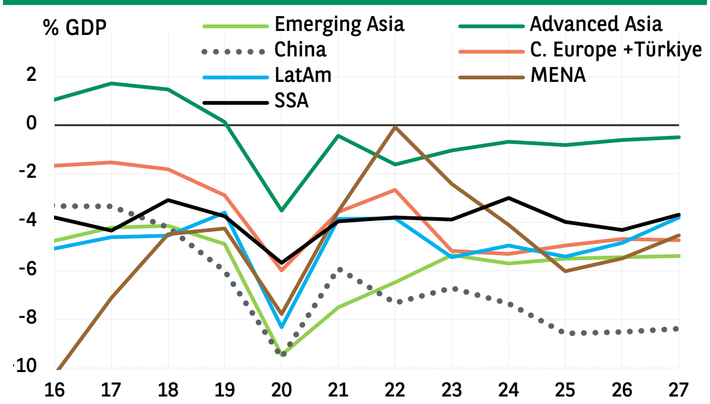

CHART 5 SOURCE: IMF (WEO), BNP PARIBAS

GENERAL GOVERNMENT GROSS DEBT

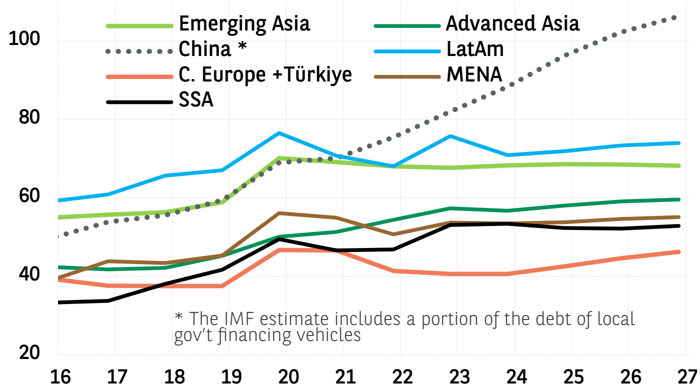

CHART 6 SOURCE: IMF (WEO), BNP PARIBAS

Emerging Asia: India, Indonesia, Malaysia, Philippines, Thailand, Vietnam **Advanced Asia:** Hong Kong, Singapore, South Korea, Taiwan **Central Europe:** Bulgaria, Czech Rep., Hungary, Poland, Romania, Slovakia **Latin America:** Argentina, Brazil, Chile, Colombia, Mexico, Peru **MENA:** Middle East-North Africa **SSA :** Sub-Saharan Africa: Angola, Kenya, Nigeria, South Africa.

CHINA

INNOVATION AND AI DRIVING ECONOMIC DEVELOPMENT

China's economic growth model is based on imbalances, characterised by sluggish domestic demand, excess production capacities, strong exports and the pursuit of self-sufficiency, which have implications for its trading partners. While the IMF has recently reiterated the urgent need to boost private consumption, Beijing continues to give the priority to industrial policy and maintains moderately accommodative fiscal and monetary policies. It places cutting-edge sectors, innovation, AI and technological autonomy at the heart of its development strategy. This strategy aims to foster productivity gains and economic growth, while also consolidating China's dominance in global industry and its commitment to "national security".

GROWTH (INCREASINGLY) DEPENDENT ON EXPORTS

Chinese economic growth held steady at 5% in 2025, the same as in 2024. Quarterly data indicates a slight upturn in Q4 (+1.2% q/q), driven by exports. The imbalances inherent in the growth model have, in fact, intensified since last summer and are expected to continue in 2026.

On the domestic demand front, signs of weakness have worsened, with total investment contracting and household consumption remaining sluggish.

Real estate investment has been declining steadily for four years, while investment by local governments has been constrained by shrinking land sales proceeds and tighter fiscal management rules imposed by Beijing. In the manufacturing sector, companies have been scaling back their investments in recent months as a result of a deteriorating demand outlook, low capacity utilisation rates (averaging 75.2% in Q4), falling prices and profits, and the government's anti-involution directives aimed specifically at reducing production overcapacity. Consequently, the contribution of total investment to real GDP growth reached a record low in 2025 (Chart 1). It could recover slightly in 2026: although the decline in real estate investment is expected to continue (with unsold inventories remaining high), manufacturing investment could see an uptick in "strategic" sectors, spurred on by government policies.

As far as consumers are concerned, the impact of government support diminished in H2 2025, and retail sales growth slowed (from 4.7% y/y in real terms in June to just 0.1% in December). However, this was offset in Q4 by a recovery in demand for services, which was also boosted by fiscal measures. Total consumption (both private and public) saw a slight increase in its contribution to growth in 2025, but it is less vigorous than before the Covid pandemic. Its average growth was estimated at between 4% and 4.5% per year in real terms in 2024-2025, compared with 7.7% during the period of 2015-2019. The short-term outlook is uncertain, still overshadowed by the property crisis, a lack of dynamism in the labour market and low household confidence. Public policies aimed at durably boosting private consumption are likely to remain insufficient.

FORECASTS

	2023	2024	2025e	2026e	2027e
Real GDP growth, %	5.4	5.0	5.0	4.7	4.5
Inflation, CPI, year average, %	0.2	0.2	0.0	0.9	1.0
Official budget balance / GDP, %	-3.8	-3.0	-4.0	-4.3	-4.0
Official general government debt / GDP, %	54.7	60.9	68.4	74.5	77.4
Current account balance / GDP, %	1.4	2.3	3.8	3.6	3.3
External debt / GDP, %	13.4	12.9	12.3	11.3	10.5
Forex reserves, USD bn	3 450	3 456	3 744	3 844	3 924
Forex reserves, in months of imports	13.3	12.7	13.9	13.8	13.5

e: ESTIMATES & FORECASTS

TABLE 1 SOURCE: BNP PARIBAS ECONOMIC RESEARCH

CHINA: EXPORTS REMAIN A KEY DRIVER OF GROWTH

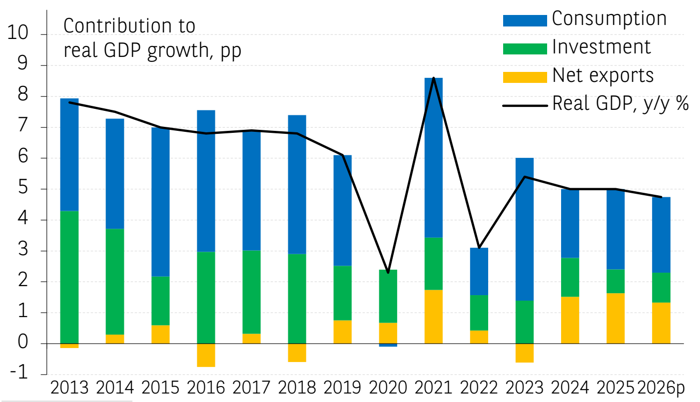

CHART 1 SOURCE: NBS, CEIC, BNP PARIBAS

RECORD HIGH SURPLUSES IN THE TRADE AND CURRENT ACCOUNT BALANCES

On the external demand front, growth in merchandise exports remained robust until the end of the year. The decline in sales to the United States since April (-23% y/y) was more than offset by an increase in exports to other regions of the world, bolstered by the strong price and non-price competitiveness of Chinese goods. The yuan's real effective exchange rate (REER), which was already weak in 2024, lowered further in 2025 (it depreciated by 5.8% in H1, and then appreciated by 3.6% in H2). The average REER index in 2024-2025 was about 10% below its average for the previous five years (based on BIS data). The average export price in USD fell by -2.9% in 2025, following a -6.8% decline in 2024. In volume terms, exports rose by +9% in 2025 (+12% in 2024), while imports remained virtually unchanged (after a +2% rise in 2024), reflecting sluggish domestic demand and Beijing's self-sufficiency targets.

Consequently, on the one hand, the contribution of net exports to growth, which had rebounded strongly in 2024, strengthened further. In 2025, it accounted for one-third of real GDP growth, the highest share since the early 2000s. On the other hand, China's trade surplus increased by 20% in 2025 and reached a record high of USD1189 bn (based on General Administration of Customs data). The current account surplus also expanded significantly, rising from USD424 bn in 2024 to USD735 bn in 2025. It exceeded 3% of GDP for the first time in fifteen years (3.8%).

These recent dynamics have strengthened China's position as a global export power. They have also allowed China to increase its investment overseas (including direct investment, credit and portfolio investment flows) and strengthened its position as a net foreign creditor. Large trade imbalances, the risk of a persistent competitive pressure from Chinese goods, and the stagnation of Chinese imports are expected to continue to fuel severe tensions with most trade partners, including Europe.

DEFLATIONARY PRESSURES, A SYMPTOM OF IMBALANCES

Weak domestic demand and excess production capacities are fuelling deflationary pressures as well as competitive pressures of Chinese goods on export markets. CPI inflation did pick up slightly in Q4 (to +0.6% y/y vs. an average of -0.1% over the first nine months of 2025) and core inflation rose back above +1%. However, these developments are mainly due to temporary factors and the anti-inflation campaign. The latter is likely to remain modest, especially if the authorities revise their production reduction targets for fear of negative effects on growth. Without a resurgence in demand, the alleviation of deflationary pressures will remain limited in the short term.

MONETARY AND FISCAL SUPPORT REMAINS MODERATE IN 2026

Recent statements from Beijing indicate a degree of confidence in the economy's growth prospects – confidence reinforced by the recent reduction in US tariffs[1]. At the annual session of the National People's Congress (NPC) from 5 to 11 March, Beijing is expected to announce its growth target (expected to be 4.5%-5%) and inflation target (expected to be capped at 2%) for 2026, and is likely to affirm its commitment to a moderately accommodative economic policy.

On the monetary front, new measures are likely to be implemented in the very short term in response to the ongoing slowdown in domestic credit growth. This is being held back in particular by the near stagnation in outstanding household loans (+0.4% y/y at the end of 2025, with a 1% contraction in housing loans). In 2026, as in 2025, easing measures will remain cautious and targeted, with, in particular, a slight reduction in policy rates (-20bp expected over the year).

On the fiscal front, the "official" deficit target may be raised (4.3% of GDP projected for 2026, up from 4% in 2025), signalling increased support for growth. However, support from extra-budgetary entities (such as local government financing vehicles) is expected to continue to decline. With regard to the property sector, no new support measures (aside from the purchase of unsold homes by local governments and the relaxation of rules governing home loans and purchases) are expected this year.

Beijing is set to release the full text of the 15th Five-Year Plan for 2026-2030 at the end of the NPC meeting. The Plan's main economic objectives are well known; in particular, they aim to strengthen a "modern industrial system", global leadership and technological autonomy, as well as strengthening the domestic market. With regard to the latter, the authorities are keeping the development of private consumption high on their list of priorities. However, they are not contemplating the far-reaching reforms needed to significantly improve incomes and

CHINA LEADS THE RACE FOR LARGE AI MODELS ALONGSIDE THE US

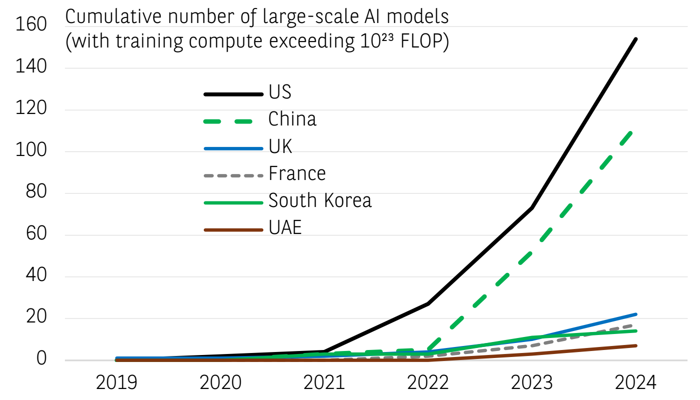

CHART 2

SOURCE: EPOCH AI (2025) – WITH MAJOR PROCESSING BY OUR WORLD IN DATA, BNP PARIBAS

the social protection system. The assistance programmes introduced in 2025, which include subsidies for the replacement of consumer goods, allowances for parents of young children, and pension increases, could simply be extended in 2026. These programmes account for less than 0.5% of GDP, and their impact has been small. In 2025, household consumption accounted for just 40% of GDP (compared to an average of 57% worldwide), and the household savings rate remained very high (estimated at 37% of disposable income, and 35% in 2019).

INNOVATION AND AI AT THE HEART OF THE NEW FIVE-YEAR PLAN

Instead of focusing on the domestic market and consumers, China's strategy will continue to prioritise the export manufacturing sector, green energy and advanced technologies. Industrial policy will remain a key tool, and exports will continue to serve as both a vital growth engine and a strategic asset for China in its rivalry with the United States and its quest for global dominance in strategic sectors. R&D, innovation and artificial intelligence (AI) play a central role in this strategy. The "AI+" initiative, unveiled last August, reaffirmed these objectives, and the 15th Five-Year Plan is expected to underscore the significance of AI in developing "new quality productive forces".

Internationally, China occupies a dominant position in the AI sector (see the Editorial in this issue of EcoPerspectives). China is involved in nearly the entire AI value chain and is developing some of the most powerful computing models (Chart 2). In the AI supply chain, China accounts for 21% of the total "AI-related goods" exported worldwide and controls the supply of critical materials. On the domestic front, AI development and widespread deployment across the country should boost productivity gains and foster growth. Thanks to its highly developed digital infrastructure, its own LLM models and its education system, the country is well-positioned to adopt AI. China therefore has the strategy, infrastructure, energy resources, critical materials and capital to pursue the development of AI in the next five years.

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Christine Peltier

christine.peltier@bnpparibas.com

1 Since 24 February, the US tariffs imposed on China, which previously included "reciprocal" tariffs of 10% (with exemptions) and "fentanyl" tariffs of 10% (without exemptions), have been replaced by the new 10% tax (with exemptions). The effective tariff on US imports of Chinese goods has thus been lowered (to 19% from 31%) and is now more aligned with those of neighbouring countries (e.g. 13% for Vietnam).

ECOINSIGHT

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"The conflict in Iran is already having a significant impact on energy prices, particularly oil and gas. Inflation should therefore rise in March. Beyond that, the outlook will depend on the evolution of the conflict, but the situation remains highly uncertain. In most scenarios, there would be at least a temporary adverse impact."

ECONOMIC RESEARCH

BNP PARIBAS

The bank for a changing world

WAR IN THE MIDDLE EAST: FIRST ASSESSMENT OF THE MACROECONOMIC DAMAGE

The conflict in Iran is already having a significant impact on energy prices, particularly oil and gas. Inflation should therefore rise in March. Beyond that, the outlook will depend on the evolution of the conflict, but the situation remains highly uncertain. Three types of scenarios are plausible: 1) a return to the status quo ante on the hydrocarbon market after a few weeks; 2) a prolonged period of political uncertainty in Iran leading to a relatively modest, but sustained, rise in oil and gas prices; 3) acute and sustained tensions over oil and gas supplies. The latter two scenarios would constitute a stagflationary shock, i.e. one that slows growth and increases inflation. Fortunately, growth was generally robust on the eve of the shock. In addition, inflation was on track to be brought under control, or even better, allowing central banks not to rush to react. Consequently, even in adverse scenarios, growth would slow significantly but remain positive, and major central banks would be forced to tighten their current stance only in the hypothesis of the most severe scenario. Nevertheless, given the latent fragilities in financial markets, which were already apparent in the weeks leading up to this major geopolitical shock, the utmost caution is warranted. This EcoInsight analyses the impact of the various scenarios, first on energy prices and then on inflation, growth, central bankpolicies and exchange rates, for the main advanced and emerging economies.

AN ENERGY SHOCK LIKELY TO BE LESS SEVERE THAN IN 2022

The reaction of oil and gas prices following the outbreak of war in Iran has, so far, been significantly more moderate than in 2022: at their peak, Brent oil prices rose by USD 15/barrel (+20%) to USD 85/barrel, and European gas prices (TTF) rose by EUR 21 (+65%) from EUR 32 to EUR 53/MWh (compared to USD 123 and EUR 240 in 2022). This reflects, on the one hand, the fact that, unlike the global supply shortage that prevailed in 2022 (when the global economy was in full post-COVID recovery mode), on the eve of the conflict in Iran, the oil and gas markets were in a phase of supply growth exceeding demand, and therefore of structural downward pressure on prices. On the other hand, the market seems to view the current shock as less structural. In fact, as Iran was already subject to heavy sanctions on the eve of the conflict, there is no parallel with the European Union's decision in 2022 to wean itself off Russian supplies, on which it was heavily dependent at the time. Nevertheless, the outcome of the conflict in the Middle East is highly uncertain.

In most scenarios, there would be at least a temporary impact. There is still a possibility of a rapid de-escalation that would bring us back to the baseline scenario within a few weeks, but it is rapidly diminishing. On the other hand, the likelihood of a more adverse scenario is increasing[1].

Scenario 1: De-escalation

The conflict subsides and maritime traffic returns to normal, allowing oil and gas prices to quickly return to their initial levels. However, the TTF would peak at around EUR 50/MWh in Q2 2026 due to the halt in production in Qatar. Oil prices would then stabilise at around USD 60-65/barrel and gas at around EUR 25-30/MWh.

Scenario 2: Prolonged uncertainty

Oil prices would initially remain around current levels, then gradually fall by the summer. They would remain higher than in the de-escalation scenario (around USD 70/barrel) for a sustained period. The TTF would peak at around EUR 50/MWh in Q2, as in our de-escalation scenario. Stronger supply constraints would also materialise due to a decline in production in Iran linked to instability in the country.

Scenario 3: An escalation with a sustained de facto blockade of the Strait of Hormuz

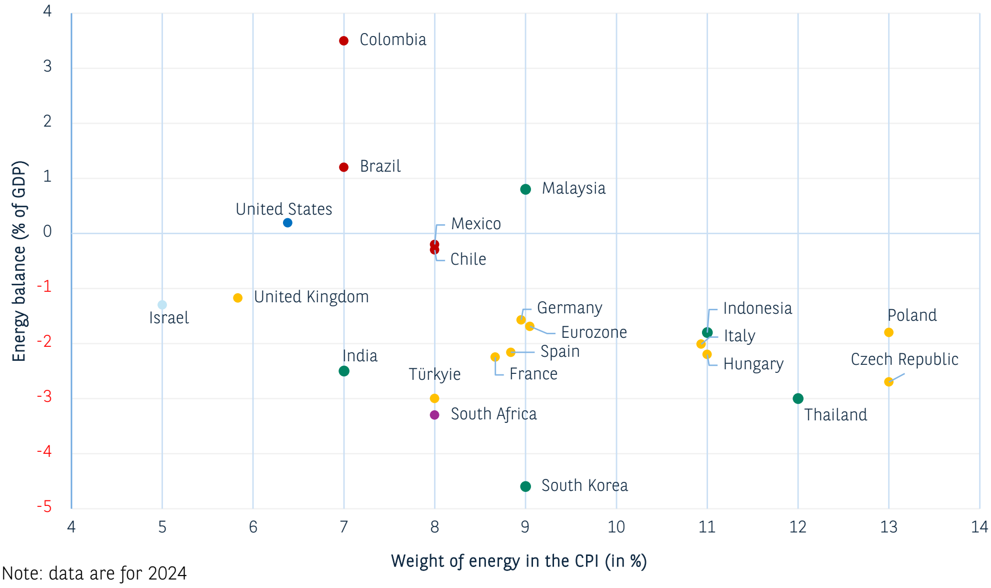
An escalation with a sustained de facto blockade of the Strait of Hormuz. In Q2, Brent would average USD 100/barrel (peaking at USD 130/b) and the European TTF would average EUR 100/MWh, then converge towards Scenario 2 after 3 to 6 months.

A NEGATIVE MACROECONOMIC IMPACT, BUT OF VARYING MAGNITUDE ACROSS COUNTRIES

Countries' exposure to energy shocks depends mainly on two factors: the weight of energy in price indices and the energy balance (Chart 1). The rise in energy prices impacts inflation and interest rates, and through this channel, consumption and investment. External accounts are also impacted. On this basis, Europe and Asia appear as the two most vulnerable regions. However, their macroeconomic fundamentals are sufficiently strong to absorb the anticipated rise in energy prices. Latin American countries appear, a priori, the least vulnerable to the energy price shock. However, their macroeconomic fundamentals and position in the cycle are weaker than in the other regions.

1 For the Eurozone, the risk associated with LNG is greater than that associated with oil. Even without significant destruction of LNG facilities, the market would be structurally tighter due to limited global stocks (particularly in Asia, where Qatar is a major supplier) and very low stocks in Europe. Furthermore, unlike oil, there is no alternative to Qatari LNG (around 20% of global production) in the short term, as other LNG exporters are already operating at almost full capacity. In the event of a prolonged closure of the Strait of Hormuz, the Asian market would compete with the European market for available LNG. Furthermore, even if the conflict were relatively short-lived, the spring-autumn period is when stocks are replenished in Europe, which would maintain some pressure on prices in Europe. Finally, Europe is the importing region that is most dependent on the spot market for its LNG supply, i.e. the gap between demand and supply negotiated through contracts with producers is greatest there.

COUNTRIES' EXPOSURE TO AN ENERGY SHOCK



Note: data are for 2024

CHART 1

SOURCE: UNCOMTRADE, NATIONAL STATS OFFICES

INFLATION TO ACCELERATE QUICKLY, BUT LESS THAN IN 2022

In the Eurozone, fuel prices are already on the rise. However, the impact of higher energy prices on headline inflation depends on whether the shock is permanent or transitory, and on how it transmits to core inflation (which itself depends on the economic context: whether the economy is overheating or has some slack, whether or not inflation expectations are well anchored to the target, whether there are other concurrent factors pushing inflation up or down, etc. Energy prices would rise in two stages: instantly for fuel, while gas and electricity prices would rise more gradually (and at different rates and to varying degrees across the various countries in the area, because of fixed-price contracts with variable revision dates and sometimes state regulations). Furthermore, the experience of 2022 shows that governments could intervene, either through taxation or subsidies, to counteract the rise in energy prices. Overall, in scenarios 1 and 2, the impact on prices would be significant but limited (around 0.5 percentage points at most). In addition, given an initial inflation level below the target and reasonably anchored expectations, it would not be necessary for the ECB to raise its interest rates. In contrast, in scenario 3, our estimates indicate that a barrel price peaking at $130 would generate an additional inflationary burden of of 0.9pp on average in 2026 and 0.4pp in 2027 (the same estimate as the ECB's (December 2023). Under those circumstances, the ECB would probably deem it necessary to tighten policy in order to avoid second round effects act.

In the United States, the impact on inflation is expected to come mainly through higher fuel prices. Scenario 2 is associated with an increase in inflation of +0.3pp in 2026 and +0.15pp in 2027 (versus +0.6pp in 2026 and +0.5pp in 2027 in scenario 3). These estimates line up with those of Presno and Prestipino (FEDS Notes, 2024), who calculate that a 10% increase in the real price of oil leads to a +0.15pp rise in the headline CPI and a +0.06pp rise in core inflation in the first year. Consequently, the impact would be more modest than in the euro area, regardless of the scenario. The US economy benefits structurally from its position as a net exporter of hydrocarbons and from its independence in gas supplies, whose prices are not set at the global level like that of oil. In addition, the interaction with the tariff shock is a key point of attention, especially regarding firms' ability to avoid passing the entire price increases. Nevertheless, the level and trend of inflation on the eve of the shock were significantly less favourable than in the Eurozone (above target and deviating from it).

For emerging economies as a whole, if the oil shock does not spread to agricultural and food prices, its impact on inflation could also be limited. Most economies are in an intermediate phase of their business cycle – neither at the bottom nor at the top (output gaps are either moderately positive or moderately negative). The inflationary impacts should therefore not be amplified. In addition, exchange rate depreciations remain modest (around 1% on average and median against the USD since Friday 27 February 2026). The countries that would be most affected are, those already experiencing high inflation and/or those where the weight of energy in the CPI is highest (see Chart 1).

In the Europe-Africa region, this is the case, for example, for Türkiye, which also has one of the largest energy deficits. Its central bank estimates that a permanent 10% increase in oil prices would lead to an inflation surplus of around 1pp after a year, with half of that effect already materialising in the first quarter. For Poland, a more representative country among emerging net oil importers, an equivalent (+10%) increase would add 0.3ppto inflation. The same price rise would generate an additional 0.5 pp inflation increase in South Africa, whose currency has weakened by 3.7% against the US dollar since the conflict has begun.

In emerging Asia, part of the inflationary shock stemming from higher energy prices should be absorbed by government fuel subsidies, without however fragilizing public finances[1]. Thailand and Indonesia appear to be the two most vulnerable countries, given the weight of energy in their respective consumption baskets. However, in Thailand the ongoing disinflation process should dampen the expected inflationary impact. This will not be the case for Indonesia, where price rises have accelerated significantly since the beginning of the year (+4.8% y/y in February, above the Central Bank's target of 2.5% +/-1%). The Indonesian Central Bank could therefore raise its key rate if oil prices remain sustainably close to USD 80/barrel. By contrast, inflationary pressures resulting from a depreciation of local currencies should be very limited, as Asian currencies have held up fairly well since the start of the conflict.

A SIGNIFICANT IMPACT ON GROWTH, BUT MANAGEABLE WITHOUT A RECESSION

The Eurozone, a net energy importer, would be more affected than the United States and, within it, the most industrialised economies (Germany, Italy) and those where household confidence appears particularly sensitive to a resurgence of inflation (France). In our scenario 2 (prolonged uncertainty), we anticipate a negative impact on growth of around 0.2pp in 2026 and 2027 (each) compared to our baseline scenario. In scenario 3 (escalation of tensions), we anticipate a larger effect, with a decline of 0.5pp in 2026 and 0.7pp in 2027. Nevertheless, the growth levers expected in the Eurozone (such as the European rearmament plans and investment programmes in Germany) should soften part of the shock, albeit with a lower multiplier than initially factored in. The literature (ECB, December 2023) highlights that a Brent price of USD 130/bbl would reduce growth by 0.7pp in the first year and 0.3pp in the following year. The main transmission channel would be uncertainty and a decline in purchasing power. It would directly affect investment (a 1% increase in energy prices due to oil shocks leads to a 4.1% decline in investment spending, according to the ECB, 2024) and household consumption (especially of durable goods, as during the 2022 energy crisis, according to the ECB, 2022). At the sectoral level, manufacturing would be hardest hit because of its cyclical sensitivity and heavy dependence on energy inputs. As in 2022, the impact on household confidence should be immediate. Their saving rate would fall in the short term (inflation cutting real household income), then rise as a precautionary response. Consequently, the expected rebound in consumption could be delayed, and the saving rate remain persistently high.

INFLATION SCENARIO IN THE EUROZONE

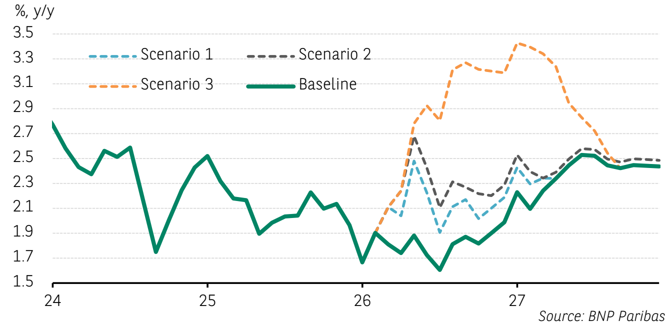


CHART 2 SOURCE : BNP PARIBAS

In the United States, the impact on growth would be slightly lower than in the Eurozone. The importance of domestic energy production acts as a dual buffer. It tempers the transmission of higher market prices and allows a pickup in investment in energy production to offset in part a decline in demand from consumers and non-energy sector corporates. Blanchard and Gali (2008) point out that oil prices now affect growth less than in the past because of a more credible monetary policy and the declining weight of oil in aggregate consumption. Furthermore, the energy shock occurs in a context where the productivity boost associated to artificial intelligence (AI) could be an offsetting factor. Nevertheless, household consumption is likely to slow sharply and immediately under the price increases, while the additional investment would take longer to support the economy.

The impact of the conflict in the Middle East on oil and gas will affect India more than China. In terms of oil, the energy shock is not expected to impact China in the short term given the level of its strategic reserves (1.2 billion barrels). China can absorb the loss of 1.5 million barrels of Iranian crude oil per day without weakening its reserves (Iran accounts for 11% of China's crude oil imports). India has sufficient oil reserves to cover 45 days (only 6 days of crude oil), which is still modest in terms of ensuring its energy security. Following the agreement with the US administration, the Indian government began to turn to Russia with two tankers carrying a total of 1.4 million barrels of Ural crude. In terms of gas, Qatar is one of the world's largest producers of LNG (around 20% of global production) and a key supplier to Asian countries. Qatari LNG accounts for half of India's LNG imports and around 30% of China's. However, Qatar has no alternative but to use the Strait of Hormuz for its exports. A prolonged closure of this strait therefore directly threatens India's energy security. For China, the short-term consequences are less significant as it has other sources of gas supply (via pipelines and domestic production).

In the rest of emerging Asia, growth should remain robust thanks to government support policies. Three countries stand out for providing direct subsidies: Indonesia and Malaysia for petrol (and gas for Indonesia), and India (for gas). In recent years, their governments have significantly reduced their subsidies (which were raised at the start of the conflict in Ukraine in 2022). An increase in subsidies could be decided if oil prices stay persistently high.

1 In Malaysia, the rise in petrol prices could raise public spending by 0.6%-0.8% of GDP (depending on the scenario chosen). However, the cost would be entirely offset by the increase in dividends received from the state-owned oil company PETRONAS. In Indonesia, the government had used a conservative assumption of USD 70/barrel in its 2026 budget. The oil price increase could lead to an additional expenditure of about 0.1% of GDP. In India, gas subsidies for the 2026/2027 fiscal year are estimated at 0.04% of GDP. Therefore, the price increase does not pose a fiscal risk for the country.

CENTRAL BANKS CAN STAY THE COURSE UNLESS A SEVERE SCENARIO UNFOLDS

The ECB is likely to adopt a wait and see stance. Before the outbreak of the war in Iran, the inflationary backdrop in the Eurozone was favourable, and our initial baseline scenario predicted inflation remaining below the 2% target in 2026. Inflation will now probably exceed that level, but the acceleration in core inflation should stay modest, prompting the ECB to observe the developments before taking action. In any case, this shock tests the new **monetary policy strategy** that the **ECB** unveiled in June 2025, which is expressly designed to tolerate modest, temporary deviations - both upward and downward - from the 2% target. The ECB will have to strike the right balance between (i) not overreacting (the energy shock will initially affect imported inflation, over which the ECB has little control) – which would amplify the negative effects on economic activity and household purchasing power; (ii) ensuring that key interest rates are high enough to limit second-round effects (wages pressures, inflation expectations) if the shock persists. At this stage, our scenario still envisages a status quo in 2026, followed by two rate hikes in the second half of 2027.

The Fed is expected to raise rates if market inflation expectations become unanchored. A rise in fuel prices constitutes a negative supply shock that monetary policy cannot directly address (**J. Powell, 2022**). Furthermore, aggregate demand is not as strong as it was in 2022 and the supporting factors that were present then (post-pandemic reopening, excess savings, labour market tensions) are now absent. In addition, the Fed Funds starting point is relatively high, around+3.5% - +3.75%, about 60bp above the FOMC's long-term estimate, whereas it was the zero lower bound four years ago. The reaction function would therefore shift further toward price stability.

The Bank of Japan's goal appears to be the same: not to deviate from its path of reducing the degree of accommodation. A stagflationary shock would not materially change the terms of the equation for the BoJ, which must, on the one hand, arbitrate between inflation, the risk of being «behind the curve» and the level of the JPY (rate hike) and, on the other hand, the adverse consequences for economic activity – even ameliorated by fiscal policy – the competitiveness of the export sector and financial conditions (stability).

FX: A MODEST COMEBACK FOR THE DOLLAR

While the dollar had been on a downward trend for a year, the situation is creating a renewed appetite for it. In the case of EUR/GBP and from a strictly macro/FX interaction perspective, a growth differential that favours the United States and the disappearance of the probability of Fed rate cuts are factors that would support the US dollar. In addition, a positive correlation between the USD (in terms of real effective exchange rate) and the price of Brent crude as existed since the United States became a net exporter of hydrocarbons (2020). In fact, the currencies of other oil-producing countries (such as the Canadian dollar) have also been supported since the surge in oil prices. The magnitude of the USD, however, is for now limited and is likely to remain so in the absence of more durable disruptions (as envisaged in scenario 3).

Article completed on 6 March 2026 by the Advanced Economies team and the Emerging Economies team of the Economic Research.
With the help Clara Ngo Ba Do (intern)

GROUP ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com

Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com

Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

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US–CHINA TARIFFS AND THE GLOBAL REALLOCATION OF CHINESE EXPORTS: IMPLICATIONS FOR ITALY

In 2025, US-China trade tensions led to a sharp drop in US imports from China, while Chinese exports to other regions increased, indicating early signs of trade diversion. For Italy, estimates point to limited but notable export displacement, concentrated in specific sectors, alongside potential gains from lower-cost Chinese intermediate and capital goods. Italian firms report stronger competitive pressures and heightened uncertainty, particularly among exporters. Despite the challenges posed by tariffs and the redirection of Chinese exports in 2025, Italian exports have proved resilient, with growth recorded especially towards the United States.

US import growth weakened markedly in 2025, driven by a sharp decline in imports from China amid escalating trade tensions. At the same time, Chinese exports proved resilient overall[1], growing by 5.5% despite a 20% fall in shipments to the United States. Export growth to other regions remained robust, notably to the Eurozone (+8%), ASEAN (13%), Latin America (7%) and Africa (26%). A key question arises as to whether and to what extent this trend indicates trade diversion in response to higher US tariffs or other adjustment mechanisms: indeed, delays in implementation and policy uncertainty complicate a timely assessment of tariff-induced trade reallocation.

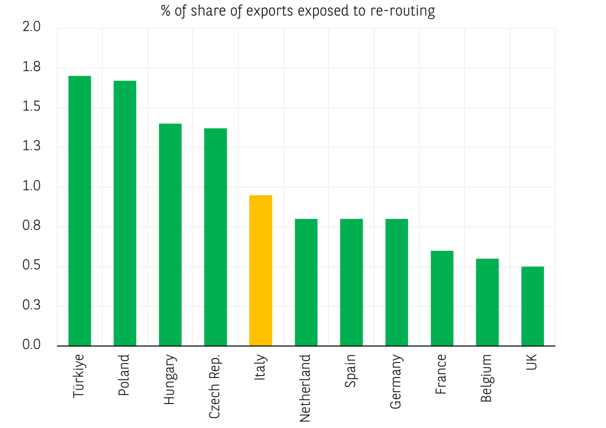
Although the empirical evidence is still limited, early indications of trade diversion are apparent, especially in consumer goods, where higher US tariffs on Chinese products are accompanied by a notable rise in Chinese export growth to other destinations. Based on alternative trade elasticity assumptions[2], Chinese exports to the US could decline by between USD 90 bn and USD 310 bn per year[3].

The Bank of Italy has estimated, for a selection of countries, the share of exports that could be displaced by surplus Chinese supply resulting from trade deflection[4]. For Italy, displaced exports would represent approximately 1% of total exports under the upper-bound elasticity scenario (around EUR6.4 bn). While lower than in most emerging market economies, this share is among the highest in advanced economies, especially when compared to Germany and France (*see chart, left panel*). Under the lower-bound elasticity scenario, the share falls to approximately 0.3% (around EUR 1.9 bn).

Italy's Sectoral Exposure to Chinese Trade Deflection

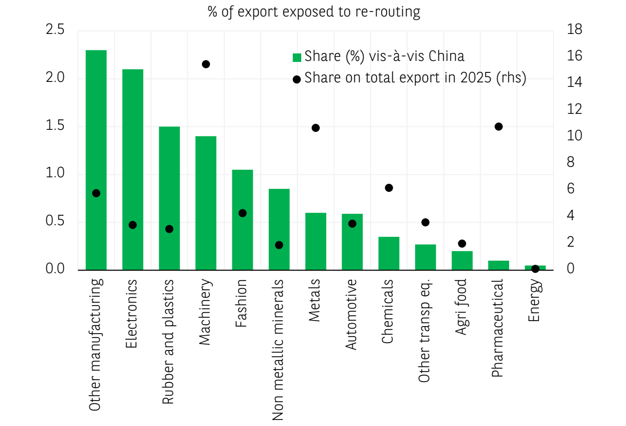
The impact varies significantly across sectors (*see chart, right panel*). The most affected industries include other manufacturing (such as toys), electronics, rubber and plastics, and machinery. By contrast, pharmaceuticals and other transport equipment, although highly exposed to US tariffs, show below-average exposure to trade deflection.

Trade deflection of Chinese goods might impact Italy's exports marginally, although more than Germany's and France's



SOURCE: BANK OF ITALY, ISTAT, BNL CALCULATIONS

Italy's sectoral exposure to Chinese trade deflection varies significantly across sectors



SOURCE: BANK OF ITALY, ISTAT, BNL CALCULATIONS

1 ECB, "Global trade redirection: tracking the role of trade diversion from US tariffs in Chinese export developments", in Economic Bulletin, Issue 1/2026.
2 A lower bound of -0,75 and an upper bound of -2,5, consistent with estimates from the 2018-2019 US-China trade war.
3 Bank of Italy, "The effects of US tariffs on Italian firms: an ex ante micro-level perspective", Questioni di economia e finanza, no 994, December 2025.
4 For each product, the Chinese exports diverted from the United States are redistributed across alternative destinations in proportion to China's existing export share in each country. It is assumed that, within each market, the surplus of Chinese goods displaces foreign producers according to their respective market shares.

At the same time, additional Chinese supply on the domestic market could reduce input costs for Italian firms. Approximately 60% of Italy's imports from China consist of intermediate and capital goods. Trade deflection could therefore act as a positive supply shock for firms using these inputs, potentially leading to a reduction in production costs in certain sectors.

Between May and June 2025, the Survey on Inflation and Growth Expectations conducted by the Bank of Italy gathered Italian firms' assessments of the potential effects of increased Chinese supply in their reference markets in the short run: 34% of manufacturing firms and 24% of service firms anticipated a rise in Chinese competitive pressure, with expectations more prevalent among exporters. Most firms indicated intensified competition and downward pressure on selling prices as the main transmission channel. A smaller, but still significant, share highlighted lower intermediate input prices. Firms more exposed to trade deflection also reported heightened medium-term uncertainty and greater caution in their investment plans.

However, against a challenging international backdrop, characterised by trade tensions and changing global dynamics, the overall impact of tariffs turned out to be less severe than expected so far. Italian exports proved more resilient than anticipated, recording year-on-year growth of 3.3%, with particularly strong performance in the United States (+7.2%), which remains the second-largest export market after Germany. The trade surplus reached EUR 50,746 million, significantly bolstered by the substantial surplus in non-energy products (EUR 97,685 million).

Simona Costagli
simona.costagli@bnpparibas.com

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READINESS 2030: ONE YEAR AFTER ITS ANNOUNCEMENT, THE EUROPEAN REARMAMENT PLAN IS ON TRACK

Following the announcement on 4 March 2025 of a joint plan to invest EUR 800 billion in defence within the European Union (EU) by 2030, Member States have been gearing up for action. One year on, the initial assessment is fairly positive. Promises are being kept and, according to our estimates, EU countries spent nearly EUR 400 billion in 2025, slightly more than expected. Germany, the countries of Northern Europe and those that spent the least (including Spain) have agreed to a significant increase in spending. They are therefore aligning with the countries of Central and Eastern Europe that had already implemented this effort (in particular Poland and the Baltic states). Investment represents a growing share of expenditure and R&D is increasing rapidly. Spillover effects are emerging in European industry, contributing to the rebound in its production. Member States and the European Union have adopted instruments, which were virtually non-existent before, to facilitate the additional increase in investment in 2026. Military spending is projected to reach 2.5% of European GDP (+0.6 pp more in two years) and exceed the 2% of GDP threshold in over three-quarters of Member States.

MILITARY SPENDING IN THE EU: NEARLY EUR 400 BILLION IN 2025

According to our estimates, military spending in the European Union increased slightly faster than initially expected by the European Defence Agency (EDA). It has reached nearly EUR 400 billion in 2025 (compared to EUR 392 billion according to the EDA), marking an increase of almost 17% relative to 2024. European countries allocated an additional quarter of a percentage point of GDP to this sector (2.15% in 2025, as opposed to 1.9% in 2024), in line with our June 2025 estimate.

Germany's effort has been significant (+20% compared to 2024). The country is continuing a trend that began several years ago, which has resulted in it having the second largest military budget in NATO since 2023 (having been fourth until 2021). However, the effort is not confined to Germany alone. According to data from the IISS's The Military Balance 2026 report, other countries have significantly increased their defence spending as well, notably Denmark (+114%), Belgium (+59%), Spain (+43%) and Sweden (+31%). The total spending increase in these four countries exceeds Germany's in absolute terms.

As a result of these budget increases, 18 of the 27 EU countries have already met the 2% of GDP threshold for annual military spending. Italy and Spain remain slightly below this threshold but are expected to reach it by 2026.

However, there is still some way to go before more countries reach the target of 3.5% of GDP by the end of the decade (only Poland and the Baltic States are currently on track). 2026 should see a further acceleration in military spending, with expenditure increasing by nearly EUR 80 billion to reach 2.5% of EU GDP.

INVESTMENT SPENDING IS ON THE RISE

According to EDA estimates, investment should have reached nearly EUR 130 billion in 2025 (up from EUR 106 billion in 2024), and its share of total expenditure is expected to have kept increasing: 32.5% in 2025 compared to 31% in 2024. Consequently, EU armed forces are seeing their capital intensity increase: investment spending reached nearly EUR 90,000 per soldier in 2025, nearly double the amount from 2020.

Out of the total investment expenditure, estimated at EUR 130 billion, equipment should have exceeded EUR 100 billion (103 billion) for the first time in 2025, but not at a rate faster than total expenditure (+17% y/y). A more rapid increase will be necessary to raise the equipment levels in European armies, but this will remain limited in the short term by the production capacity of the sector.

DEFENCE : SIGNIFICANT INCREASE IN MILITARY SPENDING AND SHARE OF INVESTMENT IN THE EUROPEAN UNION

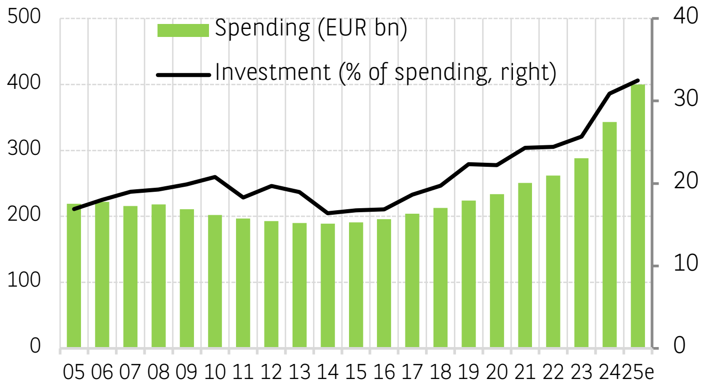

CHART SOURCE: EUROPEAN DEFENSE AGENCY, BNP PARIBAS

The net increase in other investment expenditure is encouraging. Research and development spending is estimated to have reached nearly EUR 17 billion in 2025 (+30% y/y, and +67% compared to 2022), and EUR 6 billion in research and technology (+20% y/y and +67% over three years). This technological shift in investment spending reflects the desire to improve a European production in cutting-edge sectors, ranging from drones to satellite systems, which will enable European armies to establish their own communication infrastructures.

More good news: the knock-on effects for industrial activity are beginning to materialise, and the outlook for activity is improving. The manufacturing PMI rose to 50.8 in February in the Eurozone, marking its highest level since June 2022, buoyed by new orders, particularly in the aeronautics and defence sectors.

This improvement is extending to a growing number of sectors. According to the European Commission's manufacturing sector survey, the balance of opinions regarding future production improved from +5 in July 2025 to +17 in January 2026 in the computer, electronics and optics sector in the EU. The ripple effects should also benefit the construction sector and those producing essential intermediate goods (e.g. metallurgy). This is reflected in the net improvement in industrial orders in Germany (see our analysis).

This momentum is also evident in France, where the business climate in industry averaged 103.2 over the last three months, the highest since the end of 2022.

The impact on growth should be visible in the Eurozone. Growth is projected to reach 1.6% in 2026 (due to the direct and knock-on effects of additional defence spending), compared with 1% without an increase in spending.

THE EU IS ORGANISING ITSELF TO SOURCE MORE SUPPLIES INTERNALLY

In 2025, initial steps were taken towards the EUR 800 billion plan announced on 4 March 2025. However, defence remains a national responsibility, and its ramp-up is primarily a matter of domestic policy. In particular, alongside budget increases, a number of countries have launched initiatives to finance defence sector companies, such as the Public Investment Bank's defence fund in France, which is set to receive EUR 450 million.

However, the EU has also developed mechanisms to boost momentum and increase procurement within its borders, as nearly half of military equipment is still sourced from outside the EU, mainly from the United States. This includes the SAFE (Security Action For Europe) programme, which offers EUR 150 billion in financing through long-term loans. This instrument can only be mobilised if the share of non-European inputs is less than 35% of the project's total value. The national plans of eight countries, including Spain, Belgium and Denmark, have been approved, amounting to EUR 38 billion, paving the way for the first disbursements. The EU has also established tools in order to coordinate joint public procurement, known as EDIRPA (European Defence Industry Reinforcement through common Procurement Act), which enabled EUR 11 billion in joint purchases to be financed in 2024, with figures for 2025 yet to be released.

These public initiatives must also be accompanied by increased market financing for defence companies, especially for new players. The IISS's Military Balance report indicates that these funds, which did not exist in 2024 and are of the venture capital or VC type, successfully raised nearly EUR 2.4 billion at European level in 2025, starting from a very low level.

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In 2025, there was an initial increase in military spending across Europe, which is expected to gain momentum due to the projects planned for 2026. There are numerous calls for tenders, and more than ever before, these will have to be submitted to European companies, which means developing a European offer. Production capabilities may be constrained in the short term by a shortage of available labour. Unemployment is low in many countries, and skilled workers, who are by definition scarce, will be essential for carrying out these projects.

However, the industrial dimension of European rearmament presents a potential opportunity, especially considering the challenges faced by European industry recently, particularly in the automotive sector. Current production capacity is not being fully utilised. The process of converting industrial sites has begun, with additional sites likely to follow. According to our estimates, the production capacity available for reallocation within the EU could amount to approximately EUR 180 billion (see our study).

Stéphane Colliac

Find out more in our scenario and forecasts

CONFLICT IN THE GULF

Stagflationary shock. The ongoing military operations in the Persian Gulf are disrupting oil and gas supplies to Asia and Europe, at least temporarily, while also heightening geopolitical uncertainty. A significant rise in the price of these resources can be expected (*see below*), which would have a downward effect on growth and an upward effect on inflation. Europe is particularly exposed to this risk. The duration of the conflict and its impact on energy exports from the sub-region will determine the magnitude of the anticipated effects. In the case of a limited shock (in terms of duration and scale), the impact would be reflected in a few decimal points of GDP and inflation.

ADVANCED ECONOMIES

UNITED STATES

United States: Household confidence improves and producer prices rise. The household confidence index (Conference Board) has risen to 91.2 (+2.2 points), bolstered by a positive employment outlook. Regarding the relationship between AI and employment (see our analysis), Fed members hold differing views. Some, including Governor Cook and Raphael Bostic, CEO of the Atlanta Fed, perceive a "significant" negative impact that does not warrant a reduction in interest rates, while others, including Governor Waller and Susan Collins, CEO of the Boston Fed, consider the impact to be "negligible". Producer prices rose in January (+0.5% m/m, +0.8% excluding food and energy), driven by service prices (+0.8% m/m), in contrast to a decline of 0.3% m/m for goods. Year-on-year, the headline index fell by 0.2 pp (to +2.8% y/y), while the core index reached +3.6% (+0.3 pp). Thousands of companies have filed lawsuits to recover customs duties that were ruled illegal by the Supreme Court. US Trade Representative J. Greer indicated that the administration plans to exempt countries that have trade agreements with the United States from the universal 15% rate announced by President Trump, which is an increase from the previously planned 10% rate following the Supreme Court's ruling. However, no legal act has yet confirmed the new temporary rate of 15%, and existing law requires that customs duties adopted under Section 122 must be applied uniformly to all countries concerned, some of which may be entirely exempt. *Coming up: employment survey (Friday), ISM manufacturing (Monday) and non-manufacturing (Wednesday), Q4 2025 productivity and Fed Beige Book (Wednesday), foreign trade (Wednesday) and January retail sales (Friday).*

EUROZONE / EUROPEAN UNION

European Union: Agreements and disagreements. The free trade agreement with Mercosur is set to come into force, albeit on a provisional basis, as the European Parliament has referred the matter to the European Court of Justice. The EU and the United Kingdom have signed an agreement on coordination and information sharing concerning cross-border mergers and anti-competitive practices (EU-UK Competition Cooperation Agreement). The European Commission (EC) has postponed the announcement of the Industrial Accelerator Act until 4 March, with disagreements centring on the definition of "European preference".

Eurozone: Confidence indicators remain broadly positive. The manufacturing PMI rebounded in February (+1.3 points to 50.8). Although the EC's Economic Sentiment Indicator (ESI) declined, its three-month average reached its highest level since April 2023. In addition, household confidence rose above its 2025 highs. In January, median household inflation expectations fell over a 12-month period (-0.2 pp to 2.6%). The ECB published its 2025 balance sheet, which shows a reduction of EUR 37.3 billion to EUR 603.3 billion, attributed to the non-reinvestment of securities held under the APP and PEPP. *Coming up: inflation (Tuesday), January unemployment rate, PMI (Wednesday), January retail sales and minutes of the February ECB meeting (Thursday), Q4 GDP/employment (Friday).*

- France: Rebound in consumption and household confidence, moderation in business climate. GDP growth was confirmed at 0.2% q/q in Q4 2025 (0.9% in 2025), with private consumption growth revised upwards (from 0.1pp to +0.4% q/q). The household savings rate continued to decline in Q4 (17.9% of gross disposable income, -0.4pp q/q). Household confidence rebounded to 91 in February (90 in January), bolstered by a more positive outlook on prices, personal financial wealth and the standard of living in the country. However, the balance for unemployment deteriorated (+2 points m/m to +48 in February, +33 on average historically), in line with a deterioration in employment in Q4 (-40,000 jobs in Q4) and the employment climate (92.7 in February, -1 point m/m, the lowest since April 2021) in the INSEE business climate survey. This survey also showed a decline in February from 99 to 97, impacted by services (index at 95, -3 points m/m) and industry (102, -3 points m/m, although the 3-month average stands at 103.2, the highest since Q1 2023), as confirmed by the manufacturing PMI. Harmonised inflation rebounded in February to 1.1% y/y, compared with 0.4% in January, due to two base effects (a rebound in goods prices after the sales and stable electricity prices, compared with a decline in February 2025). Existing house prices increased by 0.5% q/q in Q4 (+1.1% y/y), with transactions reaching 951,000 sales in 2025 (845,000 in 2024). The percentage of households intending to buy a home within the next two years averaged 9.8% over the last three months, the highest level since Q2 2022. *Coming up: Composite PMI (Wednesday), industrial production (Thursday).*

- Germany: Improvement in manufacturing PMI, moderation in inflation. The manufacturing PMI is at its highest since June 2022 (50.9; +1.8 points m/m), driven by new orders and production. In Q4 2025, growth (+0.3% q/q) was driven by contributions from both private and public consumption, each contributing 0.3pp. However, household confidence declined in February according to GfK (-0.5 points to -24.7). The propensity to save is currently at its highest since 2008, which is negatively impacting purchasing intentions. Harmonised inflation stood at 2.0% in February (-0.1pp m/m), while core inflation remains stable at 2.5%. *Coming up: Composite PMI (Wednesday), industrial orders (Friday).*

- Italy: Improvement in business climate and household confidence. The manufacturing PMI rebounded in February (50.6; +2.5 points m/m, bolstered by new orders and production) and returned to its November level after two difficult months. Household confidence is improving (+0.5 to -14.9, the highest since Nov. 24), supported by purchasing intentions (+2.7 pts m/m). *Coming up: inflation (Tuesday), composite PMI, January unemployment rate and Q4 GDP (Wednesday), January retail sales (Thursday).*

- **Spain: Developments remain favourable.** The manufacturing PMI saw an improvement in February (50.0; +0.8 pts m/m) alongside an increase in household confidence (+0.2 pts to -1.4). Harmonised inflation rose (+2.5% y/y; +0.1pp m/m) due to increases in fuel, tourism and food prices. *Coming up: unemployment (Tuesday), composite PMI (Wednesday), January industrial production (Thursday).*

JAPAN

Manufacturing output up, core inflation persistent. Manufacturing output rose by +2.7% m/m in January (it was stable in December 2025), with a notable +9.1% m/m rise in vehicle production. Core inflation in Tokyo fell to +1.8% y/y (-0.2pp) in February 2026, marking its lowest level since the end of 2024 (due to energy subsidies). The index that excludes

Find out more in our scenario and forecasts

unprocessed food and energy saw an increase (+0.3% m/m, +0.3pp, and +2.5% y/y, +0.1pp), highlighting ongoing inflationary pressures. The government announced that Professors Ayano Sato and Toichiro Asada, who support an accommodative monetary policy, will be joining the BoJ's monetary policy board in 2026. *Coming up: speech by BoJ Governor K. Ueda (Tuesday), consumer confidence (Wednesday).*

UNITED KINGDOM

According to GfK, household confidence fell in February after three months of growth (to -19; -3 pts m/m), in line with trends in unemployment. The manufacturing PMI saw a decrease compared to January (-0.1 points in February to 51.7) but remains above its previous high in August 2024. House prices rose by 0.3% m/m in February and January (Nationwide index). *Coming up: Composite PMI (Tuesday), Spring Statement by the Chancellor of the Exchequer (Tuesday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Gulf countries: Drawn into war. Direct strikes by Iran on Gulf countries have immediate economic ramifications (oil market, air travel, domestic consumption and tourism). While these economies can absorb the shock in the short term due to robust macroeconomic fundamentals, a regional escalation of the conflict could have significant repercussions in terms of security and economic diversification.

South Africa: Striking a balance between fiscal consolidation and protecting growth in the 2026 budget. The Treasury has made a slight upward adjustment to its fiscal deficit target (+0.1 to +0.2pp per year). This adjustment reflects a decrease in anticipated revenues due to the retraction of new taxes aimed at easing pressure on households and businesses. However, fiscal consolidation remains intact. The fiscal deficit is expected to fall from 4.5% of GDP in the current fiscal year (FY) to 2.9% of GDP in FY 2028/2029. Central government debt is estimated to have already peaked at 78.9% of GDP and is expected to gradually decline from FY2025/2026 onwards, reaching 76.5% of GDP in FY 2028/2029. The budget was well received by investors: the yield on 10-year sovereign bonds in local currency fell to 8.2% last week, marking its lowest level since 2016.

ASIA

China: The National People's Congress (NPC) will hold its annual session from 5 to 11 March. At this event, Beijing will announce its growth targets for 2026, which are expected to be between 4.5% and 5%, and is also expected to reaffirm its commitment to a moderately accommodative economic policy. The comprehensive Five-Year Plan for 2026-2030 will be published after the NPC meeting.

India: Growth even stronger than initially estimated. Following the GDP rebasing conducted by the National Institute of Statistics, growth for the 2025 calendar year reached 7.5%, compared to 7.2% in 2024, marking one of the highest growth rates in Asia after Vietnam. The preliminary growth estimate for the 2025/2026 fiscal year, which concludes at the end of March, has also been revised upwards by +0.2pp to +7.6%. The rebasing of statistics shows that the manufacturing sector's contribution, although still less than that of agriculture (17.7% of GDP), has increased to 16.2% of GDP. In February, the manufacturing PMI rose slightly to 56.9.

Southeast Asia: Manufacturing PMIs remain strong. Except for Malaysia, where the index fell to 49.3, all PMIs in the region rose in February and remained above 50, ranging from 53.5 in Thailand to 54.6 in the Philippines.

EMERGING EUROPE

Hungary: Key interest rate cut by 25 basis points. In line with expectations, the Central Bank cut its key interest rate to 6.25%, marking the first cut since August 2024. The significant decrease in inflation in recent months has paved the way for a cycle of monetary easing, which is expected to be cautious in 2026. A further rate cut is expected by the end of the year. Given the risk of volatility of the Hungarian forint, the Central Bank is likely to remain cautious. In February, the manufacturing PMI showed improvement, rising to 51.3 from 50 in January.

Türkiye: Slowdown in growth in Q4 but a good year overall in 2025. In Q4, GDP growth slowed to 0.4% q/q, compared with an average of just over 1% in the previous two quarters. For the year as a whole, it stabilised at 3.6% y/y, compared with 3.3% in 2024. Growth was primarily driven by domestic demand. On the other hand, foreign trade contributed negatively, especially in the second half of the year, resulting in an unbalanced growth trajectory.

LATIN AMERICA

Argentina: Acceleration of growth in December. The INDEC supply-side activity indicator (a reliable proxy for GDP) jumped sharply by 1.8% in December compared to November (seasonally adjusted data) after declining in the previous two months. For the quarter as a whole, the index rose by 0.8% (+2.3% compared to Q4 2024). For 2025 as a whole, growth stood at 4.4%, driven by substantial growth in the agricultural sector (+10.6%), similar to 2024, and in financial intermediation (+26.8% after -3.3% in 2024, probably linked to the lifting of exchange controls). Industrial activity saw a modest increase of 1.6% due to a strong positive base effect at the end of 2024 and the beginning of 2025. However, at the end of the year, it contracted (-1.5% year-on-year in December 2025).

COMMODITIES

As a result of the conflict in Iran, the price of Brent crude reached USD 80 per barrel on Monday, 2 March. In the very short term, the extent of the rise in oil prices will depend on the disruption to exports: if the Strait of Hormuz remains blocked in the coming days, the price could exceed USD 100/b. Following a spike linked to the attacks, oil prices will largely hinge on the situation in Iran. In the event of a regime change leading to a power vacuum, a risk premium of USD 10/b would be added compared to a scenario with no regime change or blockade of the Strait of Hormuz. However, the potential for a more significant price increase is considerable, especially if there are attacks on oil production facilities in the region.

European gas prices (TTF) have also risen sharply (by more than 30% since 27 February) following a reduction in maritime traffic in the Strait of Hormuz this past weekend and the announcement regarding the shutdown of Israeli gas fields and the interruption of LNG production in Qatar.

It is important to note that approximately 15 million barrels of crude oil pass through the Strait of Hormuz every day (accounting for around 15% of global production) and around 20% of global LNG.

In light of this situation, OPEC+ member countries have announced a cautious resumption of their plan to increase production by 206,000 b/d in April.

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	27/02/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	1.97	-3.9	-9.7	-12.1	-9.0
Bund 5Y	2.21	-8.8	-21.6	-25.2	+7.6
Bund 10Y	2.61	-8.8	-21.9	-25.1	+22.4
OAT 10Y	3.17	-7.3	-20.0	-33.0	+15.4
BTP 10Y	3.21	-7.6	-20.4	-28.3	-15.3
BONO 10Y	2.96	-8.7	-22.7	-28.7	-4.6
Treasuries 2Y	3.41	-8.5	-16.5	-7.1	-67.5
Treasuries 5Y	3.52	-12.7	-30.8	-20.5	-57.6
Treasuries 10Y	3.95	-12.1	-28.1	-21.1	-32.2
Gilt 2Y	3.53	-7.3	-26.9	-22.9	-66.5
Treasuries 5Y	3.80	-10.3	-12.2	-5.3	-36.3
Gilt 10Y	4.30	-12.2	-29.6	-24.6	-21.3

Currencies & Commodities

	Level	Change, %			
	27/02/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.18	+0.2	-1.2	+0.5	+13.4
GBP/USD	1.34	-0.4	-2.2	-0.0	+6.5
USD/JPY	156.13	+0.8	+1.9	-0.4	+4.1
DXY	97.60	+0.7	-1.1	-1.0	-8.2
EUR/GBP	0.88	+0.6	+1.0	+0.6	+6.5
EUR/CHF	0.91	-0.5	-1.1	-2.4	-3.0
EUR/JPY	184.34	+1.0	+0.7	+0.1	+18.0
Oil, Brent ($/bbl)	72.55	+1.0	+7.4	+19.2	-2.6
Gold ($/ounce)	5254	+3.9	+3.0	+21.5	+82.7

Equity Indices

	Level	Change, %			
	27/02/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4557	+0.0	-0.1	+2.8	+21.0
North America					
S&P500	6879	-0.4	-1.4	+0.5	+17.4
Dow Jones	48978	-1.3	-0.1	+1.9	+13.3
Nasdaq composite	22668	-1.0	-4.8	-2.5	+22.2
Europe					
CAC 40	8581	+0.8	+5.2	+5.3	+5.9
DAX 30	25284	+0.1	+1.6	+3.2	+12.1
EuroStoxx50	6138	+0.1	+2.4	+6.0	+12.2
FTSE100	10911	+2.1	+6.9	+9.9	+24.6
Asia					
MSCI, loc.	1906	+2.7	+8.3	+12.8	+33.6
Nikkei	58850	+3.6	+10.3	+16.9	+53.8
Emerging					
MSCI Emerging ($)	1611	+2.8	+5.4	+14.6	+43.3
China	81	-0.8	-5.9	-1.4	+8.2
India	1014	-0.9	+1.9	-4.3	+8.9
Brazil	1994	-1.4	+2.8	+21.1	+55.7

Performance by sector

Eurostoxx600

Year 2026 to 27-2, €

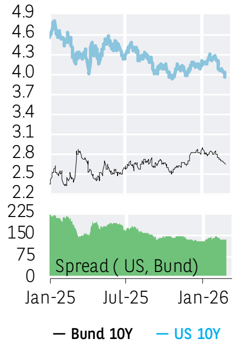
+22.4%	Commodities
+20.4%	Telecoms
+18.7%	Oil & Gas
+16.3%	Utilities
+11.3%	Real Estate
+9.9%	Industry
+9.1%	Chemical
+8.5%	Food industry
+7.4%	Construction
+7.0%	**Eurostoxx600**
+5.6%	Health
+4.3%	Technology
+4.2%	Banks
+2.1%	Retail
-0.2%	Insurance
-1.2%	Financial services
-3.9%	Travel & leisure
-5.3%	Consumption Goods
-10.9%	Media

S&P500

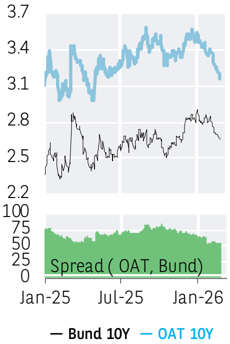
Year 2026 to 27-2, $

+24.4%	Energy
+17.8%	Capital Goods
+17.6%	Materials
+15.8%	Food, Beverage & Tobacco
+15.7%	Retail
+14.3%	Telecoms
+11.3%	Utilities
+6.0%	Pharmaceuticals
+2.7%	Tech. Hardware & Equip.
+1.3%	Semiconductors
+0.5%	Consumer Services
+0.5%	**S&P500**
-1.1%	Media
-1.2%	Healthcare
-1.3%	Insurance
-3.3%	Commercial & Pro. Services
-4.0%	Consumer Discretionary
-6.3%	Bank
-9.4%	Automobiles
-17.8%	Real Estate

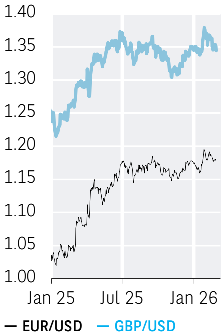
Bund 10Y & US Treas. 10Y



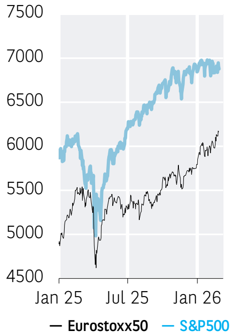
Bund 10Y & OAT 10Y



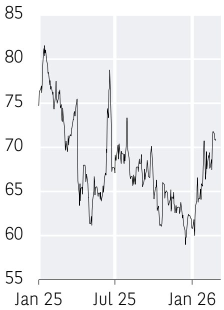
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent ($/bbl)



Gold ($/ounce)

MSCI World ($)

MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

ECOCHARTS

February 2026

INFLATION TRACKER

BNP PARIBAS

The bank for a changing world

CHART OF THE MONTH - Eurozone inflation outlook through 2027: Below or above target?

While 2027 is still some way off, the gap between our inflation projections (solid lines on the chart) and the ECB's (dotted lines) is striking and worth examining. Keep in mind that the ECB's forecasts date back to December 2025, with updates expected on 19 March, when the Governing Council meets and publishes its latest economic projections.

While both scenarios converge by the end of 2026, their paths diverge along the way. In our scenario, headline inflation (black line) would fall further below the 2% target, driven by a sharper decline in core inflation (green line). This latter would stem from the strong disinflationary effect that we are anticipating from the fall in Chinese export prices, as well as by the completion of the disinflationary process in services.

After 2026 which would continue to see disinflation[1], our scenario points to a 2027 "reflation" phase, driven by a continued cyclical strengthening of activity (resulting in particular from increased defense and infrastructure spending[2]) and, consequently, rising inflation[3]. In this context, the expected Eurozone's inflation uptick should be viewed as a positive signal, indicating a renewed economic strength.

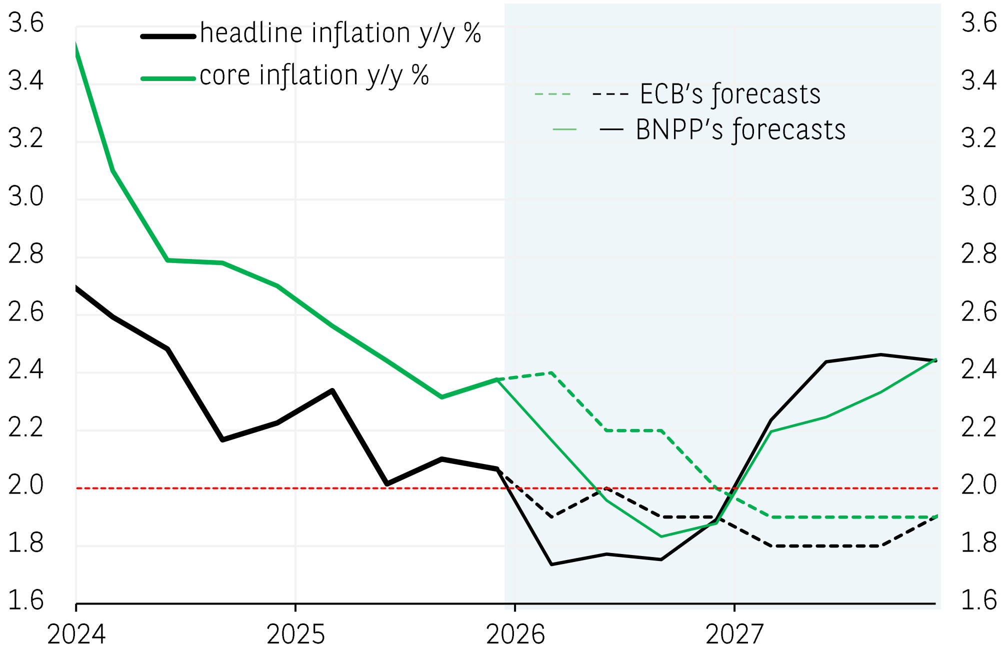
More broadly, 2027 could mark a structural break, not just for the Eurozone. The pre-pandemic era of persistently low inflation, hovering just below 2%, is unlikely to return. Instead, we may enter a new regime characterised by more frequent negative supply shocks (shortages, supply bottlenecks, climate disruptions). While AI-driven productivity gains may provide some offset, the net effect is likely to be greater inflation volatility as well as higher inflation on average, settling above the 2% target.

[1] According to our forecasts and those of the ECB, annual average inflation is expected to be 1.9% in 2026, after 2.1% in 2025.

[2] 2027 GDP growth is expected to average 1.6% annually, after a similar performance in 2026. The ECB is less optimistic, with expected growth of 1.2% and 1.4% this year and in 2027, respectively.

[3] Headline inflation is expected to rise to an annual average of 2.3% in 2027 according to our baseline forecasts and 1.8% according to the ECB.

Eurozone: Headline and core inflation forecasts



Source: ECB, Macrobond, BNP Paribas

Hélène Baudchon Helene.baudchon@bnpparibas.com (completed on 27/02/2026)

KEY POINTS - Confirmed disinflation in the major advanced economies

In January, inflation fell in the United States, the Eurozone, the United Kingdom and Japan. The United Kingdom still has the highest inflation rate, ahead of the United States. The Eurozone followed, with Japan recording the lowest inflation rate. Core and wage trends are moderating overall, with this trend reinforced by the anchoring of inflation expectations.

- In the **United States**, inflation (CPI) fell in January (-0.3 pp to 2.4% y/y). Core inflation also moderated (-0.1pp m/m to 2.5%). Wages are gradually continuing to decelerate (page 22) and one-year household inflation expectations (page 16) are continuing to fall sharply (3.3% in February 2026, compared with 6.6% in May 2025). However, five-year inflation expectations remain historically high. At the same time, the price pressure index is rising slightly (page 14) and producer prices remain dynamic (+3% y/y in December). All of this supports the scenario of persistently higher inflation in the United States than in the Eurozone.

- This scenario is even more likely given that inflation in the **Eurozone** slowed again in January, reaching its lowest level since April 2021 (+1.66% y/y; -0.3 pp m/m). Core inflation is also down (-0.1 pp to 2.2%). Differences between countries persist, with France (+0.4%), Italy (+1.0%) and Finland (+1.0%) recording the most moderate rates, while Slovakia (+4.3%), Estonia (+3.8%) and Croatia (+3.6%) are continuing to see the strongest increases (page 9). The outlook remains favourable for disinflation, despite a sharp rise in the price pressure indicator since May (+5 pts) (page 14). Inflation expectations among forecasters and households remain stable (page 17) and growth in negotiated wages is slowing sharply (+1.9%, compared with 4% in October; page 22), as are producer prices (page 8).

- In the **United Kingdom**, inflation remains high, but disinflation is continuing (3.0% y/y; -0.4 pp m/m), driven by the slowdown in the core component (3.1%; -0.2 pp; the lowest since September 2021). Forward-looking signals are pointing downwards, as producer prices have been slowing since October (-1 pp to 2.6% between October and January), wage growth has moderated markedly over a year (from 5.3% in January 2025 to 2.5% in January 2026) and household inflation expectations are now stable in the short and medium term (around 3.5%).

- Inflation was weakest in **Japan** in January (1.5% y/y; -0.5 pp m/m). The all-items index returned to its lowest level since March 2022, due to the now negative contributions of the energy and food components (page 6). Core inflation is also slowing sharply (-0.4 pp to 2.0%, according to the measurement by the BoJ) (page 12). While wage pressures remain high by historical standards (+2.1% in December), other indicators suggest that inflation is stabilising, as producer prices have moderated significantly (+2.3% in January 2026, compared with +4.2% a year earlier), one year forecasters' expectations have declined (1.85% in January, compared with 2.75% in December) and price pressures have eased.

Lucie Barette lucie.barette@bnpparibas.com (completed on 26/02/2026)

General dynamics of inflation

Inflation and survey data

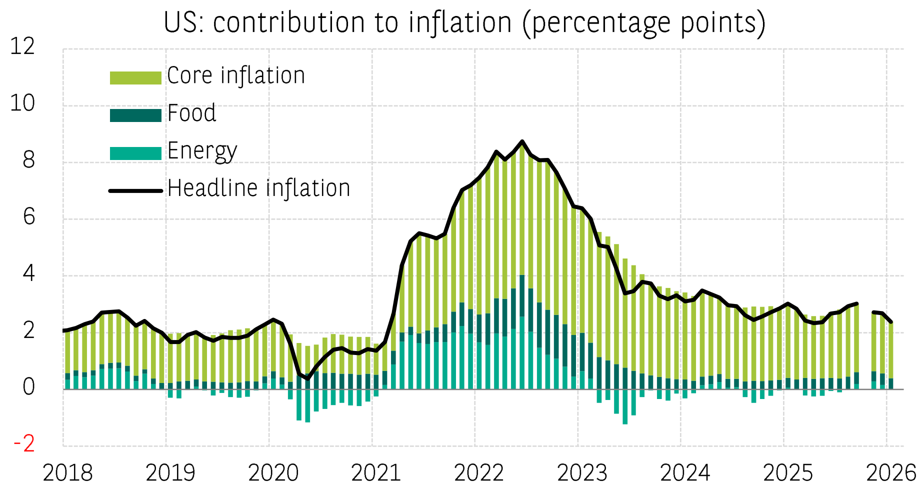
Inflation expectations (households, forecasters, markets)

Inflation-wage dynamics

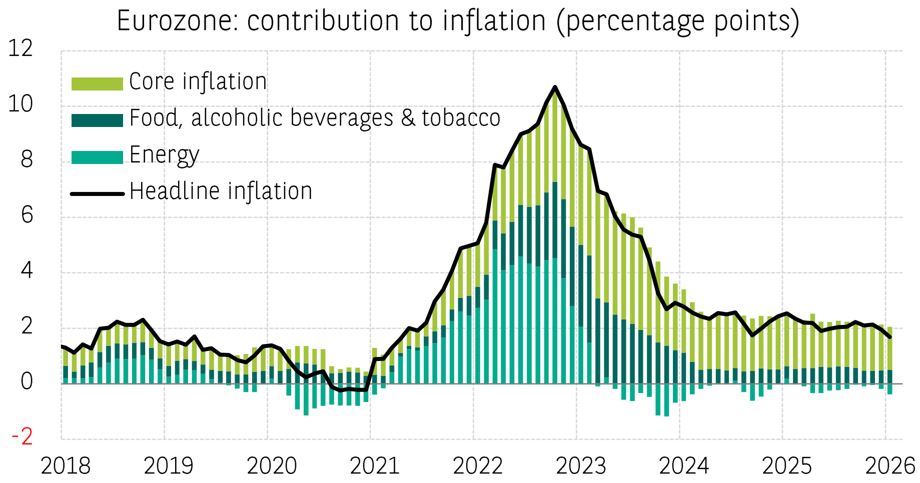
Commodities

General dynamics of inflation

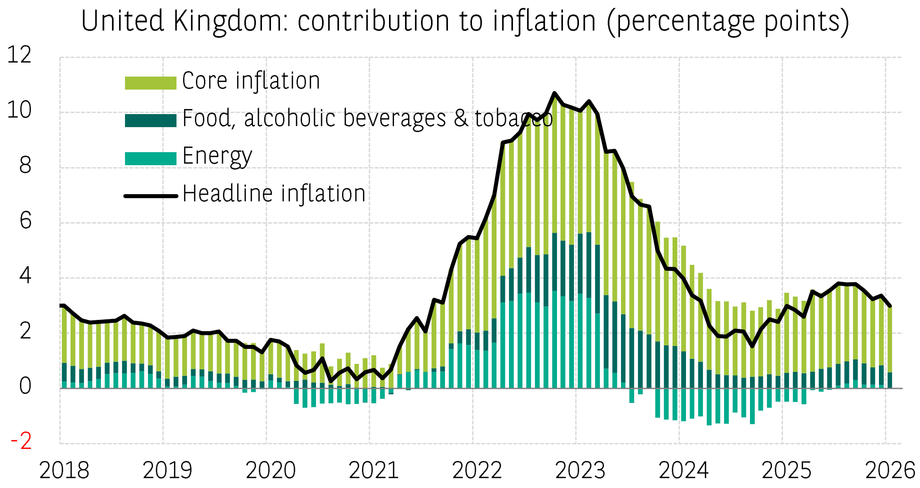
General dynamics of inflation: decomposition of inflation



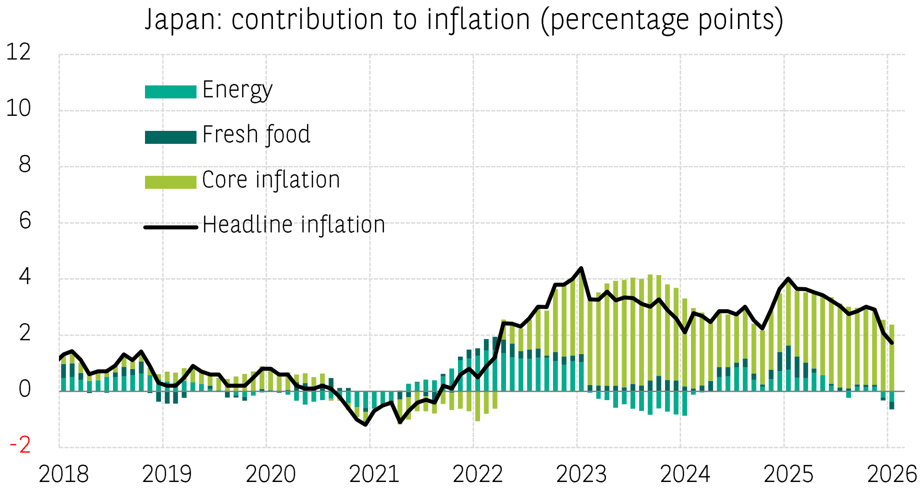
Source: BLS, BNP Paribas calculations



Source: Eurostat, BNP Paribas calculations



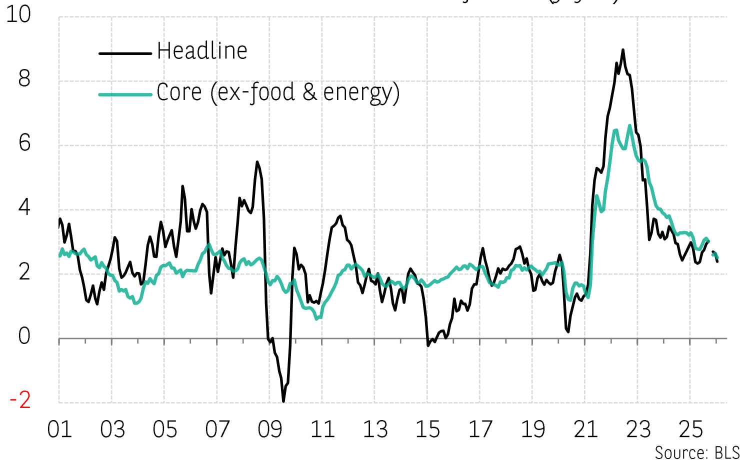
Source: ONS, BNP Paribas calculations



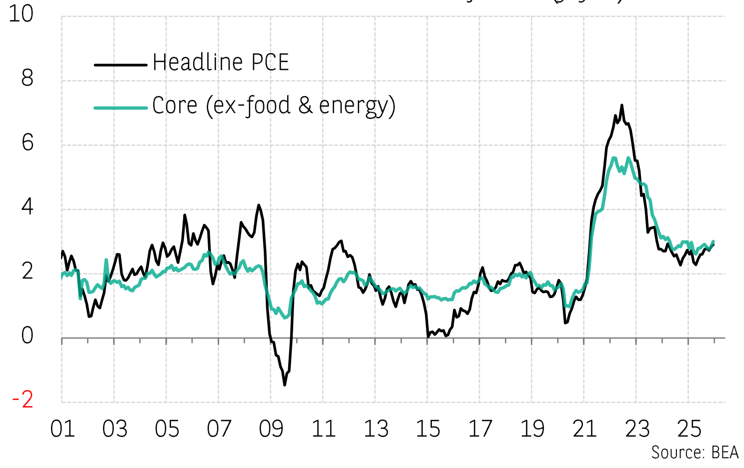
Source: Japan Statistics Bureau, BNP Paribas calculations

Inflation dynamics in the United States: different metrics and degree of generalisation

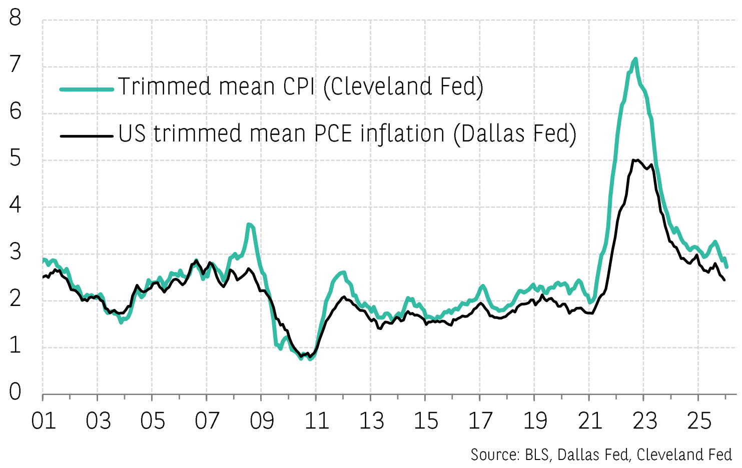
US: headline and core CPI inflation (y/y %)



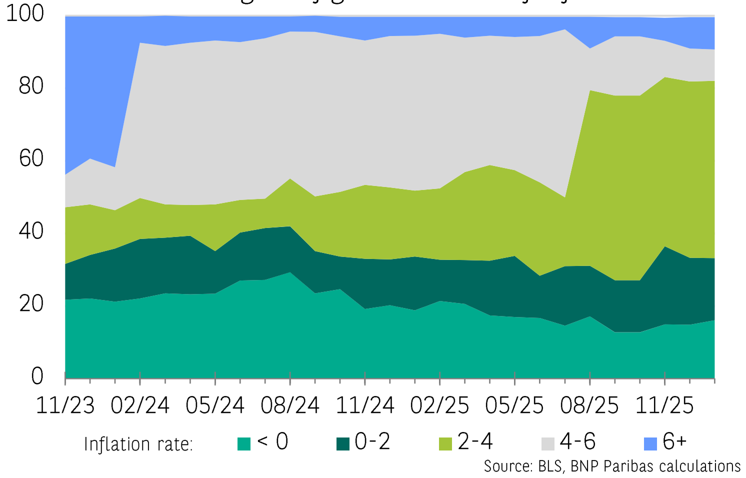
US: headline and core PCE inflation (y/y %)



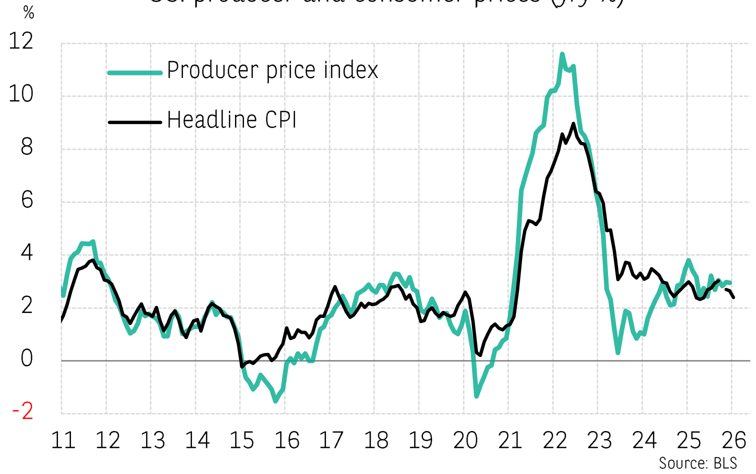
US: alternative inflation measures



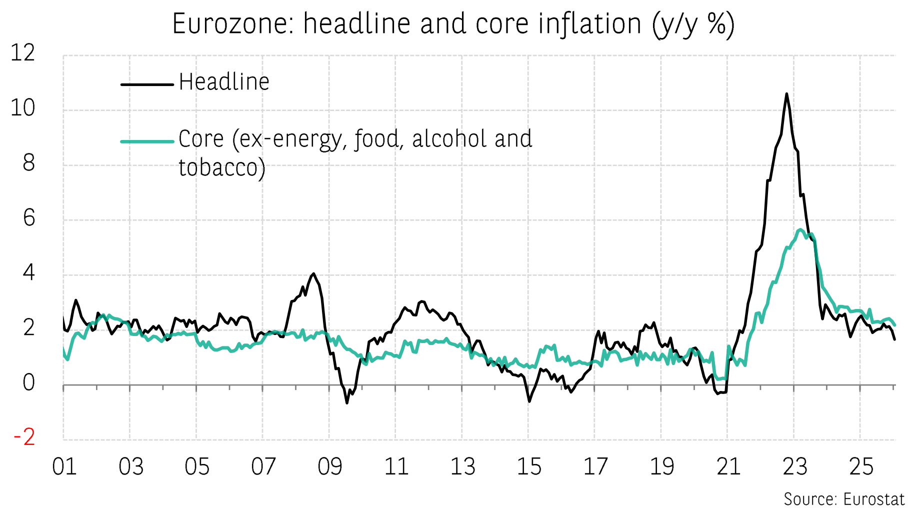
US: degree of generalisation of inflation

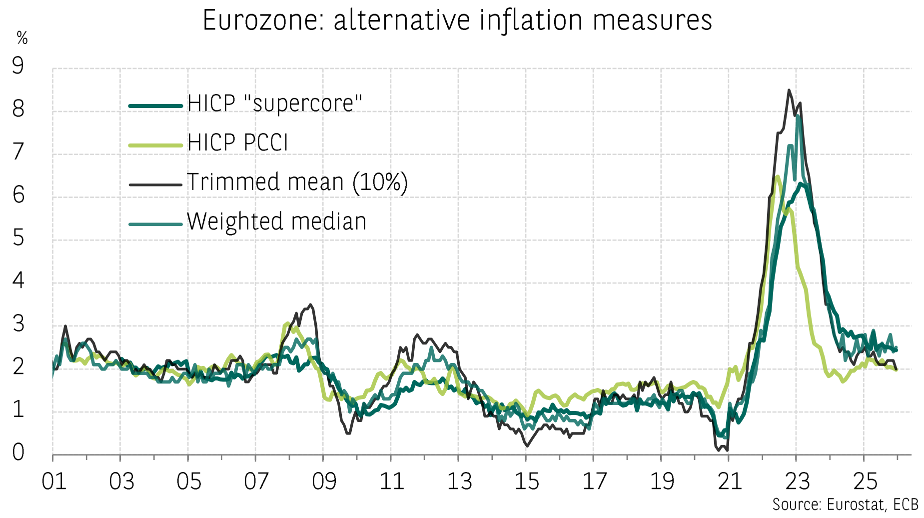


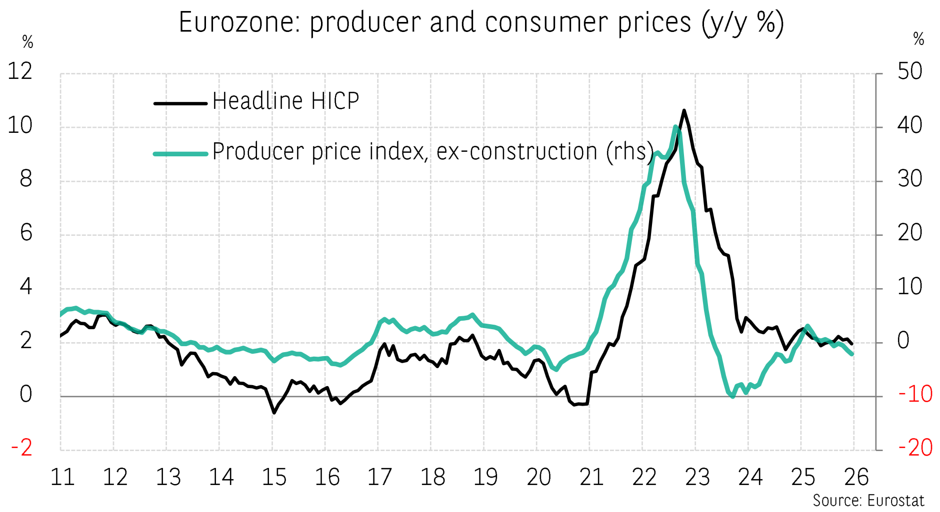
US: producer and consumer prices (y/y %)

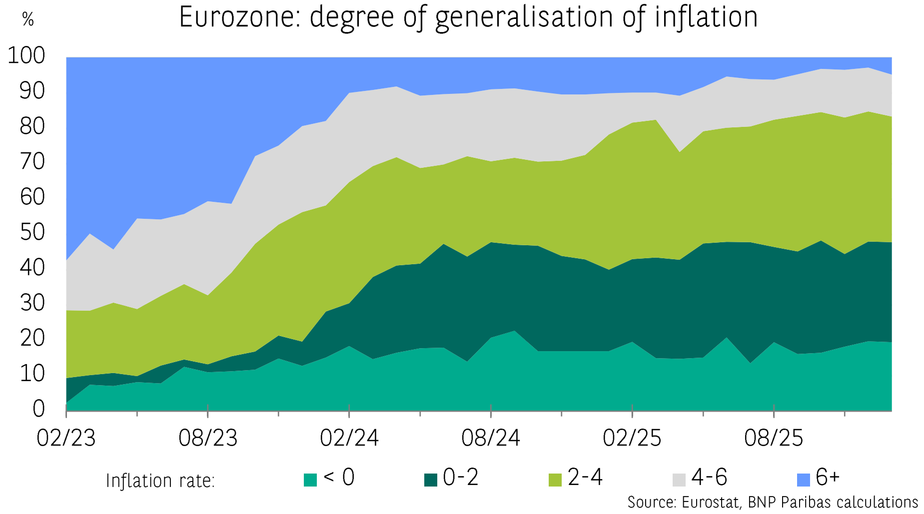


Inflation dynamics in the Eurozone: different metrics and degree of generalisation

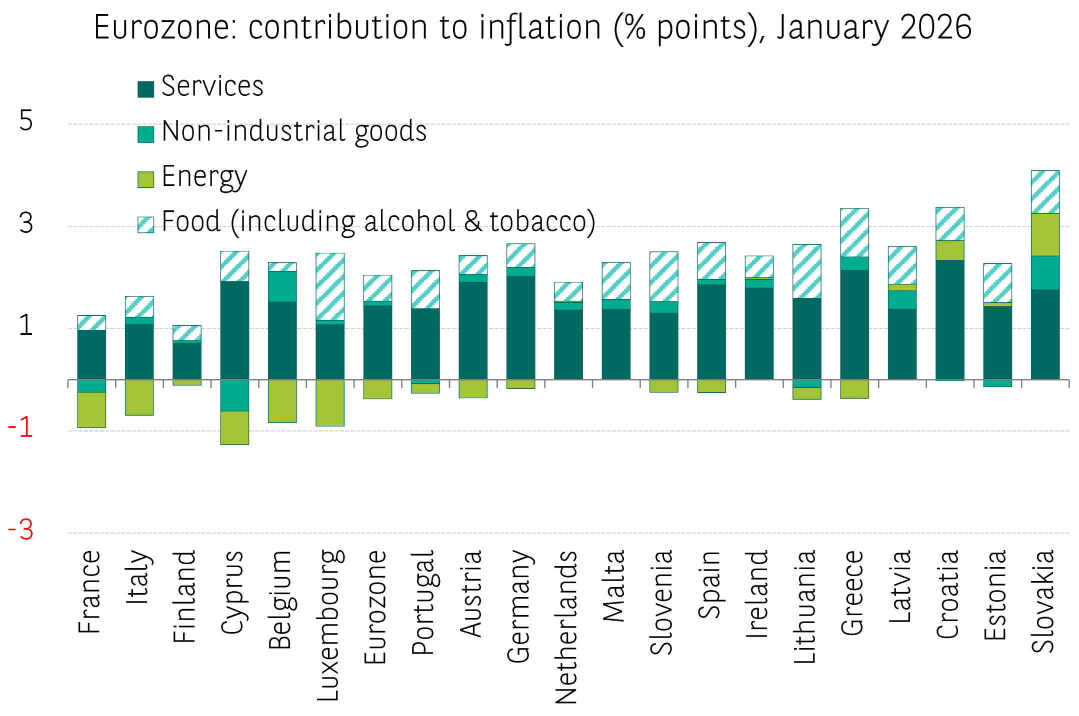




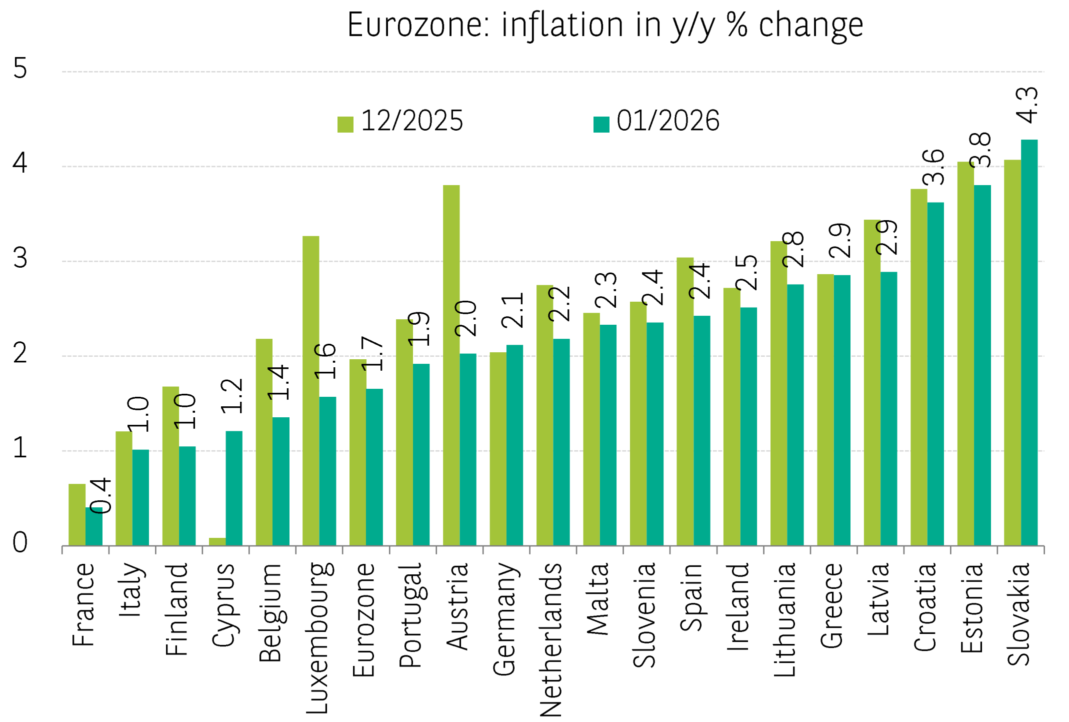




Inflation dynamics in the Eurozone by country (1)

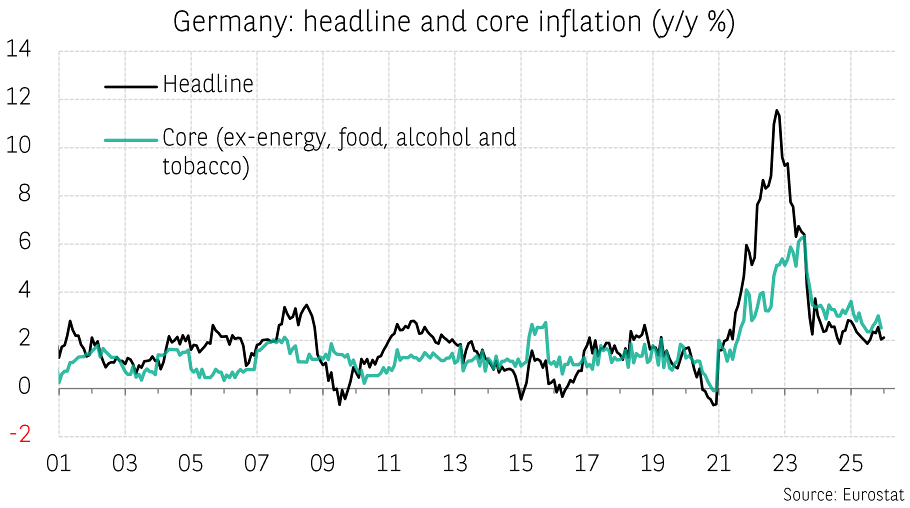


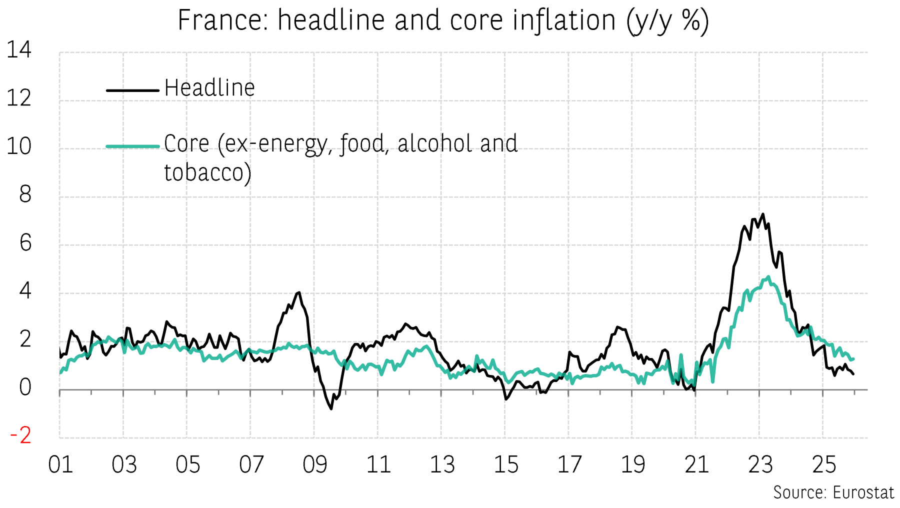
Source: Eurostat

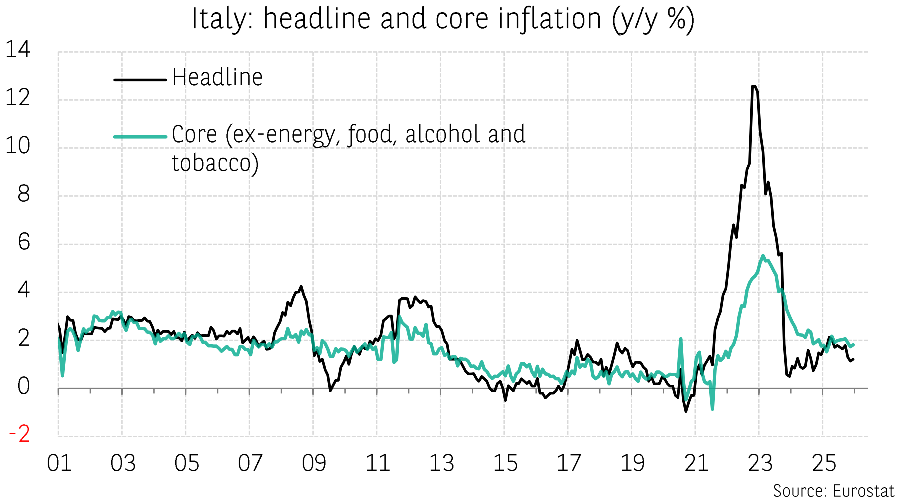


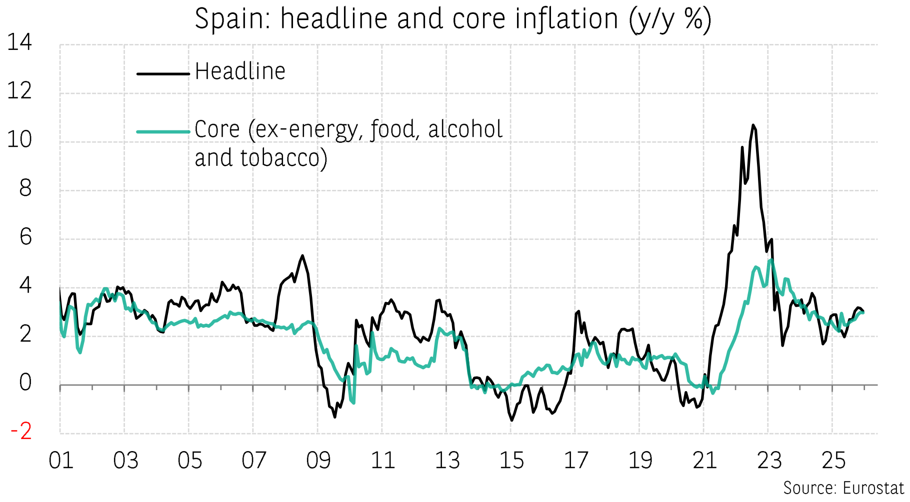
Source: Eurostat

Inflation dynamics in the Eurozone by country (2)

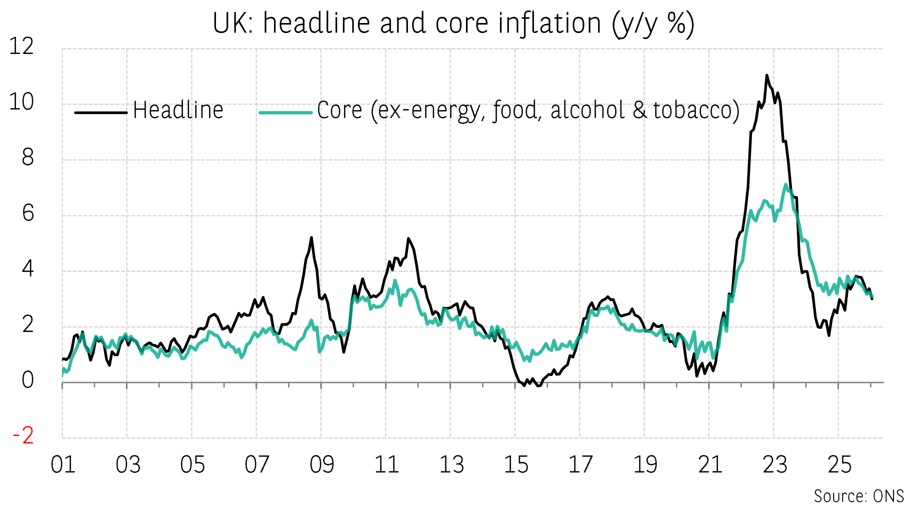


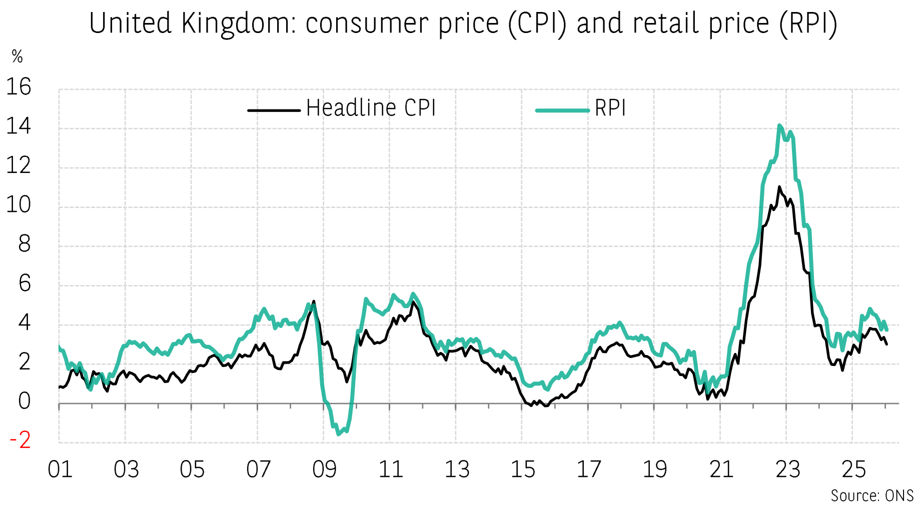


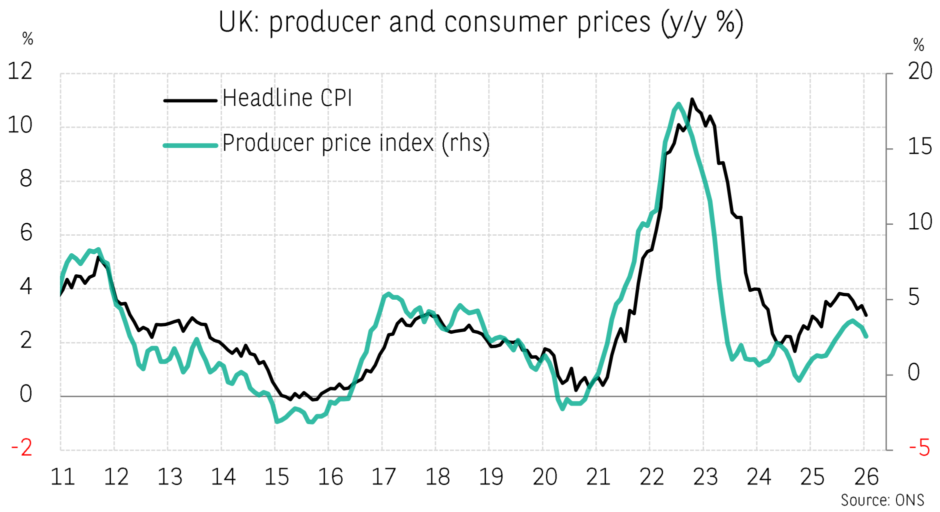


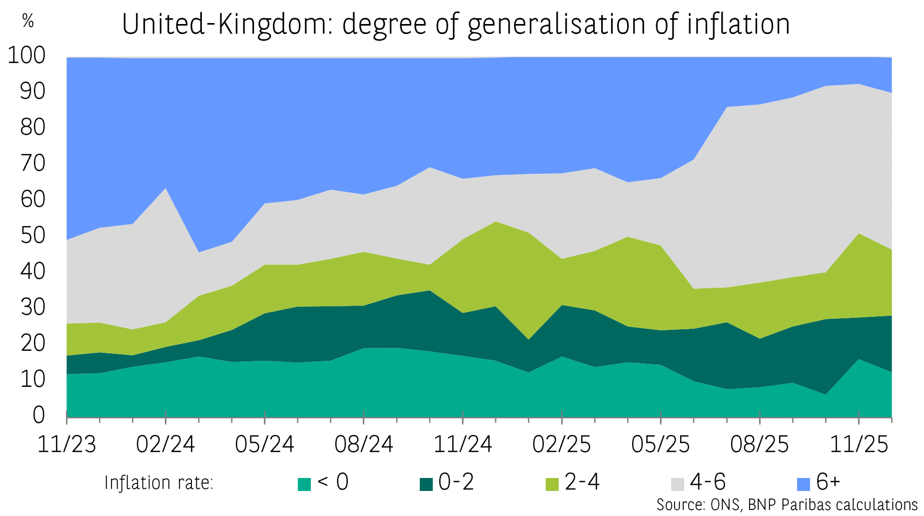


Inflation dynamics in the United Kingdom: different metrics and degree of generalisation

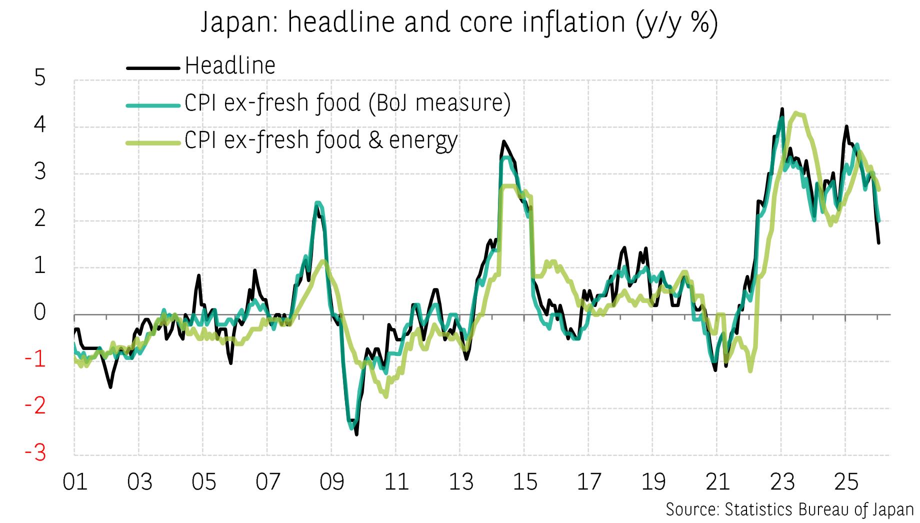


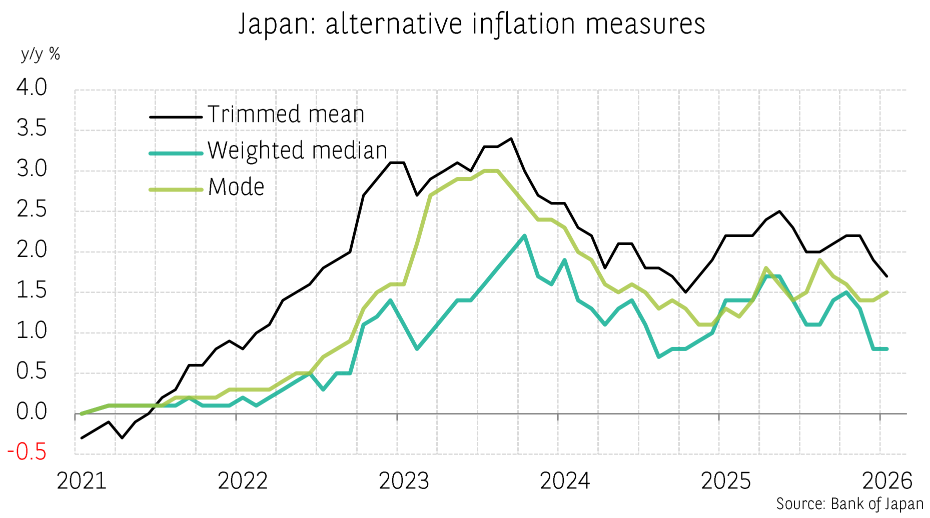


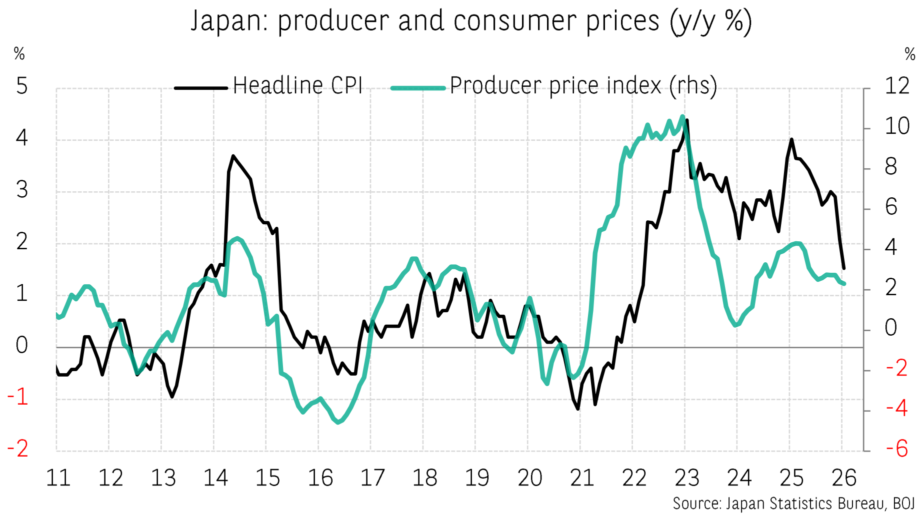


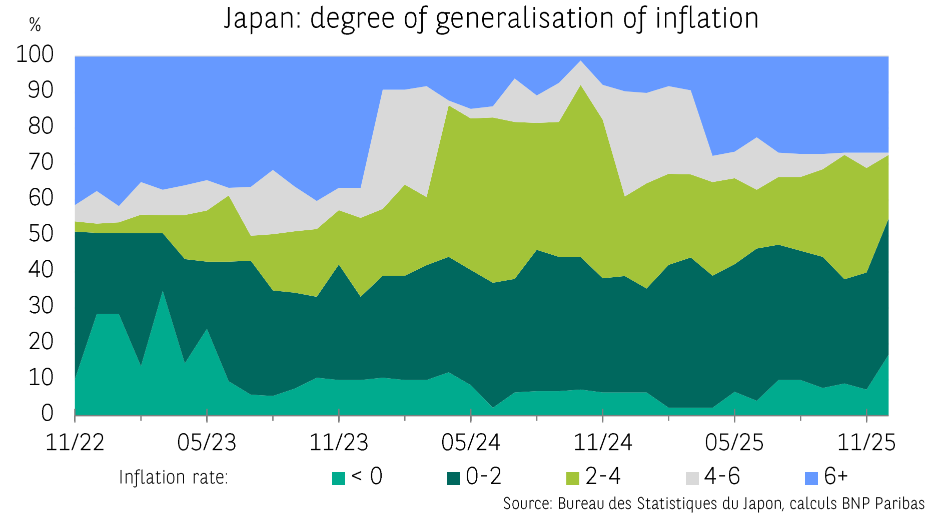


Inflation dynamics in Japan: different metrics and degree of generalisation



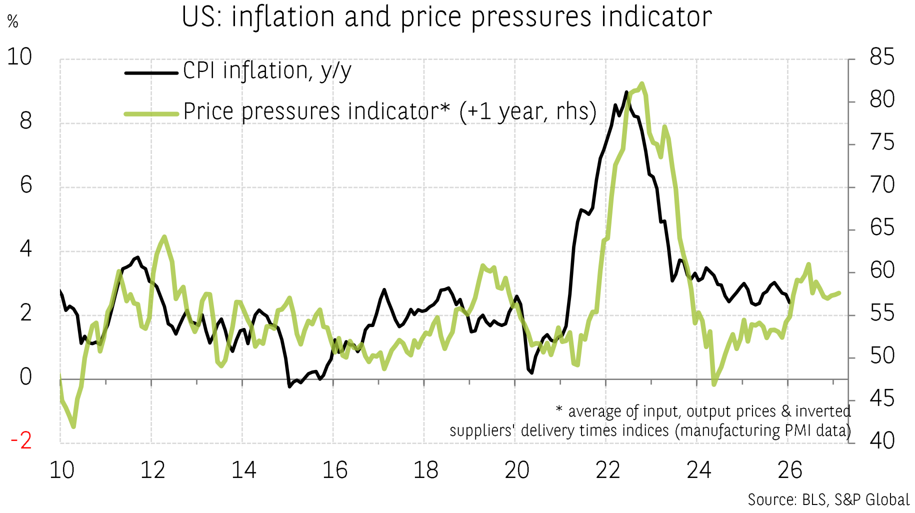


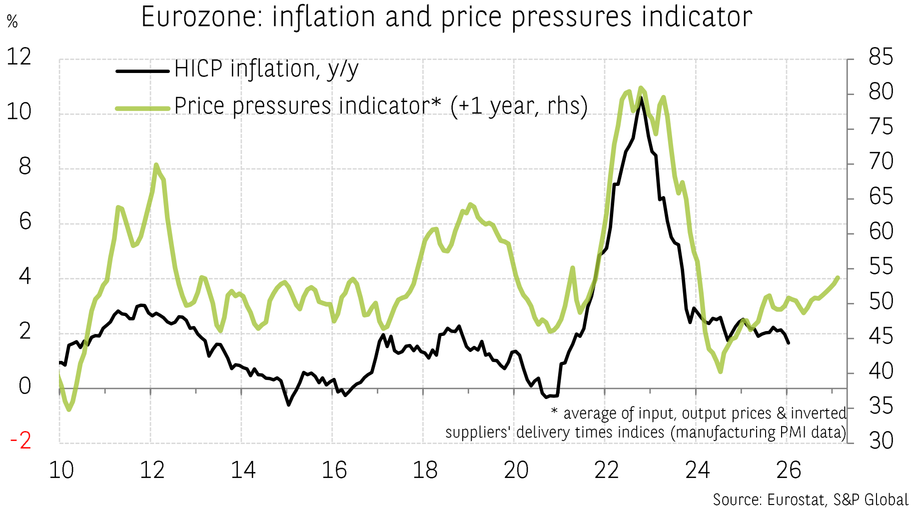


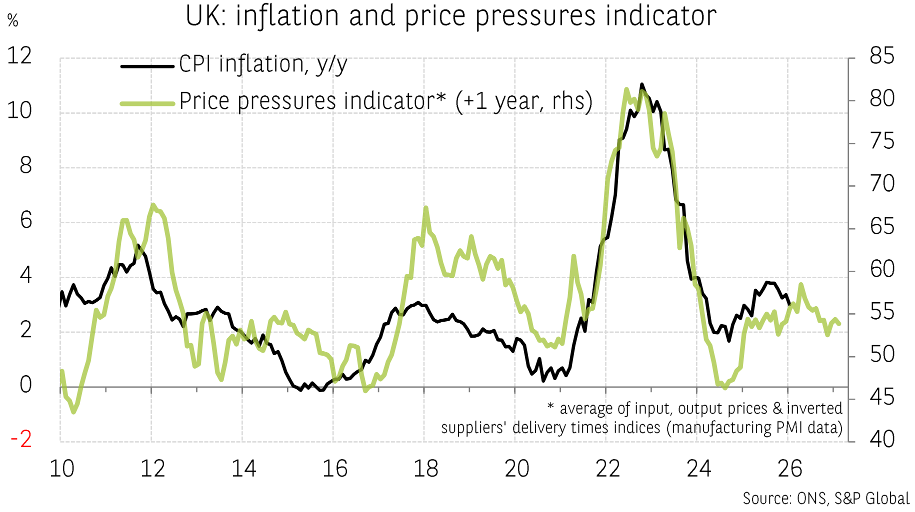


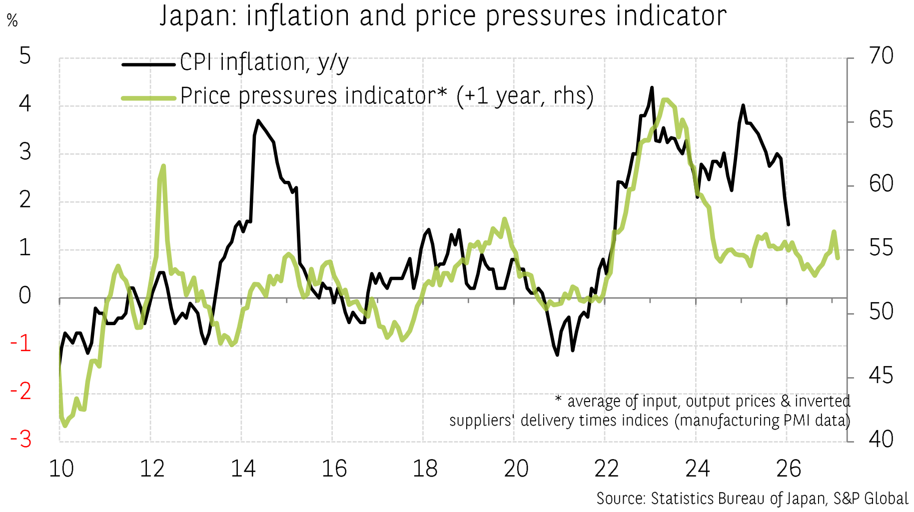
Inflation and survey data

PMI surveys: an indication of inflationary pressures



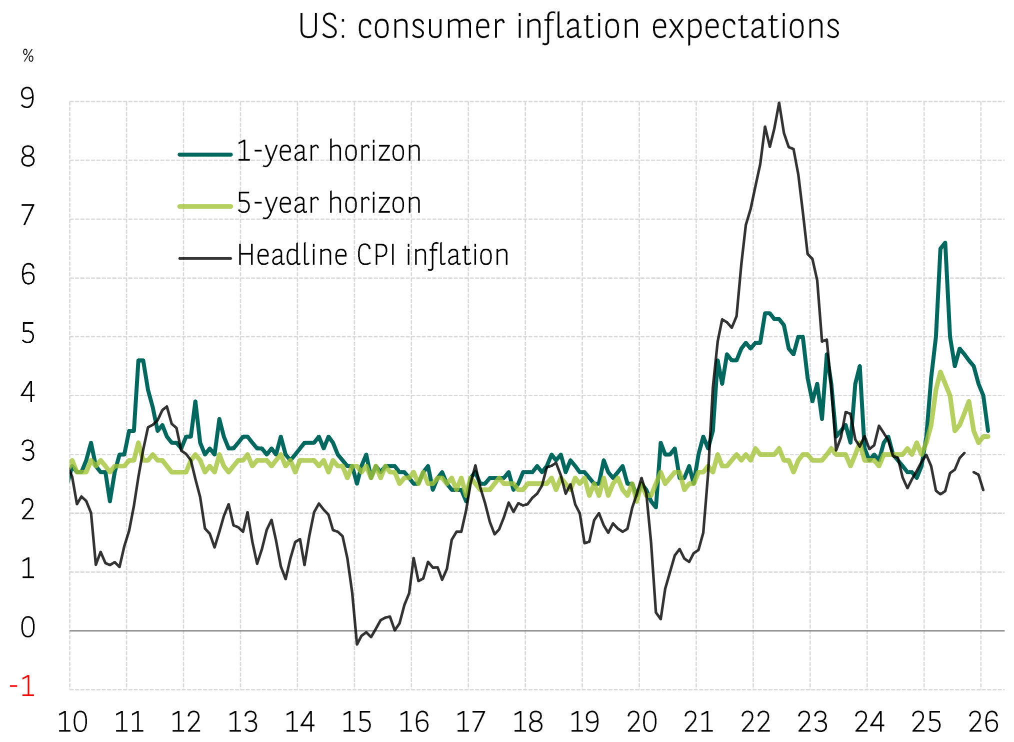




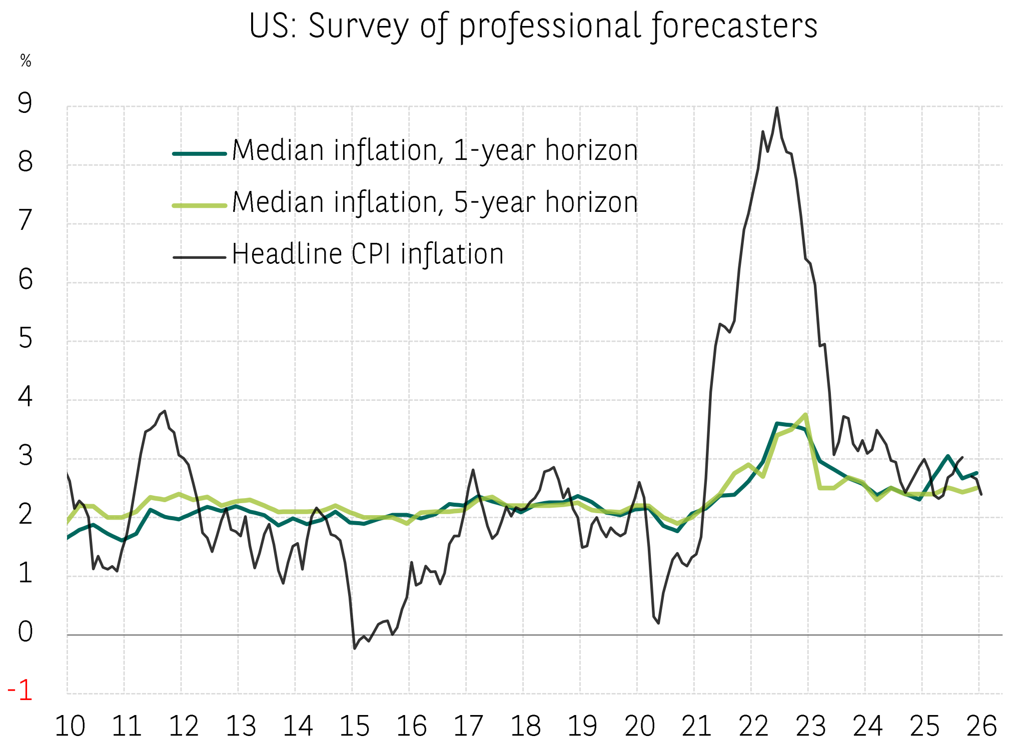


Inflation expectations (households, forecasters, markets)

Inflation expectations in the United States

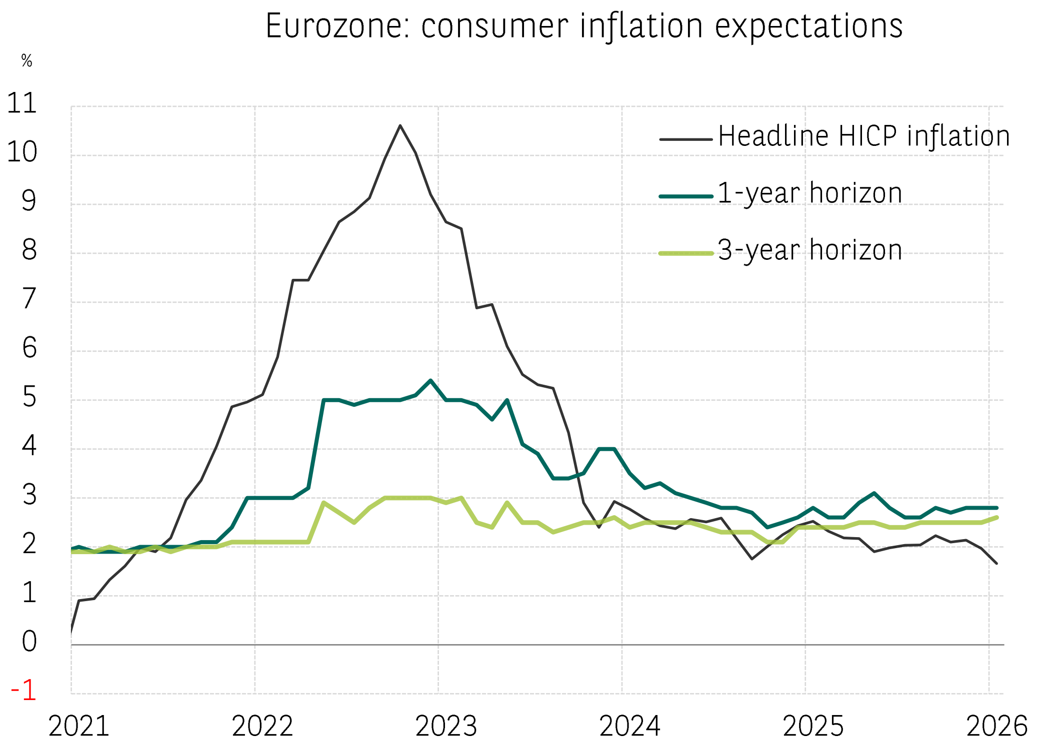


Source: University of Michigan, BLS

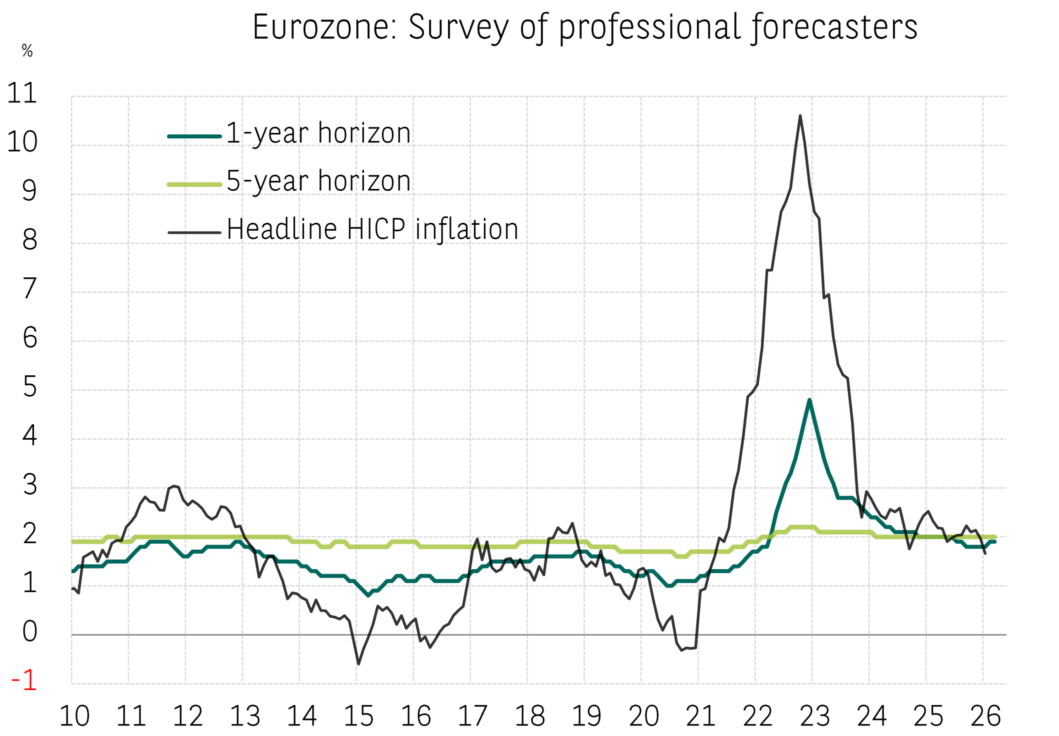


Source: Philadelphia Fed (SPF), BLS

Inflation expectations in the Eurozone

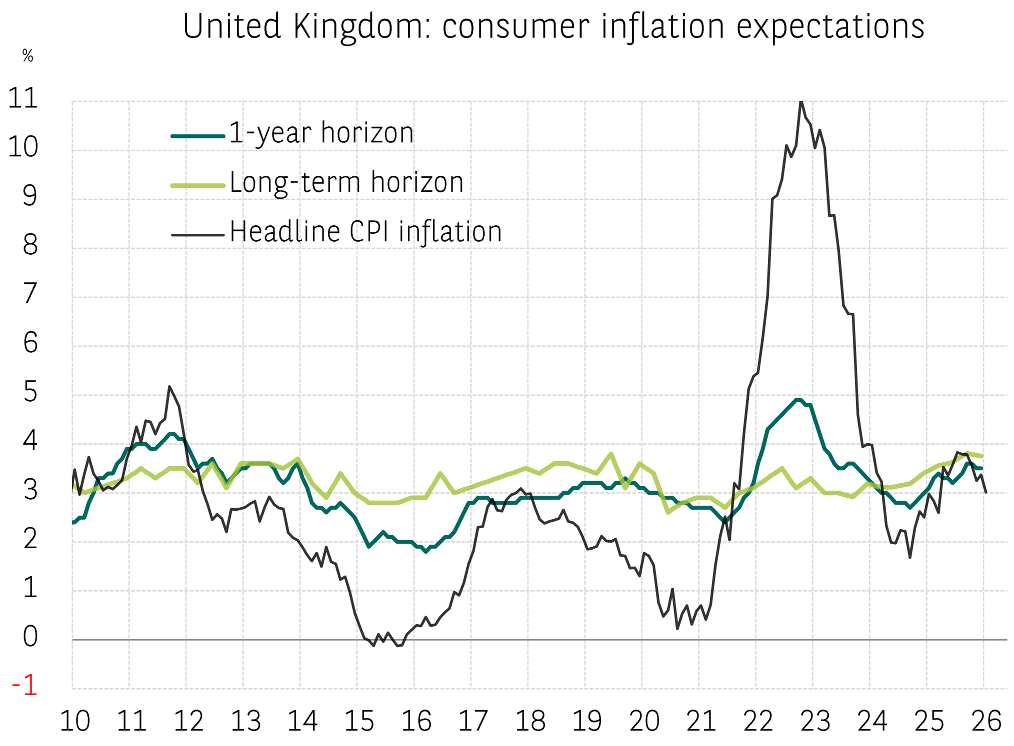


Source: Eurostat, ECB (CES survey)

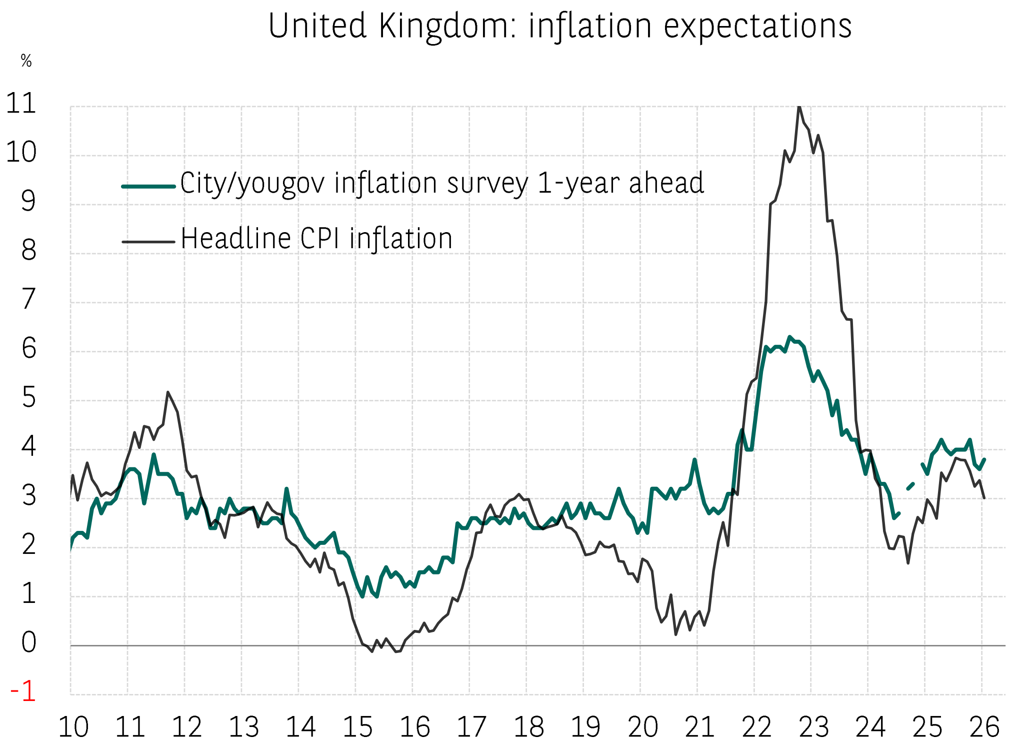


Source: ECB (SPF), Eurostat

Inflation expectations in the United Kingdom

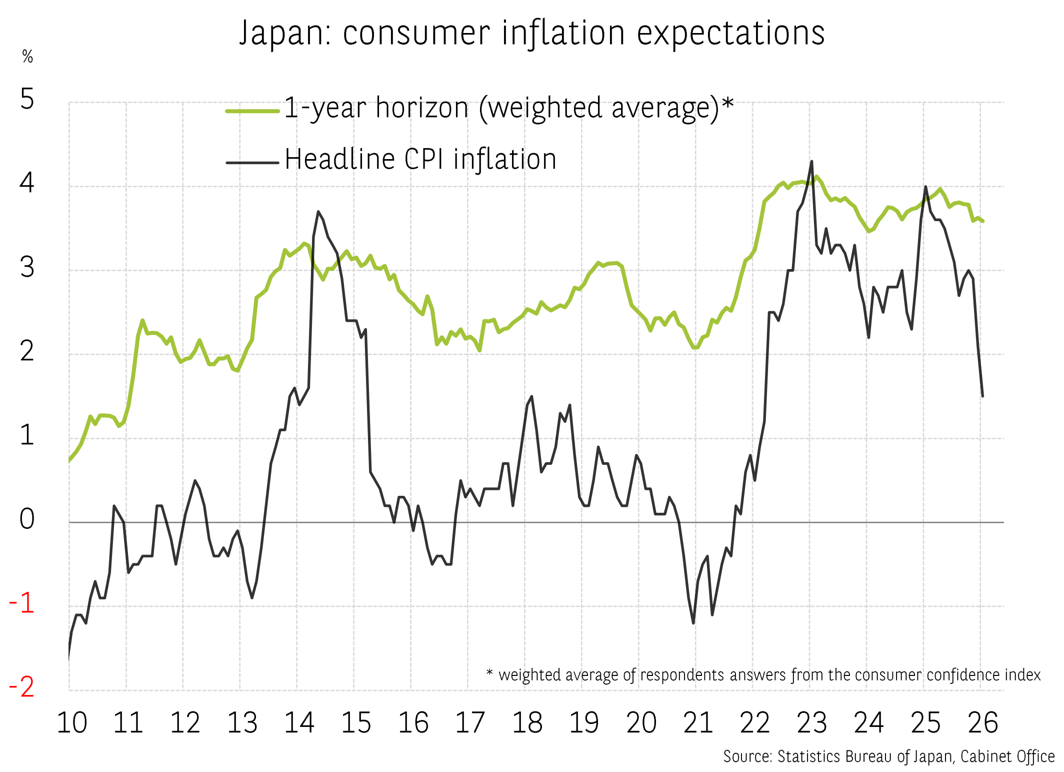


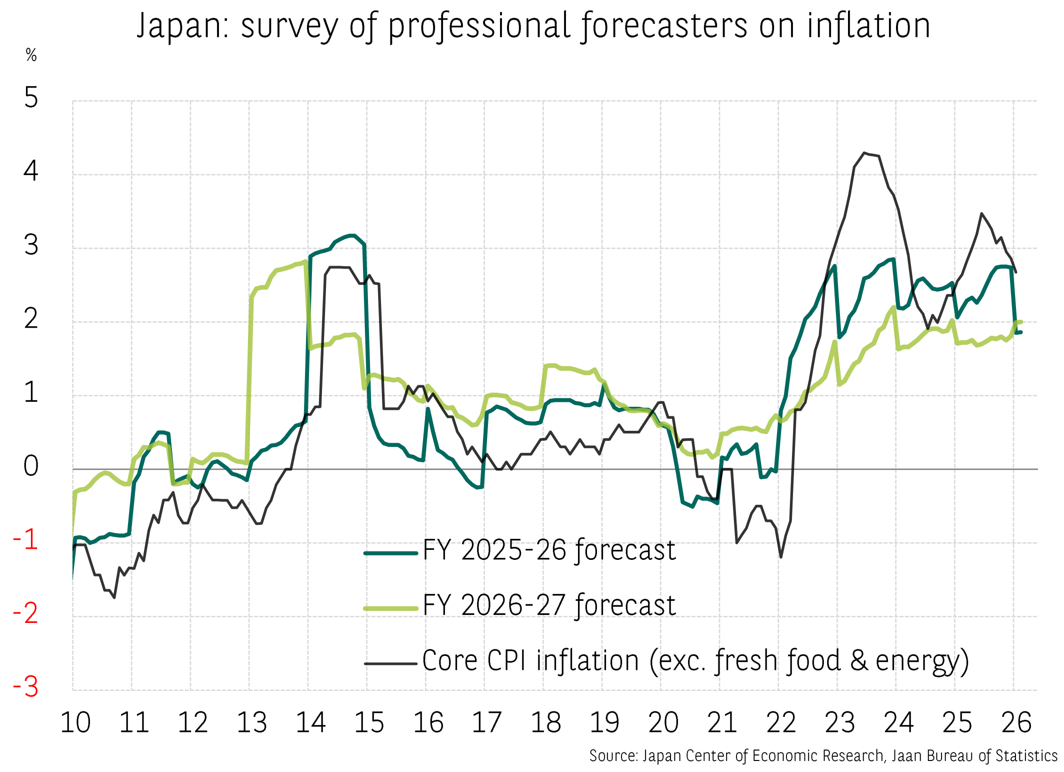
Source: BOE/NOP, ONS



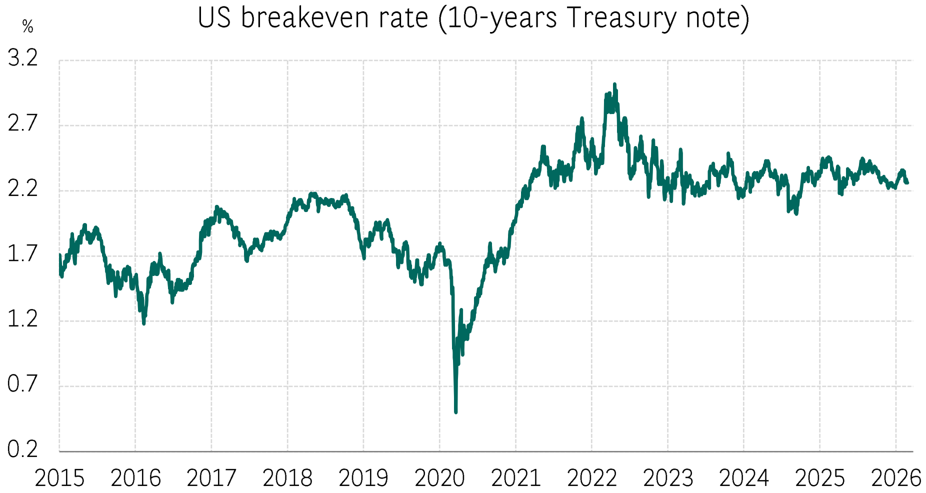
Source: YouGov/Citigroup, ONS

Inflation expectations in Japan

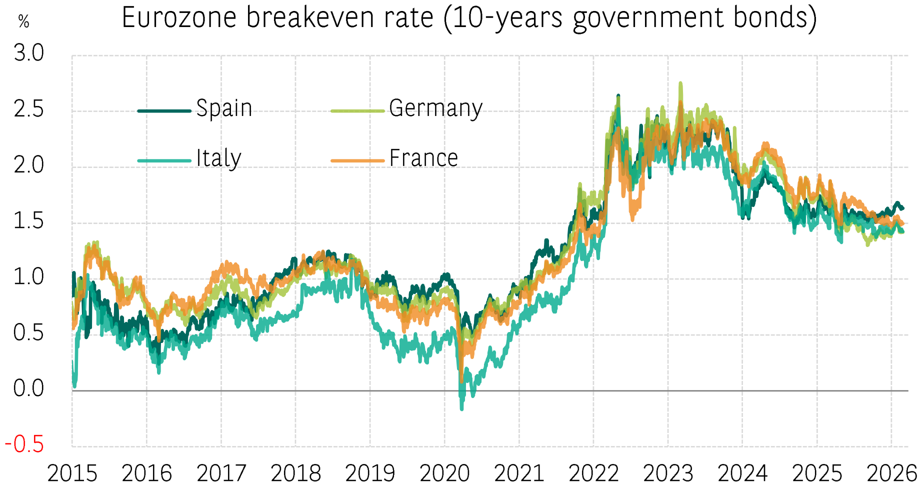




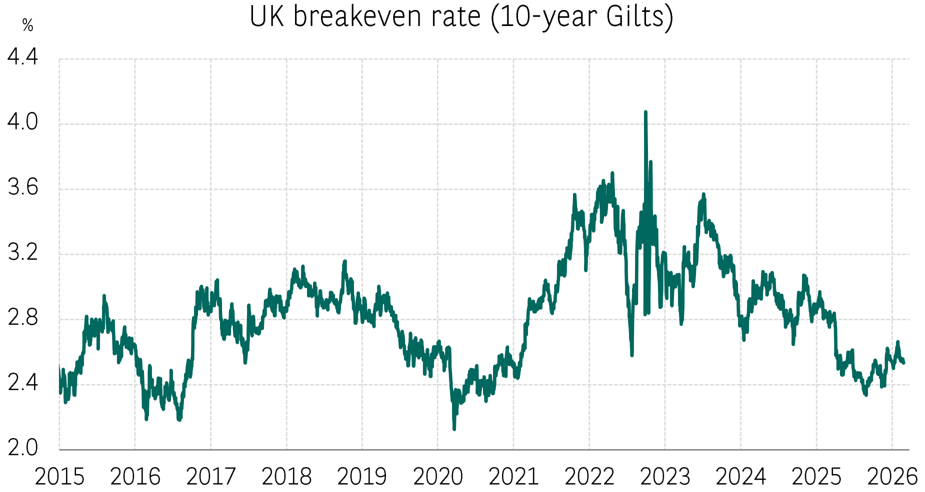
Market expectations: breakeven inflation rate



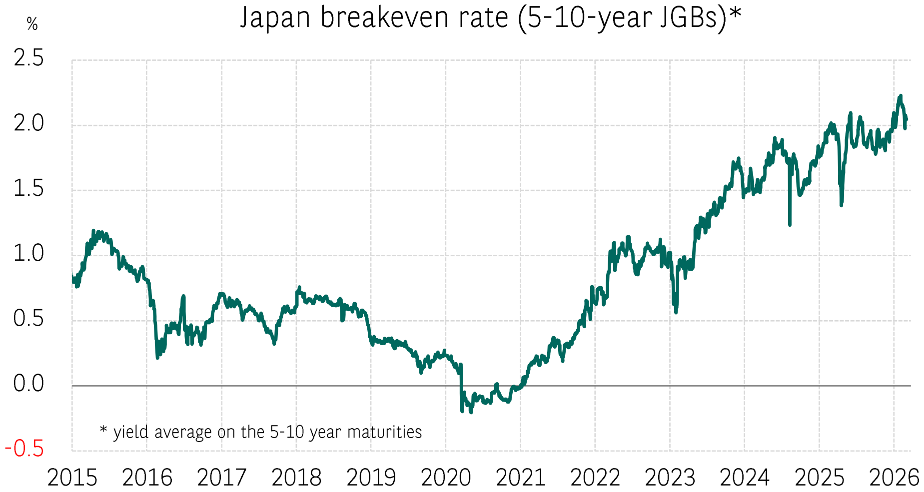
Source: Federal Reserve



Source: Refinitiv, iBoxx



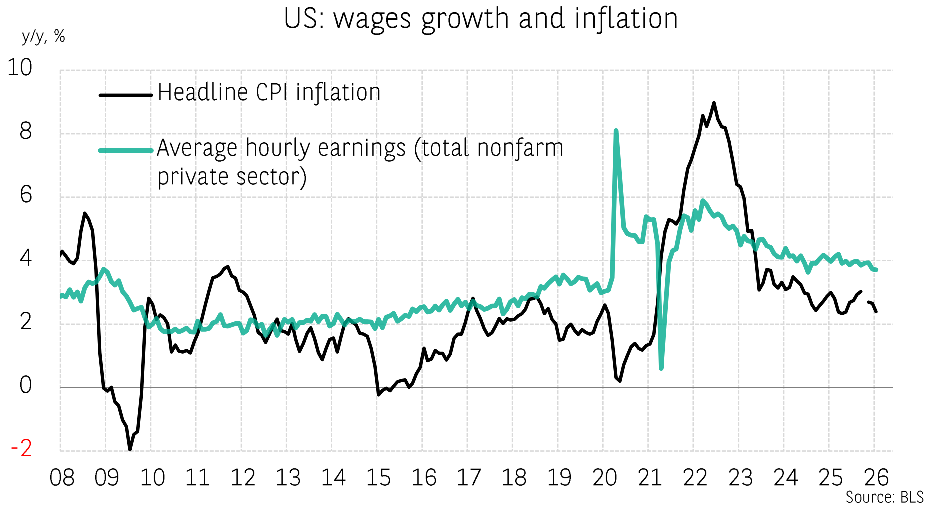
Source: Refinitiv, iBoxx

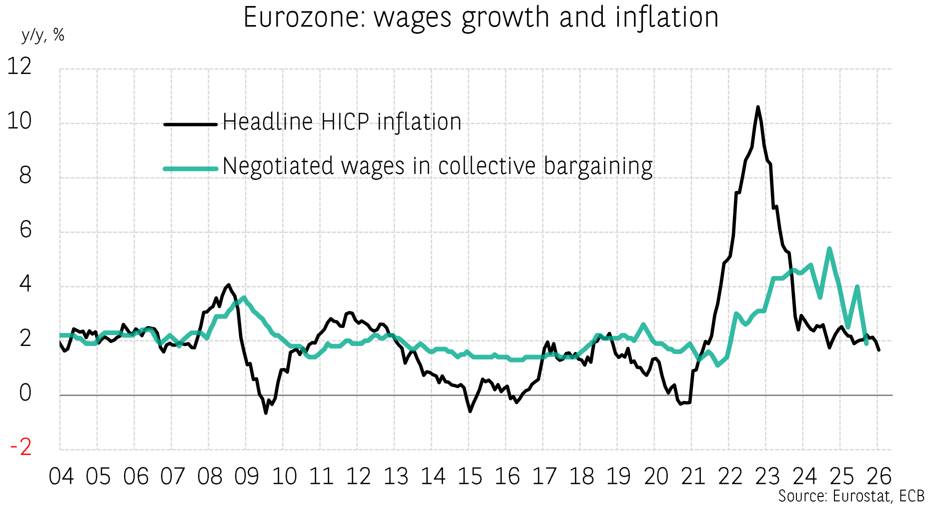


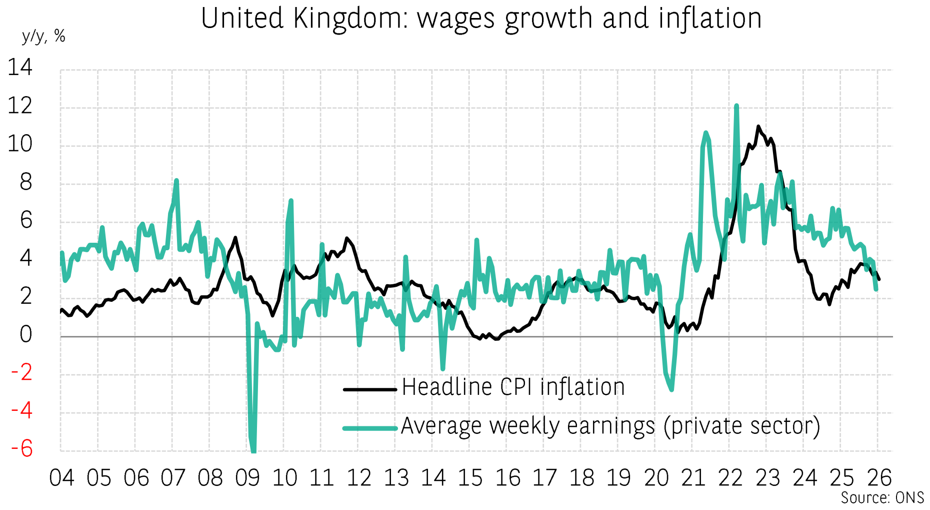
Source: Refinitiv, iBoxx

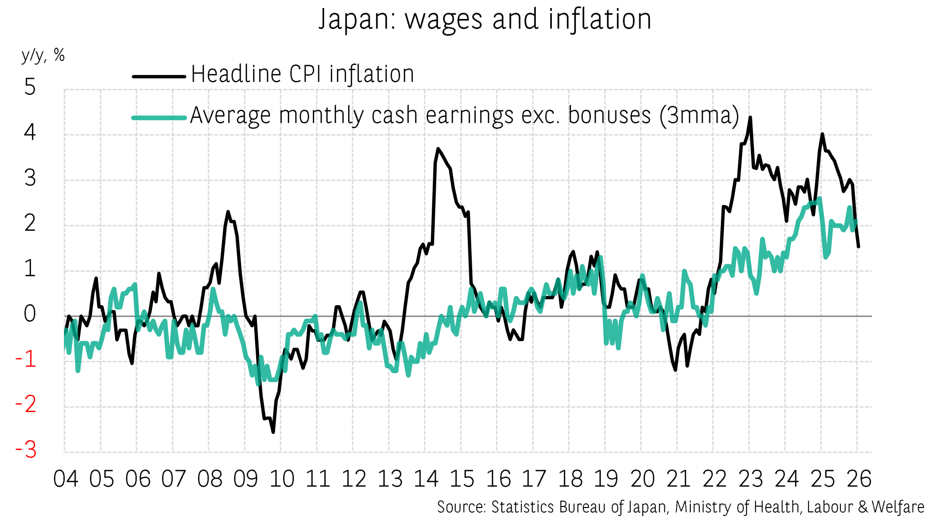
Inflation-wage dynamics

Inflation-wage dynamics







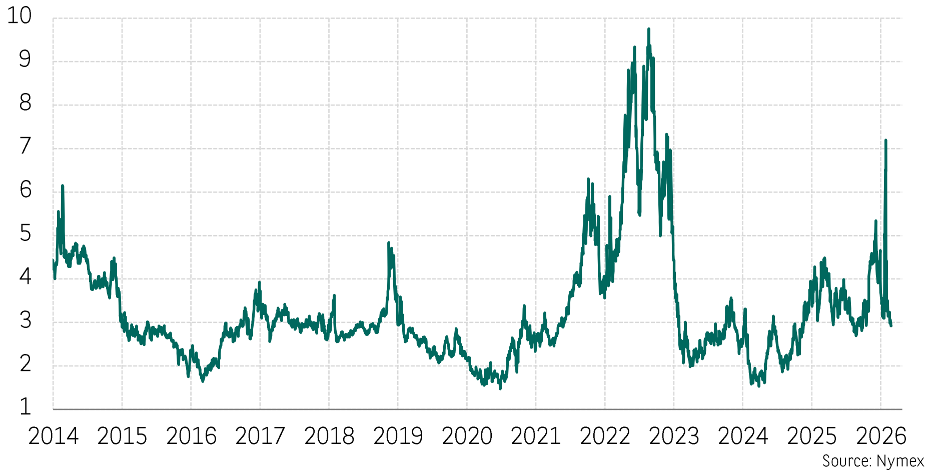


Commodities

Commodities

WTI crude oil price, USD/barrel

Natural gas price, USD/million BTU



S&P GSCI industrial metal spot price index

S&P GSCI agriculture spot price index

BNP PARIBAS ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

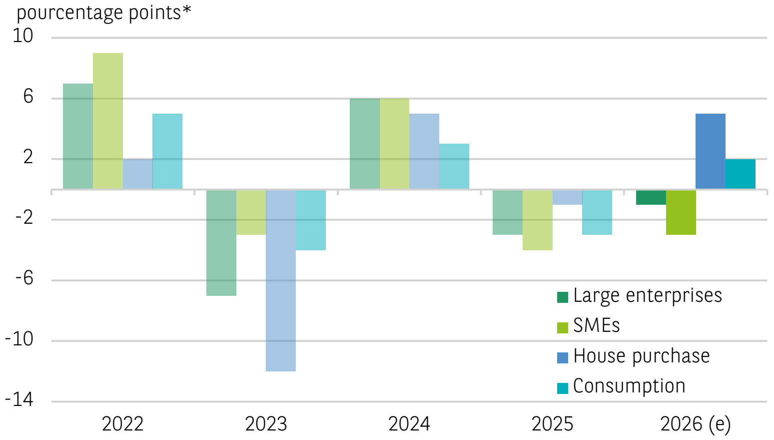
CREDIT IN THE EUROZONE: TOWARDS A TIGHTENING OF CREDIT STANDARDS, TARGETING HOUSEHOLDS BUT LIMITED IN SCOPE

Thomas Humblot

According to the ECB's Bank Lending Survey (BLS), some banks in the Eurozone may tighten their credit standards for households more significantly in 2026 than in 2025. The reason for this is the more constraining calculation of regulatory capital requirements. In contrast, the tightening would be less severe for corporations. This desynchronisation is unusual. It tends to illustrate the effect of the ramp-up of the output floor, which would particularly affect housing loans. However, the effect would remain very limited: only one in ten banks is considering to change its standards. New loans to households and corporations would keep their momentum largely unchanged.

Between 15 December 2025 and 13 January 2026, the ECB surveyed the 140 largest banks in the Eurozone on the effect of recently approved, implemented or forthcoming regulatory or supervisory actions on their credit standards[1]. Among those planning to tighten their standards over the next 12 months, households would be hit harder than corporations. For example, 10% of banks expect a slight tightening for housing loans, 3% a strong tightening and 1% a slight easing. The net percentage of banks expecting further tightening in 2026 is much higher than the net percentage observed in 2025 (12% and 7%, respectively). The same applies to consumer loans. On the contrary, the tightening of credit standards for corporations in 2026 is expected to be less than that observed in 2025.

IN 2026, CREDIT STANDARDS FOR LOANS TO HOUSEHOLDS WILL BE (SLIGHTLY) MORE IMPACTED BY THE TIGHTENING OF PRUDENTIAL REQUIREMENTS



*Annual change in the percentage of banks responding that regulatory or supervisory actions have tightened or will tighten credit standards, minus the percentage of banks responding that they have eased or will ease credit standards.

SOURCES : ECB, BNP PARIBAS

Historically, changes in credit standards for households and corporations have moved in the same direction. Therefore, the desynchronisation expected for 2026 is unusual. It tends to demonstrate the initial noticeable effects of the ramp-up of the output floor. The latter leads to an increase in regulatory capital requirements, particularly in relation to housing loans. More generally, the entry into force of CRR3 – the European translation of the finalised Basel III Accord – on 1 January 2025 will lead to higher regulatory capital requirements, which is likely to tighten credit standards[2]. The banks surveyed by the ECB also mention the impact of higher liquidity requirements in order to comply with regulatory liquidity ratios, particularly due to geopolitical uncertainties.

However, only one in ten banks is considering to change its credit standards due to the new prudential requirements. The impact would therefore be very limited. It could be confined to banks whose housing loans represent a significant portion of their portfolio, or to those that would accept a slowdown in the growth of their housing loan portfolio because it is less strategic. Ultimately, new loans would remain largely buoyant: since June 2025, the cumulated monthly flows of new loans over 12 months has increased, on average and a year-on-year basis, by 30% for housing and 10% for corporation loans.

Thomas Humblot

thomas.humblot@bnpparibas.com

1 Credit standards are internal standards at banks which must be met for a credit to be granted before the credit terms and conditions (such as rate and maturity) are even negotiated. The ECB does not publish information on the effect of the prudential requirements on credit terms and conditions.

2 Banks' risk weighted assets (RWA) can no longer be less than a proportion (50% in 2025 and up to 72.5% by 2030) of RWAs resulting from solely applying the standard approach. The advanced approach replaces the standard weightings with weightings from internal models approved by the regulator. Please see, in particular: Home loans in France: will the new prudential requirements result in interest rate hikes and higher down payments?

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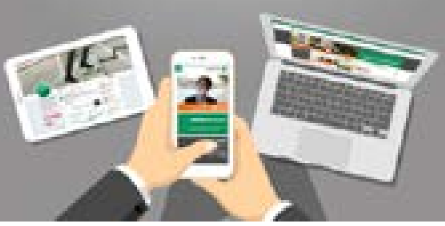

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Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
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FROM MINES TO MICROCHIPS: HOW EMERGING COUNTRIES CAN CAPITALISE ON THE DEMAND FOR AI

With the rise of artificial intelligence (AI), emerging countries with strategic resources—such as critical metals and semiconductor production capacities—are becoming key players. Countries that are well positioned within AI supply chains benefit from both an economic growth engine and an asset to leverage in their international relations. Industrialised countries in Asia, which account for over 85% of the global export of electronic chips, are best placed to capitalise on the increasing demand for AI. However, this advantage comes with greater exposure to the risk of a technology market correction. Countries that extract minerals that are vital to AI also have an advantage; forming partnerships that help attract foreign investment will be the key to positioning themselves more centrally in AI supply chains. Finally, whether they are producers of minerals or chips, these countries are all exposed to the risks associated with the high concentration of major AI players in a context of heightened geopolitical tensions.

Contrary to expectations, average growth in emerging economies did not slow down in 2025 compared to 2024, despite the scale of protectionist measures and geopolitical tensions. According to our latest estimates, it stood at 4.3%, the same as the previous year. This good performance was supported by generally accommodative external financial conditions, the easing of domestic monetary policies and continued disinflation, the resilience of global trade and the reorganisation of trade flows in response to US tariffs[1], and finally, the very strong increase in investment in technology, especially in artificial intelligence (AI).

In our baseline scenario for 2026, these supportive factors are expected to continue, even if they lessen[2]. Growth in emerging economies is expected to slow only very moderately, reaching an average of 4.1% according to our forecast. This scenario assumes, among other factors, the sustained increase in the use of AI and the rapid growth of investment in AI infrastructure. These factors will continue to drive global demand for the electronic goods, energy and critical raw materials needed for this technology.

EMERGING COUNTRIES AND AI: A WIDE RANGE OF POSITIONS

Emerging countries have a wide range of positions with regard to AI, whether in terms of their ability to innovate, finance and adopt technologies, their sensitivity to the impact of AI on productivity and employment, or their position within supply chains. It is the latter aspect that particularly interests us here, as it will be the main channel for transmitting the effects of the AI sector's boom on emerging economies in 2026, as in 2025.

Currently, the impact of AI expansion on the growth of emerging economies (excluding China) is mainly driven by the knock-on effects of investment in physical AI infrastructure. Although AI is expected to be adopted at a faster rate than previous innovations, its impact on productivity will only become evident after a period of diffusion of the new technology, and provided that investments in physical and human capital facilitate its adoption (e.g. renewal of equipment, reorganisation of production processes, training, etc.).

Among emerging economies, the most developed countries in Asia, China, Central European countries and Turkey appear to be best positioned to deploy and use AI, according to the AI preparedness index of the IMF (see chart). The capacity of Latin American countries and, above all, sub-Saharan Africa (SSA) to deploy and use AI is much more limited (the average AIPI index for SSA is 0.33).

In general, emerging economies are less well positioned than advanced economies to benefit from the adoption and diffusion of AI (the average AIPI index for G7 countries is 0.72). However, they are generally better positioned within AI supply chains. These chains include activities related to the chip industry (design, manufacturing and assembly), equipment and other electronic materials, as well as AI infrastructure (such as supercomputers and data centres). These sectors are extremely capital-, energy-, water-, and mineral-intensive. They have also become highly strategic.

As a result, countries that are well positioned within AI supply chains—primarily producers of critical metals, electricity and advanced semiconductors—have both a growth engine and a geopolitical asset.

This advantage is likely to strengthen in the short term, provided that the boom in investment in data centres and other AI infrastructure continues. Currently, the investments planned for 2026 by the four leading companies in the sector in the United States (Amazon, Microsoft, Meta and Google) amount to USD 620 billion, which is four times the amount in 2023 and is up 60% on 2025. These investments will drive global demand for semiconductors, the market for which is expected to grow by +26% in 2026 (after +22% in 2025), according to forecasts from the World Semiconductor Trade Statistics organisation.

To assess countries' positioning within AI supply chains, we use export data for "AI-enabling goods" or "AI-related goods," as estimated by Oxford Economics and based on the WTO nomenclature.

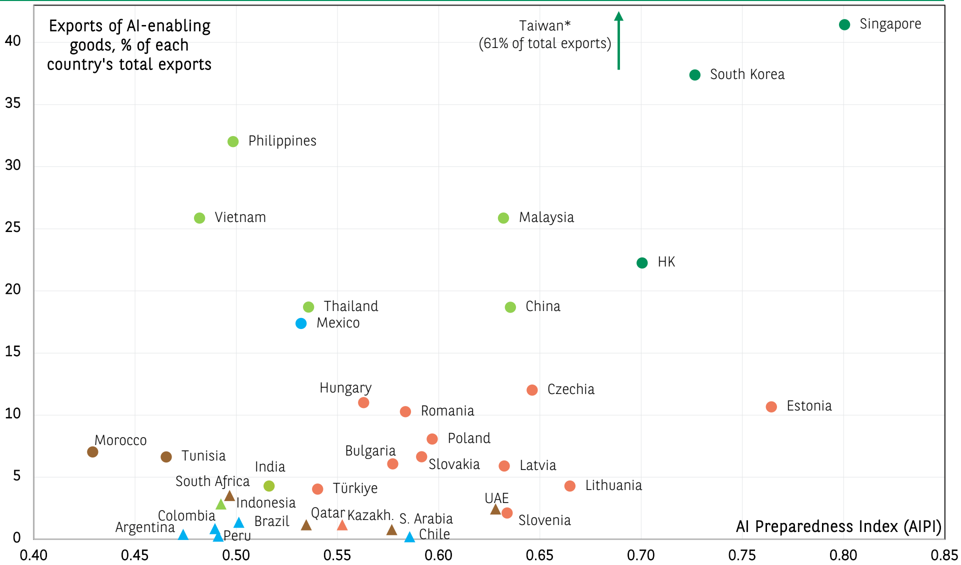
This results in a broad estimate of exports of AI-related goods, as it includes raw materials, chemicals, equipment, semiconductors, and other electrical and electronic equipment used in AI, but also 'likely to be used' in AI (and thus potentially in other applications as well). In 2025, total exports of "AI-related goods" are estimated at USD 3.3 trillion, or about 12% of global merchandise exports. Semiconductors and other electronic components account for about 70% of the total, equipment for 25%, and raw materials and chemicals for less than 5%. This last figure, which may come as a surprise, contrasts with the strategic nature of the critical materials needed for AI, but can be explained by the very small quantities that are ultimately used.

AI AT THE HEART OF CHINA'S DEVELOPMENT STRATEGY

AI is at the heart of Beijing's strategy to extend China's technological dominance on a global scale and strengthen its autonomy and national security. It has become an area of intense competition with the United States. On the domestic front, AI is also a central element of the authorities' economic strategy. Innovation, the development of AI, and its widespread deployment in the country are expected to stimulate productivity gains and support growth at a time when China is adjusting its main drivers and facing demographic challenges.

1 See BNP Paribas, EcoWeek: Global trade didn't just survive "Liberation Day"; it came out stronger. 16 February 2026.
2 See BNP Paribas, EcoWeek: Emerging economies in 2026: cautious optimism. 19 January 2026.

AI-RELATED OPPORTUNITIES: ASIAN COUNTRIES ARE THE BEST POSITIONNED



Exported goods: ■ mostly manuf. ▲ mostly commodities

AI preparedness index of the IMF: the AIPI is the sum of 4 dimensions: digital infrastructure, human capital, technological innovation, and legal frameworks.

* There is no AIPI for Taiwan

CHART SOURCE: IMF (ITG AND AIPI DATA), OXFORD ECONOMICS, BNP PARIBAS

The country is also well positioned to adopt AI, according to the IMF's AI preparedness index. The "AI+ initiative", unveiled last August, confirmed Beijing's objectives, and the 2026-2030 Five-Year Plan is expected to give AI a central role in the development of "new high-quality productive forces."

In the AI race against the United States, China has been catching up very quickly in recent years, thanks to accelerated innovation and massive investment. While the United States retains its clear lead in computing power and the design of the most powerful chips, and controls sales of these chips (Nvidia) to China, China, for its part, controls the supply of critical materials and is a leader in open source models and data collection and management. China has the strategy, infrastructure, energy, critical materials and capital to continue developing AI. Rivalry and the race for technological supremacy with the United States will be key drivers of the evolution (and decoupling) of production chains in the medium term.

INDUSTRIALISED ASIAN COUNTRIES ARE THE PRIMARY BENEFICIARIES

Industrialised Asian countries occupy a prominent place in the AI supply chain, given their specialised export base in semiconductors and other high-tech goods. Over 85% of global semiconductor exports[3] and 65% of global exports of "AI-related" goods[4] come from Asia.

Their specialisation has greatly benefited them in recent months. While global trade grew strongly in 2025 (total exports are estimated to have risen by +5% in volume), Asia benefited more (+14.8% in volume for the most advanced countries[5], +8.5% for China, and +6.4% for other countries in the region).

3 BNP Paribas calculations for 2024-2025, ITC/COMTRADE data.

4 Estimate for 2025 based on Oxford Economics data.

5 South Korea, Taiwan, Hong Kong (99% of whose exports are re-exports of goods coming mainly from China and other Asian countries), Singapore (75% of whose exports are re-exports or exports of oil products).

Since April 2025, the tech sector has accounted for over 80% of the growth of exports from Asia excluding China (and nearly 60% of Chinese export growth)[6].

China occupies a dominant position in AI globally. It is present across almost the entire value chain and supplies 21% of all AI-related goods exported worldwide.

Taiwan also has a critically strategic position at the heart of the semiconductor supply chain that is the most essential for the AI sector. This position is based on the high degree of openness and specialisation of its economy (61% of its exports are AI-related goods, the highest rate in the world) and its significant technological lead. Taiwan supplies 11% of AI-related goods and 15% of semiconductors exported worldwide, and manufactures almost all of the most powerful AI-specialised chips. Taiwan's total exports jumped by +35% in value in 2025 (including +79% to the United States). This leadership in semiconductors is also a strategic asset, which Taiwan emphasises in its negotiations with the United States and other trading partners.

After China, Taiwan, and the United States, the countries best positioned within AI supply chains include other advanced countries in Asia, then Vietnam and Malaysia, as well as Germany, the Netherlands and Mexico. These countries account for between 3% and 8% of global exports of AI-related goods in 2025, again according to the WTO nomenclature.

In the semiconductor sector, the value chain is characterised by significant fragmentation, which is reflected in the organisation of production in Asia. China is present at multiple stages of production. Taiwan, South Korea and Japan specialise in the manufacture of silicon wafers (on which integrated circuits are etched). These three countries, together with China, accounted for 80% of wafer production capacity in 2025.

6 The vast majority of electronic goods remain exempt from tariffs in the US.

Further down the supply chain, Malaysia, Vietnam and the Philippines specialise in the assembly, testing and packaging (OSAT) of chips to create electronic components. Although the contribution to GDP is more modest, the dynamism of the sector in 2025 significantly fuelled their economic growth.

PRODUCERS OF CRITICAL MATERIALS HOLD A STRATEGIC POSITION

Raw materials account for only 2% of global exports of AI-related goods (again, based on estimates from the WTO nomenclature). However, they are of strategic importance. The primary suppliers of these commodities are in the Middle East (particularly the United Arab Emirates), Asia (particularly Indonesia), and Latin America.

Global demand for raw materials essential to AI (for chips and data centres) will increase significantly in the coming years. All these materials are deemed "critical" due to their limitedsubstitutability, their significance in the creation of global industrial value, and the geographical concentration of supplier countries.

Exploration, extraction, and processing of minerals are difficult, time-consuming and expensive endeavours, but the quantities required for their end use are small. Significant supply difficulties directly related to production problems or bottlenecks are therefore not the most pressing risk in the short term. On the other hand, the critical nature of these materials and the challenges posed by AI endow them with a strategic significance in international relations and trade negotiations. Critical metals have been subject to a growing number of export restrictions in recent years, and ongoing geopolitical tensions are increasing the vulnerability of AI supply chains to the risk of supply disruptions.

China, in particular, wields significant influence over its partners due to its largely dominant position in the production of critical materials. Advanced countries are taking steps to reduce this vulnerability[7], but meeting domestic demand will take decades, while China has been implementing a development plan defined several years ago. The expansion of AI could therefore accentuate, at least in the short term, the world's dependence on China, Sino-American rivalry, and geopolitical tensions.

In this context, the boom in the AI sector is creating economic opportunities for emerging countries with reserves of critical minerals. While the impact of their exports of these commodities on economic growth remains modest for the time being, these countries have a strategic advantage that could help them form partnerships, attract foreign investment, and develop new projects in the mining sector, even at the expense of the environment, and capitalising on the expansion of AI.

Central European countries do not possess obvious comparative advantages in AI supply chains. However, they benefit from a well-educated workforce and infrastructure that should facilitate the dissemination of AI and its integration into both society and the economy. In addition, Central European governments, like those in the Middle East, are engaged in ambitious plans that aim to use AI as a lever for economic development (*read our next EcoPerspectives-Emerging*).

Christine Peltier
christine.peltier@bnpparibas.com

7 See BNP Paribas, EcoInsight: European-Union-carbon-transition-energy-sovereignty-path-fraught-obstacles-2/20/2026,53231. February 2026.

ECONEWS

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ADVANCED ECONOMIES

UNITED STATES

The Supreme Court overturns reciprocal tariffs, and the Trump administration replaces them with a uniform tariff of 10% for 150 days. The Court ruled that the International Emergency Economic Powers Act (IEEPA) of 1977 does not empower the US President to impose customs tariffs, as this prerogative belongs to Congress. The ruling targets customs duties related to drug trafficking (involving Canada, Mexico and China) and reciprocal tariffs. The decision could call into question the viability of existing bilateral agreements, particularly those signed with the European Union, Japan and Vietnam in 2025. Furthermore, it paves the way for a possible reimbursement of customs revenues collected by the United States, estimated at around USD 160 billion, and the replacement of reciprocal tariffs with an increase in sectoral tariffs. In the meantime, the White House has formalized temporary 10% customs duties, effective from 24 February –President Trump has further announced that they would eventually stand at 15, applicable to all countries for 150 days (with Congressional approval required for continuation beyond that date), and is maintaining the same sectoral exemptions.

Growth, hampered by the shutdown, disappoints in Q4 2025 and inflation fears remain. GDP growth slowed to +1.4% annualised quarter-on-quarter (+4.4% in Q3), adversely affected by the public sector (contributing -0.9pp due to the shutdown) and consumer spending (+1.6% annualised rate, or AR, -0.7pp). Investment remains strong (+2.6% AR), bolstered by AI-related components (+7.4% AR for intellectual property, +36.1% for information processing equipment), while other components are down, including residential real estate (-1.5% AR). Growth reached 2.2% in 2025 compared with +2.9% in 2024, resulting in a gain of +1.0 pp for 2026. The trade deficit reached -4.6% of GDP in 2025 compared with -4.4% in 2024. The minutes from the latest FOMC meeting (27–28 January) indicate that the Fed's dual mandate will place greater emphasis on price stability, with several members warning against further easing in a context of high inflation. Consequently, core PCE inflation, which is the Fed's preferred metric, reached +3.0% y/y in January 2026, marking its highest level since December 2024. At the same time, industrial production strengthened (+0.7% m/m; +0.5pp) to reach its highest post-pandemic level. *Coming up: annual State of the Union address (Tuesday), Conference Board consumer confidence report (Tuesday) and the PPI (Friday) for January, in addition to speeches from Fed governors (M. Bowman, L. Cook, C. Waller).*

EUROZONE / EUROPEAN UNION

The upturn in economic indicators continues. The composite PMI gained 0.6 points (51.9), with the manufacturing index at its highest since June 2022 (50.8), while the services index gained 0.2 points (51.8). Household confidence, as reported by the European Commission, reached its highest level since November 2024 in February (+0.2 points to -12.2). Negotiated wage growth accelerated to 3.0% y/y in Q4 (1.9% y/y in Q3). The current account surplus fell sharply by EUR 150 billion to EUR 261 billion in 2025: the primary balance, which mainly includes income from foreign investments, fell by EUR 103 billion, resulting in a deficit of EUR 60 billion for the first time since 2008. The surplus in services fell by EUR43 billion to EUR 135 billion, while the surplus in goods rose very slightly (+EUR 7 billion to EUR 368 billion), demonstrating the resilience of exports in the face of trade tensions. *Coming up: car registrations (Tuesday), inflation data (Wednesday), monthly and quarterly surveys from the European Commission (Thursday).*

- Germany: Economic activity continues to improve. The manufacturing PMI returned to expansion territory in February for the first time in over three and a half years (50.7; +1.6 pts), while the composite PMI (53.1; +1.1 pts m/m) and services PMI (53.4; +1 pt) reached a four-month high in February. New orders are up, especially in industry. The Ifo business climate index rose in February (88.6; +1 pt), bolstered by construction and services. The current situation and outlook have improved (+1 pt to 86.7 and +0.9 pts to 90.5 respectively). The federal law aimed at expediting planning and procurement for the Bundeswehr, which came into force on 14 February, should continue to support industry. Producer prices continue to fall (-3% y/y in January; -0.5pt m/m). *Coming up: Chancellor Merz's visit to China (Tuesday), reports on consumer confidence and Q4 GDP (Wednesday), February unemployment rate and inflation figures (Friday).*

- France: The composite PMI rebounded in February. It approached the 50-point mark (+0.8 points to 49.9), bolstered by services (+1.2 points to 49.6). Conversely, the manufacturing PMI declined (-1.3 points to 49.9), but its three-month average (50.6) remains the highest since the end of 2022. The Court of Auditors estimates that the public deficit will have fallen to 5.4% of GDP in 2025, in line with the government's target. This decline is mainly due to an increase in compulsory levies. *Coming up: INSEE business climate report (Tuesday) and consumer confidence report (Wednesday), inflation, Q4 GDP, Q4 employment data (Friday).*

- Italy: Increase in trade surplus and subsidies for carbon-based energy. In 2025, the trade surplus reached EUR 50.7 billion (+5.1% y/y, 2.3% of GDP). Exports rose by 3.3%, including +4.2% to Europe and +7.2% to the United States, but fell by 6.6% to China. In addition, the government approved a decree allocating EUR 3 billion to gas-fired power plants to offset the cost of carbon allowances imposed by the European Emissions Trading System. The aim is to reduce electricity bills, potentially at the expense of suppliers' and producers' margins. *Coming up: February economic sentiment and consumer confidence reports (Thursday), December industrial sales (Friday).*

JAPAN

Inflation down and activity up. In January 2026, inflation reached its lowest level since early 2022: the drop in fresh food prices (-6.9% y/y), which was disrupted in 2024/2025 by a significant rise in rice prices, allowed the overall index to fall to +1.5% y/y (-0.6pp). The index that excludes fresh food and energy (New Core index) also declined (-0.1% m/m and +2.6% y/y, the lowest since February 2025). The manufacturing PMI reached 52.8 in February (+1.3pp, marking the fourth consecutive month of improvement). New export orders are buoyant (54.1, +2.0pp), the PMI index for services remains high (53.8, +0.1pp) and the composite index reached its highest level since Q2 2023 (53.8, +0.7pp). *Coming up: industrial production and retail sales (Friday).*

UNITED KINGDOM

The reduction in inflation coupled with the rise in unemployment strengthens the likelihood of a key rate cut at the next MPC meeting. Inflation fell to 3% y/y in January (-0.4 pp compared with December) due to food and transport prices; core inflation fell to 3.1% y/y (-0.1 pp compared with December). Private wage growth reached its lowest level since 2021 (+3.4% y/y). The unemployment rate reached a five-year high in December (5.2%), while salaried employment declined (-11,000 m/m in January).

Find out more in our scenario and forecasts

The composite PMI rose to 53.9 in February (highest since April 2024). Strong activity led to a record budget surplus in January, pushing the 10-year yield down to its lowest level in over a year (4.35%). Retail sales rose sharply in January (+1.8% m/m; +4.5% y/y). Prime Minister Keir Starmer wants to expedite the timetable for increasing defence spending and does not rule out reaching the target of 3% of GDP by 2029. *Coming up: consumer confidence, car production and the Nationwide house price index (Friday).*

EMERGING ECONOMIES

Record capital inflows in January. According to estimates from the Institute of International Finance, non-resident portfolio investments totalled USD 98.8 billion, matching the previous record set in November 2020. China took the lion's share with USD 30 billion received, following significant outflows in H2 2025. Even excluding China, investments still reached a record high of nearly USD 70 billion in January, compared with an average of USD 30 billion per month in 2025, which was a very good year. This estimate confirms the renewed appeal of emerging financial centres since the beginning of the year. The Bloomberg index, which aggregates the performance of four asset classes and is believed to be correlated with non-resident portfolio investments, has reached a record high. This is especially evident in the Bloomberg carry trade index for emerging market currencies, which is one of its components.

AFRICA & MIDDLE EAST

Ivory Coast: The government issues a USD 1.3 billion Eurobond. This new issue, with a maturity of 15 years, attracted strong investor appetite (USD 6.3 billion in bids). The average interest rate on this Eurobond, once currency hedging is taken into account, is only 5.4%, the lowest level for a sub-Saharan African country in the last five years.

Gulf countries: Inflationary pressures remain contained. In January, inflation reached 1.4% y/y in Oman, 2.3% in Qatar, and 1.8% in Saudi Arabia. In Saudi Arabia, housing continues to be the primary driver of inflation but continues to moderate (+5.2% in January compared with over 10% at the start of 2025) thanks to measures implemented by the authorities to stabilise property prices.

LATIN AMERICA

Colombia: Growth slowed sharply in Q4 to 0.1% q/q (compared with 1.3% q/q in Q3). For 2025 as a whole, growth reached 2.6%, which is below the Ministry of Finance's forecast of 3%. It was driven by household consumption (+3.6%) and government spending (+7.1%), while fixed investment increased by just 1.3%. The growth in imports significantly outpaced that of exports, resulting in a marked deterioration in the trade deficit, which reached 3.6% of GDP (compared to 2.3% of GDP in 2024).

Peru: Interim president removed from office. Congress voted to remove José Jéri from office following allegations of influence peddling. A new interim president, José Balcazar, was appointed on 18 February and will serve until the next president takes office in July, with the first round of elections scheduled for 12 April. Growth is holding up fairly well. The monthly activity indicator rose by 3.8% year-on-year in December, after 1.5% in November, representing estimated real GDP growth of 3.4% for 2025.

ASIA

A positive effect of the new US tariff decisions? The new tariffs announced by President Donald Trump (10% in effect from 24 February, but 15% is being considered), under "Section 122" of the Trade Act of 1974, will replace reciprocal tariffs and will last for 150 days for the time being. The sectors that were exempt from tariffs remain unchanged, including electronics, pharmaceuticals, critical minerals and agricultural products. China could emerge as a winner, as the new tax would replace the existing tax structure that includes reciprocal tariffs (10%, with exemptions) and the so-called "fentanyl" tariffs (10%, without exemptions). For other Asian countries, reciprocal customs duties stood at 10% (e.g. for Singapore), 15% (e.g. for South Korea) or 18%-20% (e.g. for Vietnam and India) as of 20 February. A majority of countries could therefore benefit from lower tariffs, but the disparity with the tariffs imposed on China will, on average, narrow.

India: World Artificial Intelligence Summit. With this important summit being held in New Delhi during the week of 16 February, Prime Minister Narendra Modi hopes to showcase India's ambitions in the field of AI (India is seeking to develop its own models to expedite its implementation across the country) and attract investment.

EMERGING EUROPE

Central Europe: Slight rise in inflation in Slovakia and disinflation in the rest of the region. In January, inflation in Slovakia rose for the third consecutive month to 4.0% y/y. This increase is attributed to the rising prices for housing, food and energy. In Poland, Hungary and the Czech Republic, inflation continued to ease, reaching 2.2% y/y, 2.1% and 1.6% respectively in January. In these three countries, inflation has already aligned with the central bank's target. Additionally, Romania is experiencing gradual disinflation (9.6% y/y in January, down from 9.7% in December 2025) following a period of inflationary pressure due to the VAT rate increase.

Romania: Prolonged monetary pause. The Central Bank kept its key rate at 6.50% at its last monetary policy meeting. This rate has remained unchanged since August 2024. In the short term, it is unlikely that the monetary authorities will take action, as inflationary pressures remain high. However, the key rate could be lowered by the end of 2026. The impact of the VAT rate increase should dissipate in the latter half of the year.

COMMODITIES

The price of Brent crude oil has risen above USD 70 per barrel, its highest level since last August, due to increased US military pressure on Iran.

The price of European carbon allowances (EU ETS) recovered slightly this week after a decline. The fall was induced by comments from German Chancellor Friedrich Merz, who mentioned a possible revision or partial postponement of the system aimed at supporting the competitiveness of European industries. On 20 February, the quota was trading at EUR 73/t CO_2, down 20% from its mid-January 2026 high.

SOUTHEAST ASIAN COUNTRIES ARE GAINING MARKET SHARE DESPITE HIGHER U.S. TARIFFS

Johanna Melka

Asian economies, excluding China, have experienced minimal disruption to their global trade shares despite higher US tariffs. This resilience stems from their export composition, which remains concentrated in electronics, a sector largely spared by US tariff increases and buoyed by AI-driven demand. While the strategy of redirecting Chinese exports from the United States to Asia and other global markets has intensified, it has not been sufficient to fully compensate for China's decline in U.S. market share.

CHINA'S SLIGHT DECLINE IN GLOBAL MARKET SHARE BENEFITS OTHER ASIAN COUNTRIES

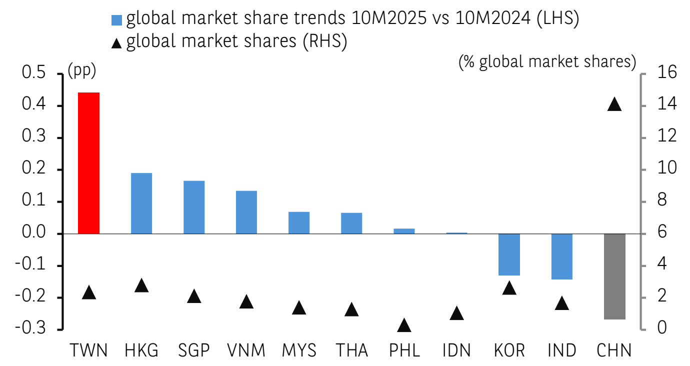

CHART 1

SOURCE: IMF, BNP PARIBAS

THE RISE IN SOUTHEAST ASIAN MARKET SHARES IN THE U.S. IS PARTLY DRIVEN BY AI

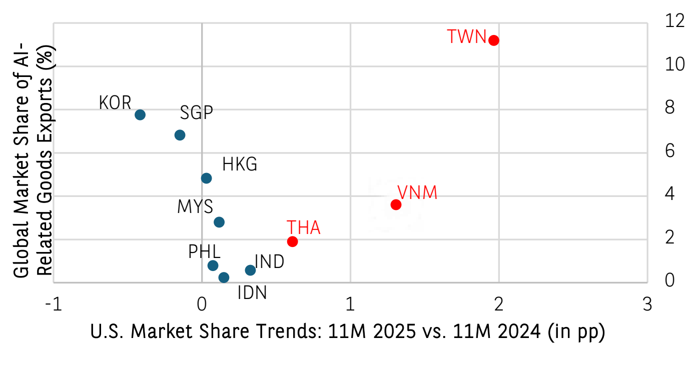

CHART 2

SOURCE: IMF, OXFORD ECONOMICS, BNP PARIBAS

Southeast Asian countries are gaining market share globally, while China is losing it

In the first ten months of 2025[1], China's global market share declined by 0.3 percentage points (pp) (to 14.1% of global exports) compared to the same period in 2024. In contrast, that of other Asian countries[2], excluding Japan, rose by 0.8pp to 17.5%, according to the IMF. Their market share fell slightly in the European Union (-0.2pp over the first 11 months of 2025, representing 10.8% of total EU imports) but surged in the United States (+4pp) despite the rise in U.S. tariffs. As a result, 24.7% of U.S. imports came from Asia, excluding China and Japan, in the first 11 months of 2025. The ASEAN-6 countries collectively increased their market share by 0.4pp (to 8% of global exports). However, Taiwan recorded the most significant individual gains (+0.4pp, reaching 2.8% of global exports). In contrast, the market shares of India and South Korea each fell by 0.1pp (see *Chart 1*).

Market share gains concentrated in the United States thanks to artificial intelligence

Gains in the U.S. market were especially significant. Taiwan saw its market share increase the most (+2pp, bringing it to 5.5% of U.S. imports), followed by Vietnam (+1.3pp), Thailand (+0.6pp), and—to a lesser extent—India (+0.3pp). These gains can be attributed to the sharp rise in U.S. demand for AI-related products (see *Chart 2*). The only exceptions to this trend were Singapore and South Korea—both strategic players in the AI sector—whose U.S. market shares declined (-0.1pp and -0.4pp, respectively). This is because their exports are primarily aimed at Asia (the United States ranks as Korea's fifth-largest export market and Singapore's eighth largest for integrated electronic circuits). Furthermore, higher U.S. tariffs on automobiles have significantly impacted Korean exports[3]. India, on the other hand, benefited from a sharp increase in U.S. smartphone imports during the first seven months of 2025. This offset the decline recorded from August 2025 onwards, following the increase in U.S. tariffs on its products (the average effective rate rose from 2.4% in 2024 to 35.1% in August 2025).

China is failing to offset its lost U.S. market share

China's U.S. market share fell by 4pp in the first 11 months of 2025 (to 9.5% of U.S. imports). In an effort to offset this decline, China has continued to increase its exports to Asia (+11.5% in 2025), which accounted for 35.4% of its total exports (compared to 34.5% in 2024).

As a consequence, while the bilateral trade surplus of Asian countries with the U.S. grew by USD 154 billion (to USD 485.3 billion), their trade deficit with China widened by USD 113.7 billion (to USD 330.4 billion).

Johanna Melka
johanna.melka@bnpparibas.com

1 Global trade data only covers the period ending in October 2025, whereas U.S. national data extends to November. The period studied therefore varies depending on the destination market.
2 The Asian countries included in this study are: China, Hong Kong, India, Indonesia, Malaysia, the Philippines, Singapore, South Korea, Taiwan and Vietnam.
3 The average effective tariff rate imposed by the United States on Korean goods was raised to 13.2% (compared to 8.4% for Taiwan and 10.9% for Malaysia). Among the Asian countries that gained U.S. market share despite higher tariffs were Vietnam (with an effective rate of 19%) and India, whose electronics exports saw significant growth. Indonesia, however, was penalised by higher U.S. tariffs on steel and aluminium (its average effective rate was raised to 22.7%).

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Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
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CHART OF THE WEEK

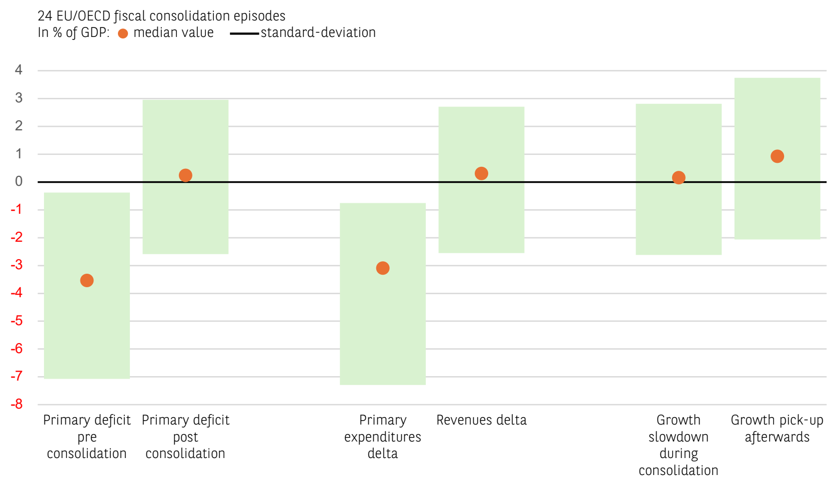
11 February 2026

INSIGHTS FROM 24 FISCAL CONSOLIDATIONS IN EUROPE

Arne Maes

Ageing populations, rising long-term interest rates and increased defence spending are adding to the difficulties for public finances across the OECD. While fiscal consolidation – which can be measured by an improvement of the primary balance by at least 3% of GDP in 4 years – is essential for several member states, this is easier said than done. What can we learn from analysing 20 years of European public finance? Historical examples from EU countries show that expenditure-led consolidation can be an effective approach and tends to support stronger growth after it is completed.

EXPENDITURE-LED FISCAL CONSOLIDATION LOOKS EFFECTIVE AND GROWTH-SUPPORTIVE AFTERWARDS



SOURCE: BNP PARIBAS FORTIS

Reading note: A consolidation episode is defined as an improvement in the fiscal primary balance by at least 3% of GDP over four years.

The Covid-19 pandemic and the emergency measures enacted to address it have led to a significant and widespread decline in primary balances across the EU. Belgium is one such country facing this issue. This small, open economy is facing the major challenge of having to reduce its primary deficit by 3% of GDP over the next four years. To gain a clearer understanding of this challenge, which is also facing other EU member states under the EU Excessive Deficit Procedure, we set out to identify comparable periods of fiscal consolidation.

By examining a dataset that includes the EU countries that are also OECD members, covering the period from 2000 to 2019, interesting conclusions can be drawn.

How often did these countries engage in significant fiscal consolidation? No fewer than 24 such periods occurred. This equates to an average of one per country, although this average can be misleading.

Germany experienced two periods of consolidation, as did Greece. The Czech Republic and Portugal achieved such consolidation efforts on three occasions. Four countries did not engage in this process in the period under review: Belgium, Finland, France and Italy[1].

Looking back at these periods, some interesting observations emerge. Firstly, the typical period saw the primary balance shift from a deficit of -3.5% to a surplus of +0.2%, as shown on the lefthand side of the chart. So how was this achieved? The bars in the middle of the chart demonstrate that spending restraint was by far the primary driver of these efforts. In fact, the average improvement in the primary deficit closely corresponds to the reduction in spending as a percentage of GDP, amounting to 3.6% of GDP.

1 For the full list of countries and their respective consolidation periods in brackets: Belgium, Ireland (2009-2013), Portugal (2004-2008, 2009-2013, 2014-2018), Spain (2010-2014), France, Luxembourg (2004-2008), the Netherlands (2013-2017), Germany (2003-2007, 2010-2014), Italy, Greece (2010-2014, 2012-2016), Austria (2010-2014), Slovenia (2011-2015), Hungary (2004-2008), Slovakia (2010-2014), Czechia (2002-2006, 2010-2014, 2013-2017), Poland (2010-2014), Lithuania (2009-2013), Latvia (2009-2013), Estonia (2009-2013), Denmark (2002-2006), Sweden (2003-2007), and Finland.

It is important to note that there were indeed increases in taxes and other revenue sources. However, these changes contributed only marginally to the overall consolidation, representing a mere +0.1% of GDP.

Reducing G for more growth

It is also noteworthy that, during the four-year consolidation periods, growth was, on average, only 0.1 percentage points lower. In contrast, in the subsequent four years, growth rebounded by an average of 0.8 percentage points annually, marking a significant increase[2].

Getting the balance right between reduced expenditures and increased revenues is tricky. In this sample, three quarters of fiscal improvement trajectories saw a larger contribution from reduced spending. Typically, these periods were followed by higher real GDP growth. On the other hand, periods dominated by revenue increases were generally followed by lower growth.

In summary, savings and cuts in spending have emerged as the primary strategy for governments undertaking a significant primary deficit reduction initiative. Recent research[3] indicates that large spending cuts are indeed possible, for example in areas such as pensions and subsidies. National governments throughout the EU could learn from this, but the real challenge lies ahead: how to apply these (difficult) lessons?

Arne Maes
arne.maes@bnpparibasfortis.com

2 For example, in Spain, growth was -1.2% during the consolidation period (down from +1.1%) and +2.8% afterwards.
3 (What we can learn from public debt reductions in OECD countries | CEPR), 13 January 2026.

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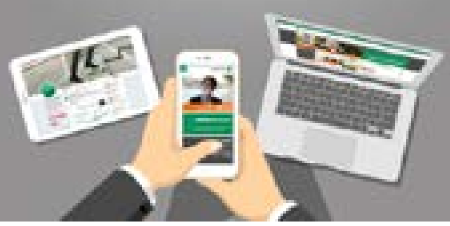

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